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OECD ECONOMIC SURVEYS

1999

SPECIAL FEATURES
Banking sector
Enterprise restructuring and development

SLOVAK REPUBLIC

CENTRE FOR CO-OPERATION WITH NON-MEMBERS

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CENTRE FOR CO-OPERATION WITH NON-MEMBERS (CCNM)

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1998-1999

SLOVAK REPUBLIC

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF THE SLOVAK REPUBLIC

THE LAND

Area (sq. km)	49 035
Agricultural area (sq. km)	24 440

Inhabitants in major cities (end-1996)	
Bratislava	452 288
Kosice	241 606
Nitra	87 569
Presov	93 147

THE PEOPLE

Population (thousands) (1997)	5 387
Inhabitants per sq. km (1997)	110
Average annual population growth (1990-1997, per cent)	0.2
Infant mortality (per thousand live-births, 1996)	10.2
Life expectancy (1997): Males	68.8
Females	76.7
Registered unemployment (mid-1998, % of the labour force)	13.5
Labour Force Survey unemployment (second quarter 1998, % of the labour force)	11.7
Employees (thousands) (second quarter 1998, LFS)	2 166.6

PRODUCTION

GDP (billion SKK) (1997)	653.9
GDP per capita (in US$, market exchange rate) (1997)	3 612.6
GDP per capita (in US$, PPP exchange rate) (1997)	9 520
Gross domestic investment (per cent of GDP) (1997)	35.5

THE GOVERNMENT

(Per cent of GDP) (1998)	
General government revenue	38.4
General government expenditure	43.7
Public debt (1997)	26.0
Official foreign debt of the government and the NBS	12.0

Composition of the National Council of the Slovak Republic (elections of September 1998):	
Movement for a Democratic Slovakia and the Slovak Farmers Party	43
Slovak Democratic Coalition	42
Democratic Left Party	23
Hungarian Coalition Party	15
Slovak National Party	14
Party of Civic Understanding	13

FOREIGN TRADE

Exports of goods and services (in US$ billion) (1997)	10.4
Main goods exports (per cent of total) (1997):	
Manufactured goods classified chiefly by material	37.8
Machinery and transport equipment	23.5
Chemicals and related products	11.8
Miscellaneous manufactured articles	11.7

Imports of goods and services (in US$ billion) (1997)	12.4
Main goods imports (per cent of total) (1997):	
Machinery and transport equipment	33.4
Mineral fuels and lubricants	17.7
Manufactured goods classified chiefly by material	15.2
Chemicals and related products	12.3

CURRENCY

Monetary unit: Slovak Koruna

Currency units per US dollar (period average):	
Year 1997	33.6
December 1997	34.5
December 1998	36.3

The draft document on which this Survey is based was prepared, under the supervision of Silvana Malle, by Joaquim Oliveira Martins and Maitland MacFarlan. Contributions were also received from OECD/DAFFE and OECD/SIGMA, and Annex III was prepared by Paul Paradis and Martin Forst (OECD/TDS). Consultancy support was provided by Daniela Zemanovicová. Technical assistance was provided by Anne Legendre and secretarial assistance by Hazel Rhodes and Anne Prioul. The Survey was carried out in the context of the CCNM Partners in Transition programme for the Slovak Republic, and was presented at a meeting of the Economic and Development Review Committee on 17 December 1998.

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Assessment and recommendations

Expectations about Slovakia have varied through time

The perception by the international community of Slovakia's economic prospects has varied during its still short life as an independent country. At first, expectations were very pessimistic. The structure of the economy characterised by a large armaments industry and production capacities of basic intermediate goods seemed particularly hard to transform at the outset of the transition. There were practically no small and medium sized firms and supply of services was vertically integrated within large industrial conglomerates. Moreover, from the partition of the former Czech and Slovak Federal Republic, Slovakia had to face the challenge of building a new state. Establishing an efficient administration is an example of these difficulties.

Against this background, the good macroeconomic performance came as a surprise. GDP growth resumed in 1994 and has remained high. Macroeconomic policies were generally prudent for most of the transition period, contributing to significant progress with disinflation and currency stability. Despite their difficult heritage, Slovak producers were able to increase productivity, become export-oriented and satisfy the quality standards of new western markets. A service economy also developed rapidly with many new entrepreneurs starting business, notably generating an increasing number of distribution outlets. Despite certain political developments that influenced negatively the international perception of Slovakia, these economic developments reversed the initial gloomy expectations. As a result, Slovakia was able to borrow significant international funds during the years 1996-98, which helped to maintain the growth momentum.

But, in recent years, the economic climate has become less positive again. Concerns have arisen particularly regarding the large fiscal and current account deficits, and international developments have also affected Slovakia adversely. As discussed below, these concerns led to increasing pressures on the fixed exchange rate regime and the subsequent floating of the currency. Delays in enterprise and financial restructuring are also imposing an increasing burden on the economy. The government that emerged from the Parliamentary elections of September 1998 has signalled its determination to face up to the fiscal and structural problems in the economy. While there has been a positive reaction to these developments, the challenges facing the new government should not be underestimated. These are the key issues that are examined in the Survey.

Slovakia depends crucially on external trade...

Slovakia is a small economy with a strong dependence on the external sector. On the one hand, Slovakia was endowed in the pre-transition period with large production capacities in heavy industries that cannot possibly find outlets either in the domestic market or even in its former Eastern trade partners, for the simple reason that these countries also have excess capacity in the same sectors. These heavy industries have been a major source of export revenues from new markets in the West. On the other hand, Slovak consumers and enterprises have increasingly demanded more product variety and quality which does not find a direct counterpart in domestic supply. Therefore, many consumption goods as well as investment goods have to be imported.

... so that growth driven largely by domestic demand is likely to generate external imbalances

This strong dependence on external trade requires that growth be export led; growth driven mainly by domestic demand is prone to generate macroeconomic imbalances. The latter configuration occurred in the period 1996 to 1998. Despite a significant slowdown of exports, GDP grew on average by 6.5 per cent a year. This was induced by public consumption, which increased at an extremely high rate (20 per cent in 1996), and an extraordinary investment boom. Gross fixed capital formation increased by 40 per cent in 1996, followed by 15 per cent growth in 1997. Not

only were large public investment programmes started, motorway construction being the most important, but also large Slovak companies in the energy and heavy industry sectors invested massively. In level terms, investment reached 38 per cent of GDP in 1997 and 1998. These trends were reinforced by buoyant final consumption, which grew at rates of 6-7 per cent a year.

The first sign of imbalances was a burgeoning current-account deficit, which reached 11 per cent of GDP in 1996. Monetary policy was tightened, while the government re-introduced an import surcharge and imposed quality certificates on a wide range of imported goods. Despite these measures, the current-account deficit has remained high at 9.7 per cent of GDP in 1997 and around 10 per cent of GDP in 1998.

As a result, the current account is on an unsustainable path...

Reflecting these developments, external debt has been rising. Gross foreign debt reached US$12 billion at end-1998 (62 per cent of GDP), half of which has less than one year's maturity. This figure has to be balanced against Slovak assets abroad, mainly composed of official and banking sector reserves. In net terms, external debt amounts to just under 30 per cent of GDP. The level of net external debt, and the speed of its build up, have caused international concern and reduced Slovakia's credit rating. Another year like the previous three could have brought the ratio of net debt to GDP close to 40 per cent – a level which, on the basis of other countries' experience, it would be wise to regard as an upper limit. Indeed, illustrating the risks in the current situation, even if the current account deficit is brought back to around 6 per cent of GDP in 1999, in five to six years the ratio of net debt to GDP could still move above the 40 per cent threshold.

In consequence, the Slovak economy has become increasingly vulnerable. The interaction between macroeconomic imbalances, exchange rate uncertainty, increasing external debt and a problematic banking sector presents clear risks, as demonstrated by developments in other emerging market economies over recent years.

... and progressive adjustment will require a high level of co-ordination between macro-policies and progress in structural reforms

A progressive adjustment is necessary, involving a moderation in the rate of GDP growth accompanied by a trend decline in the current account deficit. Such an adjustment needs to be based in part on enhanced co-ordination between macro-policies, notably a decline in the public sector deficit allowing some easing in monetary conditions. It also requires progress on the structural reform front with particular emphasis on the banking and public enterprise sectors.

The new government has announced a stabilisation and restructuring package

The new government's programme, announced in early December 1998, is intended to address these requirements. In setting out its concerns and policy objectives, the new government recognises the imbalances and unsustainability of the current economic situation, and the need for a medium-term programme of reforms. Key elements in its economic strategy include a substantial reduction in the fiscal deficit, an increase in regulated prices towards international levels, and an acceleration of the restructuring of state-owned banks and enterprises. In support of these steps, the government intends to improve the transparency of public decisions, increase the international integration of the Slovak economy, and provide a neutral competitive environment for business. Further details on these measures, including areas where specific steps towards implementation have already been taken, are discussed in subsequent paragraphs.

Such policy signals are clearly to be welcomed. The challenge is now to implement these measures in a way which ensures that the reform momentum is sustainable and credible. This will not be easy, given what may turn out to be a difficult macroeconomic context and the narrow room for manoeuvre facing the new government. Indeed, while a slowdown in the rate of GDP growth is to be expected, there are also risks of a more serious domestic contraction. The latter result would clearly compound the difficulties of the government in pursuing deep structural reforms.

An increase in international investment flows would be an important element for the success of the reform programme. Clear and early progress with economic

restructuring should contribute to an increase in investor confidence, and help to attract foreign capital into the economy. This would both ease the financing constraint on the current account deficit, and provide direct and indirect support for the restructuring process. Conversely, inadequate progress in implementing the stabilisation and adjustment programme would delay the return in economic confidence, with consequent pressures on the availability of external finance and on the exchange rate.

Fiscal policy has been excessively expansionary and contingent liabilities of the state budget are high...

Fiscal policy is the principal source of the macroeconomic imbalances that have developed since 1996. The fiscal position has been excessively expansionary, especially given the strong growth in the economy and the high current account deficit, while monetary policy has been tightened to slow domestic demand and support the currency. The effects of this policy mix have shown up most clearly in the very high level of real interest rates, and in the fact that almost all growth in domestic credit has gone towards funding the government deficit.

The consolidated general government deficit is estimated to have increased to over 5 per cent of GDP in 1998, with particularly rapid growth in expenditures on infrastructure investment. Deficits of this order are inappropriate in light of the serious current account situation and the continuing strength of private demand. With monetary conditions tightening in this period, the fiscal expansion has led to severe crowding-out of private borrowing: credits to households and firms increased by just over 4 per cent in the year to September 1998, while net credit to government increased by 32 per cent. The combination of high interest rates and rising public debt has led to a rising share of state expenditures being devoted to interest payments (8.4 per cent of state expenditures in 1998). Furthermore, the level of contingent liabilities facing the state budget is also very high. Government-guaranteed bank loans total around SKK 100 billion (14 per cent of GDP), much of this backing classified claims, and a large share of private foreign debt also carries a government guarantee. Important fiscal risks also arise in connection with liabilities of quasi-public entities such as the Highway Fund and National Property

Fund, with the process of bank restructuring, and with cost overruns in some off-budget areas, notably the health funds.

... implying that a more prudent approach concerning the government deficit is required

Greater fiscal restraint is needed to help reduce pressures on domestic demand and interest rates, to lower the rather high burden of social charges, and to provide more room for manoeuvre in the face of budgetary risks. The public investment projects, including highways and housing, to which significant expenditures have recently been committed, are certainly important for the ongoing development of Slovakia. However, the needs in these areas have to be balanced against broader requirements for durable stabilisation and adjustment. The strong growth in the wage and salary component of the state budget in 1998 did not appear to be matched by improvements in the efficiency and effectiveness of public administration. Rapid increases in health spending in recent years, especially when payment arrears are taken into account, are also of concern. While a detailed examination of the health sector has been beyond the scope of this survey, careful consideration of arrangements for funding and providing health services is called for to ensure that the agents involved face appropriate incentives for expenditure constraint and improvement in efficiency. Overall fiscal transparency, including the development and presentation of consolidated government accounts, is not yet as good as it should be. The planned introduction of a new Treasury system is important in this regard.

The new government has announced important steps towards tackling the above concerns and improving macroeconomic stability. Under an adjustment package agreed in mid-December 1998, the government has set a target of 2 per cent for the general government deficit for 1999. Contributing to this objective will be a reduction in public infrastructure investment, a freeze on government wages, and increases in excise taxes. Furthermore, some of the financial blockages and other distortions arising in state-owned enterprises are to be reduced through increases in regulated prices, starting with a 33 per cent increase in electricity prices in January.

Monetary policy has been under pressure

The National Bank of Slovakia (NBS) has faced challenging circumstances over the past two years. The crown has come under significant selling pressure on several occasions, a result both of the volatility in international financial markets and, more importantly, of domestic factors. The latter include the high fiscal and current account deficits, and increased uncertainty in the lead-up to the parliamentary elections in September. Expectations of a currency devaluation became widespread in the course of 1998, and the NBS was engaged in an increasingly expensive defence of the crown. Faced with the loss of nearly US$1 billion in official foreign exchange reserves between August and early-October, the NBS announced on 1 October 1998 that the fixed exchange rate regime had been abolished and the currency allowed to float. The currency immediately fell by around 10 per cent, but subsequently strengthened and has recently been trading just below its pre-float level.

The National Bank needs to build the credibility and transparency of its new policy framework

In the circumstances it faced, the NBS had little choice but to provide much more scope for market forces to determine the value of the currency. Overall, the transition to this new regime appears to have been well handled. The task now facing the Bank is to build the credibility and transparency of the new monetary policy framework. This entails several requirements. The NBS should maintain its prudent policy stance, particularly while uncertainty remains high in international and domestic financial markets. A lower exchange rate, in itself, is unlikely to produce sustainable improvements in the external balance; support is also needed from fiscal policy and structural reforms. A large fall in the crown could also cause difficulties for banks, enterprises and the public sector because of exchange rate exposure associated with their foreign currency debt.

Furthermore, the context within which monetary policy is conducted has become more complex. With "headline" inflation likely to rise in the near-term as further price deregulation occurs, the NBS needs to ensure that its ultimate objectives on core inflation are attained. This requires that the relative prices changes arising from exchange rate depreciation and higher energy prices do not feed into a domestic wage and price spiral. The Bank is correctly

putting particular emphasis on its communication strategy to ensure that its policy stance and objectives are clearly understood throughout the economy. In this regard, a higher profile could be given to medium-term inflation objectives such that, if progress towards low inflation is not satisfactory, a tightening of monetary conditions should be expected. The Bank will also need to continue developing – both for its own conduct of monetary policy and for market understanding of the policy stance – a set of short-term indicators which are seen as consistent with medium to long-term policy goals. The money aggregates may continue to play a role in this regard. In the longer term, however, they may have to be supplemented by other measures: for example, useful insights can be drawn from the experiences of other countries in using a "preferred" range for the exchange rate, supported if necessary by indirect instruments, or a broader monetary conditions index combining interest and exchange rates.

Little progress has been achieved in the restructuring of the state-owned banks...

The situation in the banking sector remains much the same as was set out in the previous Survey. The two large state-controlled banks, holding around 40 per cent of total banking assets, have a substantial burden of bad debts and still face the urgent need for restructuring, recapitalisation, and privatisation. Another bank (the Investment and Development Bank, IRB, which had around 6 per cent of total assets) failed in December 1997 and was placed under the direct administration of the National Bank. In September 1998, 22 per cent of total bank claims were in the substandard, doubtful and loss categories, mainly the last. After taking into account guarantees, collateral and reserves, banks' uncovered exposure to classified claims was nearly SKK 18 billion, or 3 per cent of total claims (with all of this net exposure in the state-controlled banks). These data seem to suggest that the problem of non-performing loans has to some degree been contained, mainly through banks committing their profits to building up provisions and reserves, and through state support in a variety of forms.

... despite a high level of provisions for bad debts

However, several concerns should be noted. The actual quality of collateral is questionable, especially if these assets need to be liquidated rapidly at a time when

confidence and market demand may be weak. A careful audit of IRB after this bank had been placed under the National Bank's supervision raised doubts about the value of collateral on its books, as well as uncovering a greater volume of problem loans than had been declared. Furthermore, the high level of government-guaranteed bank loans – about SKK 100 billion in total – represents a large fiscal risk, as noted above, and simply transfers the bad debt problem from the banks to elsewhere in the public sector. Concerns also arise with the high level of "special mention" claims (which represent 10 per cent of total claims), particularly in the case of loans that have been restructured on favourable terms for enterprises which may still face financial difficulties.

Therefore, improving the functioning and level of financial intermediation remains an important task to be accomplished

While continuing to dominate the sector, the big state banks nevertheless have been steadily losing market share to a large group of privately-owned banks which are generally profitable, carry low levels of non-performing loans and, in many cases, have foreign capital participation. This trend needs to continue. In particular, the level of competition and dynamism in the sector would be further improved through the restructuring of the large banks, and the progressive removal of various forms of explicit and implicit state support that tend to protect their current positions. Various approaches to restructuring are currently being considered. Several measures could be applied: the use of NBS reserves and provisions; transfer of some bad loans to the Consolidation Bank; more favourable tax treatment of reserves, provisions and unpaid interest (within fiscal constraints); and increased use of out-of-court settlements. The process of bank restructuring should be helped by the new government's apparent determination to deal with this problem as a matter of priority, and by the improved cooperation that is evident between the National Bank and Ministry of Finance.

Regardless of the particular approach taken, it is essential that this process be transparent, rapid and robust. The impact of restructuring on public finances needs to be made clear, whatever form this support takes; speed is vital because a sound banking sector is essential for the overall

health of the economy; and the chosen method should minimise the prospects of current difficulties recurring. The last condition would be difficult to fulfil while banks remain under state control. Hence privatisation of these banks should be pursued to ensure that the banks face the normal market pressures to remain in sound shape, and to reduce the moral hazard concerns that surround state ownership. But privatisation has to be seen in conjunction with strengthening the capital base of the banks. Indeed, the new owners need to have a substantial stake of their own funds in the banks to avoid moral hazard of another kind. In this regard, the participation of foreign strategic investors offers the means of boosting the level of capital and expertise in the banking sector, especially in view of shortages of domestic resources in these areas. It is noteworthy therefore that the economic programme of the new government recognises the importance of involving foreign investors in the bank privatisation process, and rules out privatising banks to their debtors.

Progress in enterprise restructuring also presents a mixed picture...

Despite the fact that evaluating the extent of enterprise restructuring is certainly a complex exercise, some robust findings have emerged in this Survey. There is a critical mass of enterprises that have been through the crucial initial steps of restructuring as a result of major adjustments in productivity, products and markets. There are several cases of firms which are also well-advanced in the process of a deeper restructuring, but this process needs to be broader-based in order to support sustainable growth. In the enterprise sector as a whole, financial difficulties are still evident. Most financial indicators have recently deteriorated, including declining profits, deteriorating liquidity and rising indebtedness. The last item includes not only banks' non-performing loans, but also increased inter-enterprise and tax arrears.

A core of very problematic enterprises is reasonably well identified. Indeed, some enterprises or sectors are still lagging behind, even in terms of the first steps of restructuring. Typically, this is the case of large enterprises playing the role of a big regional employer. Their adjustment has been blocked by social concerns that there will be few alternative

employment options in the same region for workers losing their jobs in these enterprises. This lack of progress has also drawn on a complex web of direct and implicit financial support, including payment arrears to social security funds, special credit conditions from banks, and non-payments to the National Property Fund. The machinery companies that have been restructured out of the former armaments producers also appear to have production capacities well in excess of market requirements, despite significant employment declines early in the transition.

... with a policy environment that needs to be improved

Instead of market realities being allowed to take their course, some of these problematic large enterprises have been granted special protection under such measures as the Strategic Enterprise Act and the recently cancelled Revitalisation Act. More generally, banks have been unable (or unwilling) to pursue bankruptcy procedures in such cases. Social concerns have to be recognised and addressed directly, but trying to deal with these by blocking adjustment is likely to have higher costs over the long run. In particular, locking in real and financial resources in these enterprises will inevitably slow the process of enterprise creation and growth in more dynamic sectors. As discussed above, the imbalance between an expansionary fiscal policy and a firm monetary policy has created serious problems in the access to and price of finance. The actual trade openness of the economy contrasts with the perception on the part of foreign investors that the authorities and enterprises, at least until recently, have had a strong preference for domestic ownership and control. The flow of foreign direct investment (FDI) to Slovakia has remained modest, thus limiting the benefits that FDI can bring in such areas as technology transfers and improved corporate governance. It is to be hoped that current efforts to improve the external image of Slovakia will yield a strong return in terms of resources for enterprise restructuring.

The new government is aiming to improve transparency in the privatisation process and re-assess the role of strategic enterprises

The privatisation process has continued, mainly through direct sales. Many sales have been financed through long-term instalment payments to the National Property Fund (NPF), which is reflected in a modest total accumulated income (including interest). In most respects, the concerns expressed in the previous Survey still apply. One of the key recommendations was for a higher level of transparency in the way buyers were chosen and prices set in privatisation deals. In this respect, the new government has announced its intention to increase the level of transparency and competition. This would be an important step forward. The continued state ownership of the "strategic" enterprises and the major financial institutions also needs to be addressed. By providing financial facilities to other firms via the pricing system, or allowing payment arrears, some large strategic companies, including natural monopolies, have had an indirect harmful impact on competition and financial discipline. The National Property Fund itself remains a focus of concern. By 2001, the NPF will have to redeem a large stock of privatisation bonds. The problem is that these liabilities are covered by assets that largely comprise the strategic entities which it is prevented from selling. In the near future, the government will have to decide whether the NPF's obligations are to be met from asset sales or other budgetary sources, or whether they will be somehow deferred.

An important and positive change in bankruptcy procedures could help the restructuring process...

In Slovakia, bankruptcy has not been used as an instrument for restructuring. As described in the previous Survey, there have been major difficulties in implementing bankruptcy and settlement provisions. These concerns related in particular to the time-consuming nature of the conciliation hearings between debtors and creditors before bankruptcy procedures start, the weak position of minor creditors and the over-burdening of the court system. Against this background, a recently adopted Amendment has brought positive changes. A major step is the introduction of an obligation for the debtor to file a bankruptcy settlement petition, if he or she has been in the state of "indebtedness" for more than 60 days. It is from now on an infraction under the Criminal Code for debtors not to comply with this obligation. Given the difficulties on the part of creditors to assess

the financial situation of their debtors and the delays in the court system, this provision could significantly improve the implementation of bankruptcy procedures. The new amendment also simplifies and makes more effective the settlement procedures between creditors and debtors.

... while the Revitalisation Act was highly questionable and was wisely cancelled by the current government

The former Act on "Revitalisation of Enterprises" came into effect in July 1997. This Act was targeted particularly on firms which were important regional employers. It provided for the deferment of payments of various taxes and social charges, exemptions from some late-payment penalties, and agreements on various forms of loan restructuring. Firms undergoing revitalisation would also be immune from bankruptcy proceedings. There were many applications (over 1000) for revitalisation; 16 were given preliminary approval but, in the end, no plan was actually implemented. Soon after taking office, the new government cancelled the Revitalisation Act. This was a wise decision. While there is a logic in dealing with the bad debt problem simultaneously with bank and enterprise restructuring, there were several sources of concern regarding this Act. Firms hoping to come under its provisions may have delayed their tax and social insurance payments, contributing to the revenue shortfalls in the state budget and increased arrears observed in 1997 and 1998. More generally, in providing selective state support for particular sectors and enterprises, the Act substituted for measures such as bankruptcy provisions which should be implemented on a broad and neutral basis across the economy. In sum, the Revitalisation Act seemed to be an ill-designed approach to enterprise restructuring. The difficulties encountered in this episode may nevertheless provide some useful insights and lessons regarding the design of future projects for enterprise restructuring.

Solving regional disparities, notably in terms of unemployment rates, will require a higher level of co-ordination among policies

The 1996 Survey described why the *regional* dimension of unemployment was the key to understanding both the origins and persistence of aggregate unemployment figures. Slovakia is characterised by a large mismatch between the density of economic activities and the concentration of the unemployed. Parts of Slovakia, in particular eastern and southern regions and old industrial areas, are lagging behind the more dynamic western part of the country. Efforts to increase labour market mobility have shown limited effects. Growth resulting from FDI and exports has remained concentrated in selected areas well-endowed with infrastructure and information links. Experience in OECD countries illustrates that regional disparities are an impediment to the structural adjustment process. At present, regional policy in the Slovak Republic is focused on modest funding for selected projects and has been treated somewhat as a sector in and of itself. The authorities have been aiming to introduce a more explicit regional policy, although there is a debate concerning its relative scope and scale, the appropriate instruments, and the extent to which decentralisation and devolution of fiscal authority to lower levels will improve its effectiveness. Fiscal redistribution policies alone are not sufficient to reduce the regional development problems. Moreover, sectoral policies such as environment, employment and social protection have also important regional dimensions and therefore are an implicit component of regional policy. The Slovak government should aim at a higher level of co-ordination between these different types of policies. A more balanced approach is required involving highly targeted policies to assist regions in serious difficulty, and horizontal policies to promote economic diversification through creation of favourable conditions for new business and inward investment.

Summing-up: Slovakia is at a cross-roads of policies

The Slovak economy reached a turning point in 1998. The mechanisms that have sustained high growth rates to date approached their limits, suggesting that Slovakia will have to find a more balanced growth path in the future. In many regards, Slovakia is currently at a cross-roads of policies, at a time that coincides with the introduction of the new government's programme. The Survey aims to clarify a somewhat complicated picture in order to give an

evaluation of the economy which is as accurate as possible. On the basis of this assessment, Slovakia is not an emerging economy on the verge of a crisis, but nor is the 6 per cent growth of GDP in recent years a sign of fully solid recovery.

Pursuing economic restructuring and achieving better co-ordination between monetary and fiscal policies are the key conditions for sustainable growth. These are also the conditions for increasing the much awaited flow of foreign direct investment that will be required to accelerate restructuring. Slovakia is entering a phase where good design and balance of policies are critical. It is also particularly important for the image of the country that Slovakia be seen to be adopting such policies. Time should not be lost. The Survey has particularly emphasised the need to ensure policy transparency and coherent macro-structural links. If implemented, such an approach will help Slovakia's successful integration in the group of established market economies.

I. Main economic developments

The years 1996-98: growth and imbalances[1]

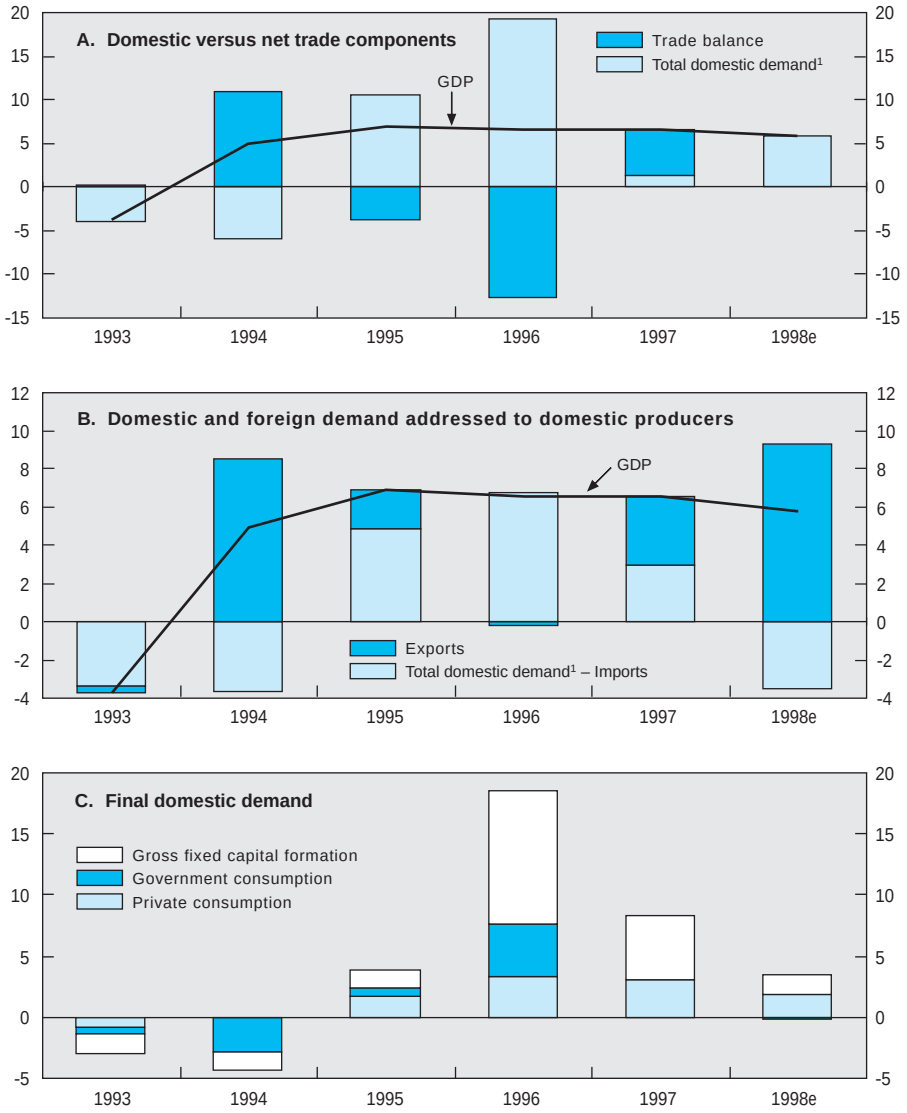
The combination of high GDP growth rates and relatively low, stable inflation has ranked Slovakia amongst the most successful transition countries as regards macroeconomic stabilisation. The previous OECD Survey (OECD, 1996) attributed the good macroeconomic performance of Slovakia mainly to a sound and credible monetary policy, prudent fiscal discipline and the relative openness of the country. Nevertheless, while acknowledging the difficulties of building a new country, the Survey pointed out that structural reforms were lagging behind in several important areas, notably the banking sector and large industrial enterprises.

It was argued that these structural weaknesses could affect growth. Indeed, observation of the transition process across a number of Central and Eastern European countries shows that macroeconomic stabilisation cannot be sustained without broader support. In this respect, the critical variable is clearly not the GDP growth rate in itself, but rather the speed and depth of structural reforms and change. The continuation of the strong growth performance of Slovakia in 1996-97 with, at the same time, slow progress in the key micro-reforms referred to above is at first sight puzzling. But the assessment of this report is that it may be difficult to sustain these recent rates of economic growth. The following sections aim to clarify these issues.

Strong growth continued...

After the impressive 6.9 per cent increase in 1995, GDP growth decreased only slightly to 6.6 per cent in 1996 and to 6.5 per cent in 1997. Preliminary data for 1998 suggest that GDP continued to grow at a fast pace (around 6 per cent). These figures put Slovakia, together with Poland, among the fastest growing countries in Central and Eastern Europe. However, different forces were at work within these rather uniform rates (Figure 1). While the recovery of the early years of transition was driven by external demand, after 1995 this trend was reversed and domestic components started to play the dominant role.

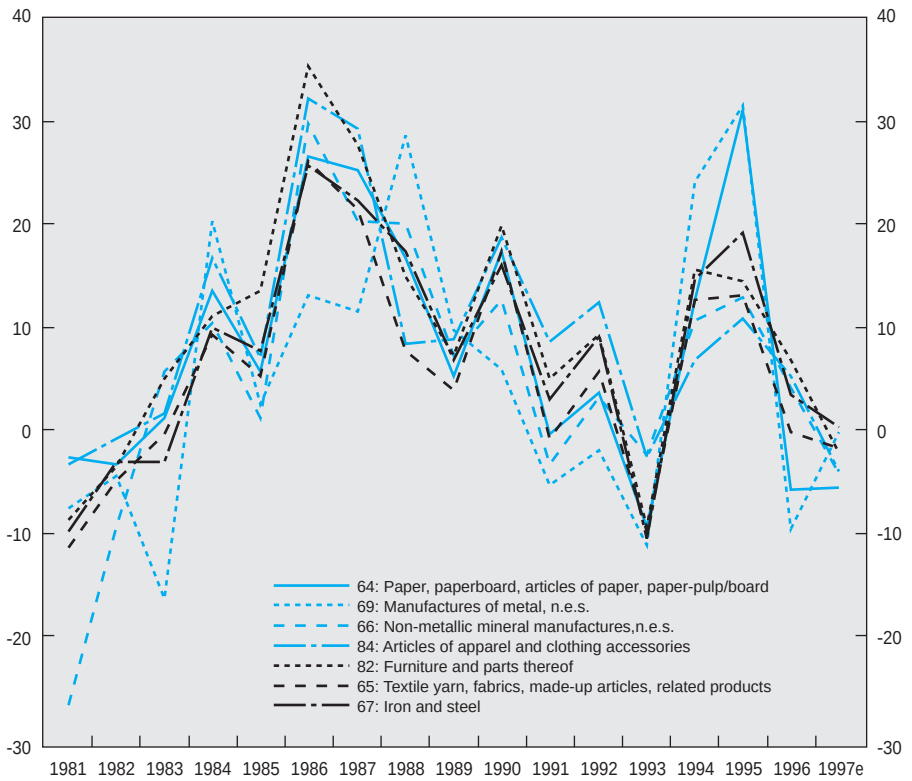
Figure 1. **Contributions to GDP growth**
As a percentage of GDP in previous year



e: Estimate.
1. Including stock variation.
Source: Statistical Office of the Slovak Republic, INFOSTAT.

That the strong export growth of the 1994-95 period could not be sustained is related to the structure of the economy. The bundle of products exported by Slovakia is still rather narrow and quite sensitive to demand cycles (OECD, 1996). After benefiting from an expansionary phase of OECD imports for its main export items, Slovakia – like other transition countries – was affected by a sharp cyclical downturn in 1996 (Figure 2). The latter decline was reinforced in Slovakia by the indirect spillover of the slowdown of exports also felt by the Czech Republic (OECD, 1998).[2] As in the Czech Republic, the steady appreciation of the real exchange rate, especially in terms of unit labour costs,

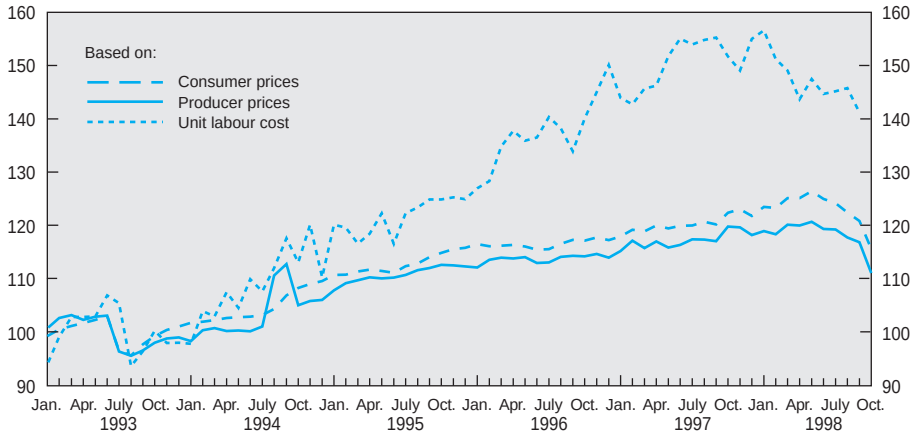
Figure 2. **OECD import cycles for main export items of Slovakia**
Year-on-year percentage growth



e: Estimate.
Source: Statistical Office of the Slovak Republic, OECD.

also represents a steady erosion of external competitiveness (Figure 3). The combined result of these factors was that, in 1996, the contribution of exports to GDP growth was slightly negative (panel B of Figure 1).

Figure 3. **Real effective exchange rate**[1]
1993 = 100



1. Effective exchange rate (weighted with currency basket: 60% DM and 40% US$), growth in the index denotes appreciation of the Slovak koruna and *vice versa.*

Source: Statistical Office of the Slovak Republic and OECD.

With a share of exports plus imports to GDP of 120 per cent in 1997,[3] Slovakia is strongly dependent on the external sector. Under these conditions, the decline of exports would be expected to have slowed GDP growth. But an extraordinary push from investment and also from government consumption more than compensated for the export fall. The figures speak for themselves: in 1996, gross fixed capital formation increased by 39.8 per cent in constant 1995 prices and public consumption by 20.3 per cent, a sharp increase from 5.3 and 2.9 per cent growth respectively in 1995. Roughly one-half of the new investment was conducted in the public sector, notably with the start-up of an ambitious programme of motorway construction. In addition, private consumption also accelerated from 3.4 per cent growth in 1995 to 6.9 per cent in 1996 (panel C of Figure 1). The problem with this – largely autonomous – demand push was that it also induced a strong increase of imports.

... but macroeconomic imbalances also grew...

The most immediate sign of emerging imbalances in 1996 was the massive deterioration of the current account. From a slight surplus in 1994-95, the current account shifted in 1996 to a serious deficit of 11.2 per cent of GDP (or US$2.1 billion).

Increasingly concerned about the rise of the current account deficit and possible pressures on the currency and the overall disinflation process, the central bank adopted a series of measures in mid-1996 to restrain credit and consumption growth (see Chapter II). Reflecting this tightening of monetary policy, interest rates in the money market increased to 15 per cent at end-1996 from under 10 per cent in the first quarter of that year. The significant rise in real interest rates created a tough credit constraint on the enterprise sector and on the financing of the state budget (see Chapters II and IV).

In 1997, the government sought to support the action of the central bank by introducing a package of administrative measures to slow imports. Their growth indeed decreased from 30 per cent in 1996 to 1.2 per cent in 1997. There was a fall in imports of small cars of nearly SKK 9 billion (1.5 per cent of GDP) compared with a SKK 17 billion increase in 1996. This followed the re-imposition of import duties (which had been removed in 1996), and may have contributed to the drop in imports from the Czech Republic. An import deposit scheme was introduced in May 1997, followed by a reinstated import surcharge of 7 per cent in July. Another important measure was the tightening of requirements for "quality certificates" on imports. A more direct influence came from aircraft brought in from Russia as in-kind settlement of Russian debts to Slovakia, which had driven imports up by SKK 8.7 billion (1.5 per cent of GDP) in 1996; this factor was not present in 1997. The decline in world oil prices in 1997 may also have contributed to the fall in imports from Russia. In order to contain wage growth and private consumption the government also introduced wage regulations (see below).

Despite these measures, the current account deficit remained high at 9.7 per cent of GDP in 1997. Other macroeconomic imbalances that had emerged in 1996 intensified with important consequences for economic and financial conditions. In particular, the consolidated budget deficit widened to over 4.4 per cent of GDP, while monetary conditions tightened further. Immediately after the exchange-rate crisis of May 1997 in the Czech Republic, the Slovak koruna also came under speculative attack. Strongly committed to the stability of the currency, the central bank resisted these attacks by further raising interest rates and tightening credits to the economy. The Ministry of Finance found it increasingly costly to finance the budget deficit, with some auctions of Treasury bills peaking at interest rates of over 25 per cent. In order to reduce the costs of raising funds in the domestic market, the authorities authorised foreign investors to take part in the T-bill market as of end-November. However, as of mid-1998, foreign demand

accounted for under 1 per cent of total demand for treasury bills. Moreover, tight liquidity conditions appear to have been one factor contributing to the problems faced at end-1997 by one of the major Slovak banks – the Investment and Development Bank – which was put under custody of the central bank (see Chapter II).

... and in 1998 the economy reached a turning point

Against this background, the Slovak economy reached a turning point in 1998. The mechanisms that have sustained high growth rates to date may be reaching their limits, suggesting that Slovakia will have to find a more balanced growth path in the future. During the first half of 1998, money market interest rates eased substantially, but then increased again as pressures on the exchange rate rose; real commercial lending rates were still above 15 per cent towards the end of the year. The restrictive monetary policy put in place since 1996 is curtailing demand, but with adverse impacts on the enterprise sector. Profits have declined rapidly and financial arrears are growing (see Chapter IV). Supported by heavy external borrowing of the public sector and large enterprises, the fixed investment rate in Slovakia reached 38 per cent of GDP in 1996-97 and continued at comparable levels in 1998, but an external credit constraint is now starting to bind. Following the crisis in the emerging Asian economies and in Russia, credit conditions have become more difficult in the international markets. In view of the persisting current account difficulties, several international agencies downgraded the credit ratings for Slovakia in 1998 (see Chapter II).

At the same time, the administrative measures adopted in 1996 and 1997 to contain imports are becoming less binding. The import surcharge introduced as a temporary corrective measure was already phased down to 5 per cent in January, 3 per cent in April and was abolished in October 1998. Concerning the quality certifications, they acted more in delaying imports than in really decreasing the demand for foreign goods. Many of the imports that would have occurred in 1997 were in this way postponed to 1998. As a result, the trade deficit appears to be widening again. From January to October 1998, the recorded cumulated trade deficit amounted to US$1.9 billion.[4] At this rate, the deficit for the year would come to about 10 per cent of GDP, implying a current account deficit of roughly the same magnitude.

In 1998, private demand remained buoyant, with retail sales growing at high rates (8.4 per cent year-on-year in October, compared with 6 per cent in the same period of 1997). For the whole year, GDP growth will probably be around 6 per cent. Under these conditions and without a positive evolution of the trade balance, the central bank was unable to ease monetary conditions. In early October, the pressures on the currency led the Bank to abandon the fixed exchange rate regime and to float the Koruna.

The current account problem

The persistent external deficits are linked to the structure of the economy

Slovakia is a small country with a highly open economy. In 1997, the penetration ratio (imports over domestic demand) was a high 37 per cent. For the economy as a whole, the ratio of exports to gross output was 23.4 per cent, but in many industrial sectors the ratio of sales for export to total sales was above 50 per cent. As shown in Table 1, the reduction of export growth of 1996 was immediately reflected in the slowdown of industrial production. This strong outward orientation of the economy is no doubt beneficial, but it also calls for strict macroeconomic discipline. When high GDP growth is driven mainly by domestic demand, it is likely that trade and current account deficits will also emerge.

Indeed, the current account "problem" seems to be deeply rooted in the structure of the economy. First, sustained export-driven growth has been bound by the fact that the bulk of exports is over-reactive to demand cycles in Western markets (OECD, 1996). The evolution of the trade structure (Table A10, in the Statistical Annex) indicates little change between 1995 and 1997 in the concentration and ranking of the comparative advantages dominated by low value-added, price sensitive segments of the manufacturing sector. Given this industrial structure, there is little prospect over the long-run of an increase in the terms-of-trade, which actually have slightly decreased over recent years. The only major change in the trade structure has been the emergence of motor vehicles as the second largest export item (11 per cent of exports in 1997), on account of increased production in a large Volkswagen plant located near Bratislava.

Second, imports of consumer goods owe much to the inertia of the inherited "division of labour" within the former CMEA block. In Slovakia, as in other transition countries, there were large production capacities for base intermediate goods using raw materials and energy imported from the former USSR, but only a limited range of finished goods was produced. After the transition, the demand for consumer goods produced in Eastern Europe largely collapsed, with consumers demanding more product variety and quality. In this context, the large production capacities of intermediate goods (*e.g.* iron and steel, and basic chemicals) have served as a base for exports, but in counterpart many consumption goods as well as investment goods have to be imported. At this stage of transition, this specialisation can be beneficial for the country providing the external accounts are balanced or deficits are sustainable.

This structural pattern implies not only that excess final demand tends to be channelled into imports but also that industrial output is quite dependent on imports of energy and raw materials. In this context, the real exchange rate appreciation of recent years has provided a relative cost advantage to heavy

Table 1. **A strong dependency on the external sector**

In percentage

ISIC rev 3	Sales for export/total sales		Industrial production growth		Sales for export growth	
	1995	1997	1996/95	1997/96	1996/95	1997/96
Industry in total	42.9	37.7	2.9	2.1	–9.1	4.6
of which:						
CA Mining and quarrying of energy producing materials	1.5	9.3	3.4	13.0	112.0	138.1
CB Mining and quarrying except energy producing materials	30.7	23.8	8.2	–1.7	–1.0	–15.5
DA Manufacture of food products; beverages and tobacco	9.5	7.3	5.6	–1.2	–12.5	–9.3
DB Manufacture of textiles and textile products	56.7	55.7	–3.3	–11.4	–2.9	–12.9
DC Manufacture of leather and leather products	40.9	47.0	0.8	–27.3	–6.8	–7.0
DD Manufacture of wood and wood products	49.3	43.8	–2.7	–1.8	–8.9	–6.1
DE Manufacture of pulp, paper and paper products; publishing and printing	51.5	51.6	5.2	11.8	8.1	12.5
DF Manufacture of coke, refined petroleum products and nuclear fuel	49.0	49.8	–3.9	3.2	–6.9	9.6
DG Manufacture of chemicals, chemical products and manmade fibres	65.0	63.9	3.0	–3.2	0.6	0.2
DH Manufacture of rubber and plastic products	61.2	64.2	3.2	1.1	–1.7	13.4
DI Manufacture of other non-metallic mineral products	52.9	35.1	–0.3	2.0	–27.4	–4.0
DJ Manufacture of basic metals and fabricated metal products	64.8	30.4	–8.3	6.3	–44.7	–17.0
DK Manufacture of machinery and equipment NEC	43.0	43.4	7.2	–3.5	2.9	2.6
DL Manufacture of electrical and optical equipment	52.1	52.8	14.4	16.8	6.6	34.1
DM Manufacture of transport equipment	76.7	78.7	22.1	14.6	19.4	25.7
DN Manufacturing NEC	39.2	38.5	11.0	–6.9	12.5	–7.8
E Electricity, gas and water supply	18.3	18.8	4.9	–3.0	10.4	4.9

Note: To 1996 enterprises with 25 and more employees, since 1997 with 20 and more employees.
Source: Statistical Office of the Slovak Republic.

industries *vis-à-vis* light industries using local inputs. In other words, it may have reinforced the comparative advantages[5] in the former rather than in the latter industries.

While there are underlying structural factors for the trade balance to be in deficit, service revenues have tended to display surpluses (Table 2). These are mainly due to the revenues from transportation of Russian gas through the

Table 2. **Consolidated balance of payments**

US$ million

	1994	1995	1996	1997	Jan.-Sept. 1998
Trade balance	80	–228	–2 293	–2 010	–1 575
Exports (fob)	6 691	8 579	8 831	8 253	7 853
Imports (fob)	6 611	8 807	11 124	10 263	9 427
Services balance	636	540	36	75	–78
Transportation	377	309	248	399	223
Travel	327	302	190	107	–21
Other services	–68	–71	–402	–430	–280
Income balance	–119	–14	–45	–122	–108
Interest and dividend income	107	223	205	294	325
Interest and dividend payments	269	260	258	428	445
Employee compensation, net	43	23	8	13	13
Current transfers	69	92	203	175	218
Official	6	17	10	10	–1
Private	63	76	193	165	218
CURRENT ACCOUNT	666	391	–2 098	–1 882	–1 542
Capital transfers	87	46	30	0	43
Net medium and long-term financial account	1 026	834	1 190	1 179	1 675
Direct investments	236	194	277	69	211
Portfolio investment	272	246	5	25	–110
Loans from abroad	336	325	771	1 026	1 527
Lending abroad	182	69	136	59	47
Net short-term financial account	–569	91	962	581	–175
Clearing balance (–, surplus)	–623	–951	0	0	0
Payment for exceeding credit limit	275	1 034	0	0	0
Capital and financial account	196	1 054	2 182	1 760	1 547
Errors and omissions	429	134	154	168	–313
OVERALL BALANCE	1 291	1 579	237	46	–308
Changes in reserves (–, growth)	–1 290	–1 579	–237	–46	308
Gold holdings	0	–2	–80	115	–129
Holding of SDRs	–82	33	41	–11	25
Foreign exchange assets	–1 208	–1 610	–198	–151	412

Source: National Bank of the Slovak Republic, Balance of Payments Department.

pipeline crossing the Slovak territory and serving Western and Southern Europe. Tourism could be another source of revenues. However, the development of the tourism sector is somewhat below expectations.[6] Revenues have been stable, but with more Slovaks travelling abroad expenditures have also increased. In 1997, these service items generated a net surplus of US$0.5 billion, covering one

quarter of the trade deficit. However, since 1996 the deficit in "other services" has increased substantially, while the income balance seems likely to experience a trend deterioration as interest payments related to the external debt increase. In consequence, the cushioning effect of invisibles is disappearing so that trade deficits are now directly reflected in the current account.

The deficits have been mainly financed by corporate borrowing

The current account deficits have been financed mainly by "other" investment – *i.e.* the external borrowing of Slovak enterprises and banks. Long and medium-term inflows reached roughly US$1 billion per year in 1996-97. In contrast, net foreign direct investment (FDI) inflows in this period were on average only US$173 million a year. Net portfolio investment even decreased after 1995. Short-term capital provided the rest of the financing, with approximately US$1 billion of net inflows in 1996 and 0.6 billion in 1997.

In two years, the gross foreign debt doubled from US$5 billion at the end of 1995 to US$10 billion at end-97, or 50.9 per cent of GDP (Table 3). By September 1998, this level had increased to US$12 billion. One half of the

Table 3. **Foreign debt and reserves**

End of period, US$ billion

	1995	1996	1997	1998			
				July	August	Sept.	Oct.
Total gross foreign debt	5.8	7.8	9.9[1]	11.9	12.2	11.9	
Official debt of the government and the NBS	2.0	1.7	1.8	2.3	2.4	2.4	
Foreign debt of enterprises	2.7	3.8	5.1	6.0	6.0	6.2	
Foreign debt of commercial banks	0.9	2.2	2.9	3.6	3.8	3.2	
Short-term debt	1.9	3.1	4.3	4.9	5.2	4.8	
Medium and long-term debt	3.9	4.7	5.6	6.9	7.0	7.1	
Total gross debt per capita (in US$)	1 099.0	1 473.0	1 867.0	2 207.0	2 261.0	2 201.0	
Total gross debt (in % of GDP)	33.4	41.5	50.9	60.7	61.2	62.2	
Foreign reserves	5.0	5.7	6.5	7.8	7.9	6.6	6.8
Official reserves of NBS	3.4	3.5	3.3	3.8	3.6	3.1	3.0
Reserves of commercial banks	1.6	2.2	3.2	4.1	4.3	3.5	3.8
Official reserves in months of import of goods	4.7	3.8	3.8	3.6	3.5	3.0	2.8
Foreign reserves (in % of GDP)	29.0	30.3	33.4	39.9	40.3	33.8	34.7

1. At the end of December 1997, the actual level of foreign debt was higher by roughly US$800 million. The level of foreign debt was reduced to US$9.9 billion artificially, due to an accounting operation performed by a foreign bank based in the SR in December 1997.

Source: National Bank of the Slovak Republic.

external borrowing constituted debts of the enterprise sector (US$6.2 billion in September 1998); the combined government and central bank debt totalled US$2.4 billion and that of banks US$3.2 billion. Around 40 per cent of total debt was short-term (less than one year).

Official reserves have not been used to finance the current account deficit, although the substantial accumulation of reserves in the 1994-95 period – almost US$2.8 billion in two years – was halted. After peaking at US$3.8 billion in August, by early October 1998, the Central Bank foreign exchange reserves decreased to US$3 billion or roughly three months of imports of goods. At the same time, commercial banks' reserves were still at a substantial level of US$3.8 billion as a counterpart of the increased private foreign debt. This is due to a strict central bank regulation regarding the minimum foreign exchange position of banks (see details in Chapter II). Therefore, in net terms the external debt of the Slovak economy is roughly half of the gross debt, amounting to 28 per cent of GDP in September 1998.

How far can a current account deficit be sustained?

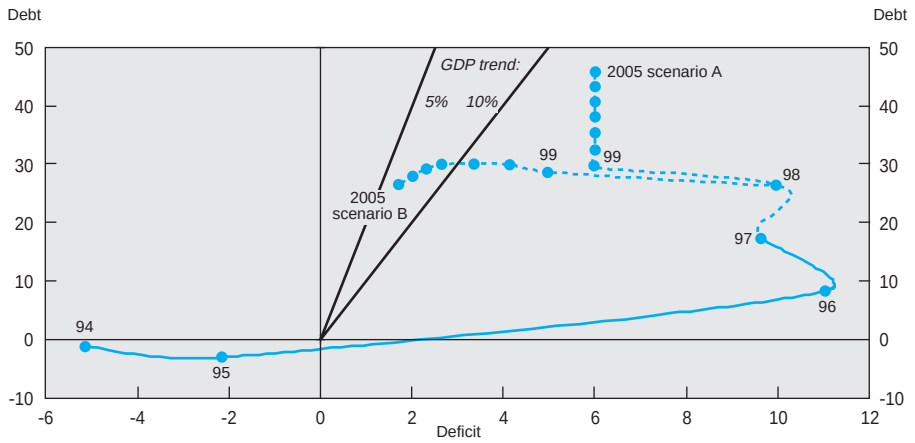
There are serious concerns arising from the recent accumulation of current account deficits. Indeed, some risk factors that affect the sustainability of current account deficits in general are present in the Slovak economy, particularly the interaction between macroeconomic imbalances, increasing external debt and a weak banking system. Nevertheless, the level of short-term portfolio investment is still relatively small, thus limiting the possibility of sudden outflows, and the exchange rate has remained relatively stable after the central bank's decision to float the crown. In this respect, a clear asset in the case of Slovakia is the strong credibility of the central bank. In addition, the level of the net debt is still below the indebtedness reached by other emerging markets just before a financial crisis occurred.

In Annex I, a simple quantitative approach for defining a sustainable current account deficit is set out. The basic principle is the following. The ratio of debt to GDP cannot grow indefinitely. This debt ceiling can depend on multiple factors and varies from country to country, but at some point it has to be stabilised or even decrease. For a given rate of GDP growth, there is then a level of deficit compatible with a stable *net* debt to GDP ratio (hereafter, ND/GDP). This framework can be represented in a two-dimensional chart, where the level of the debt ratio is a function of the current account deficit expressed in per cent of GDP. This relation is drawn for Slovakia in Figure 4.

The chart shows that the present level of deficit cannot stabilise the ND/GDP ratio in the medium-term even for an optimistic trend of around 10 per cent growth of nominal GDP per year (expressed in foreign currency, say US$). Another year like 1998 would increase the ratio of ND/GDP to close to 40 per cent. Even

Figure 4. **The sustainability of the current account deficit**

In percentage of GDP



Scenario A: Current account deficit remains at 6% of GDP; GDP growth at 5% a year and inflation 6%. Exchange rate of mid-1998.
Scenario B: Same as A, with current account deficit progressively phasing down.
Source: Statistical Office of the Slovak Republic, National Bank of Slovakia, and OECD.

with an average deficit of 6 per cent of GDP, this ratio could reach 40 per cent in 5 years (simulation A). On the basis of other countries' experience, this should be viewed as an upper limit. For example, Mexico in 1994 and Thailand in 1997 were just reaching that threshold before the emergence of their respective crises (see Annex I), although other factors besides just current account deficits were underlying their difficulties.

In order to stabilise the ND/GDP ratio, the external deficit has to be progressively reduced from its current level. This suggests a possible adjustment path drawn in the chart for the period 1999-2005 (Simulation B). In this case the deficit is phased down to 2 per cent of GDP and the ND/GDP ratio stabilises at around 25 per cent. This progressive adjustment cannot be achieved only by monetary policy measures. It would require a co-ordinated stance of macroeconomic policies together with progress on the structural reform front; these issues will be treated in the subsequent chapters. Of course, another scenario could be a more severe adjustment with the imposition of a tight constraint on the external financing of the economy. These are approximate calculations, but they provide a benchmark for alerting the authorities to the risks inherent in the current external situation.

Other economic developments

Structural change

Taking into account its difficult starting position described in the 1996 *Economic Survey*, Slovakia has accomplished visible progress. For example, the share of heavy industries has declined steadily, especially in the basic chemicals and armaments industries. Overall, industry now contributes some 29 per cent of GDP; construction and agriculture each provide a share of around 4-5 per cent (Table 4). This implies that Slovakia is becoming a service economy (57 per cent of GDP in 1998). Notably in the area of wholesale and retail trade, the increasing share of services is associated with creation of new businesses (*cf.* Chapter IV).[7] These trends point to deep structural changes, which are likely to characterise its long-term features.

Table 4. **Sectoral components of GDP**

In percentage

Sector	1993	1994	1995	1996	1997	1998[1]
Agriculture	6.6	6.7	5.6	5.2	4.9	4.4
Industry	29.3	28.7	32.2	30.3	29.1	29.2
Construction	6.7	4.6	4.6	4.3	4.7	4.4
Market services	41.1	43.4	38.4	41.9	43.0	46.0
of which:						
Transportation	*6.1*	*6.8*	*6.2*	*6.1*	*5.8*	*6.1*
Communications	*1.9*	*1.9*	*2.1*	*2.6*	*2.8*	*2.9*
Wholesale and retail	*26.0*	*26.2*	*18.0*	*21.9*	*21.6*	*22.4*
Other market services	*8.3*	*8.5*	*12.1*	*11.2*	*12.9*	*14.5*
Non-market services	13.4	12.1	12.3	12.0	12.7	10.9

1. First half 1998.
Source: Statistical Office of the Slovak Republic.

According to the Statistical Office, the share of the private sector in GDP reached over 80 per cent in 1997. This figure may need some qualification[8] but, nevertheless, a rising share is a positive development. A more puzzling figure is the unusually high investment ratio, with gross fixed capital formation at current prices reaching nearly 37 per cent of GDP in 1996, a jump from 27 per cent in 1995. As already discussed, the increase was reflected in the net foreign saving inflow (*i.e.* the current account deficit) of 11 per cent of GDP in that year. The investment to GDP ratio was still 38 per cent in 1997 and apparently continued at the same level in 1998. Several factors can explain this trend. One reason is the high

concentration of industry in capital-intensive activities requiring large new investments to maintain their capital stock. The largest investors were the big companies in the energy sector (nuclear power station, transportation of gas, petrochemicals, etc.). The privatisation deals also created strong incentives to invest, because the new owners could deduct up to 60 per cent of the sales price in case of new investments. There could also be a problem with the definition of investment and perhaps insufficient control of what can be declared as an investment. It is striking that the Czech Republic – which still shares institutional similarities with Slovakia – also displays an unusually high investment to GDP ratio compared with other OECD countries in the region (OECD, 1998).

The counterpart of this high investment ratio is a high, stable national savings ratio of around 27-28 per cent of GDP in 1996-1997. It would be interesting to know more about the sources and structure of savings by domestic agents. Unfortunately, the statistics on savings by economic agents are not yet available for the years 1996-97. On the basis of the statistics available for the year 1995, one can suppose that households did not contribute more than 10 per cent of GDP to the national gross savings rate. Consequently, the bulk of financing is done by the enterprise sector itself. In some sense, self-financing is the only option for enterprises, given the under-development of financial intermediation and the restrictive monetary conditions of recent years. This issue is discussed further in Chapter IV.

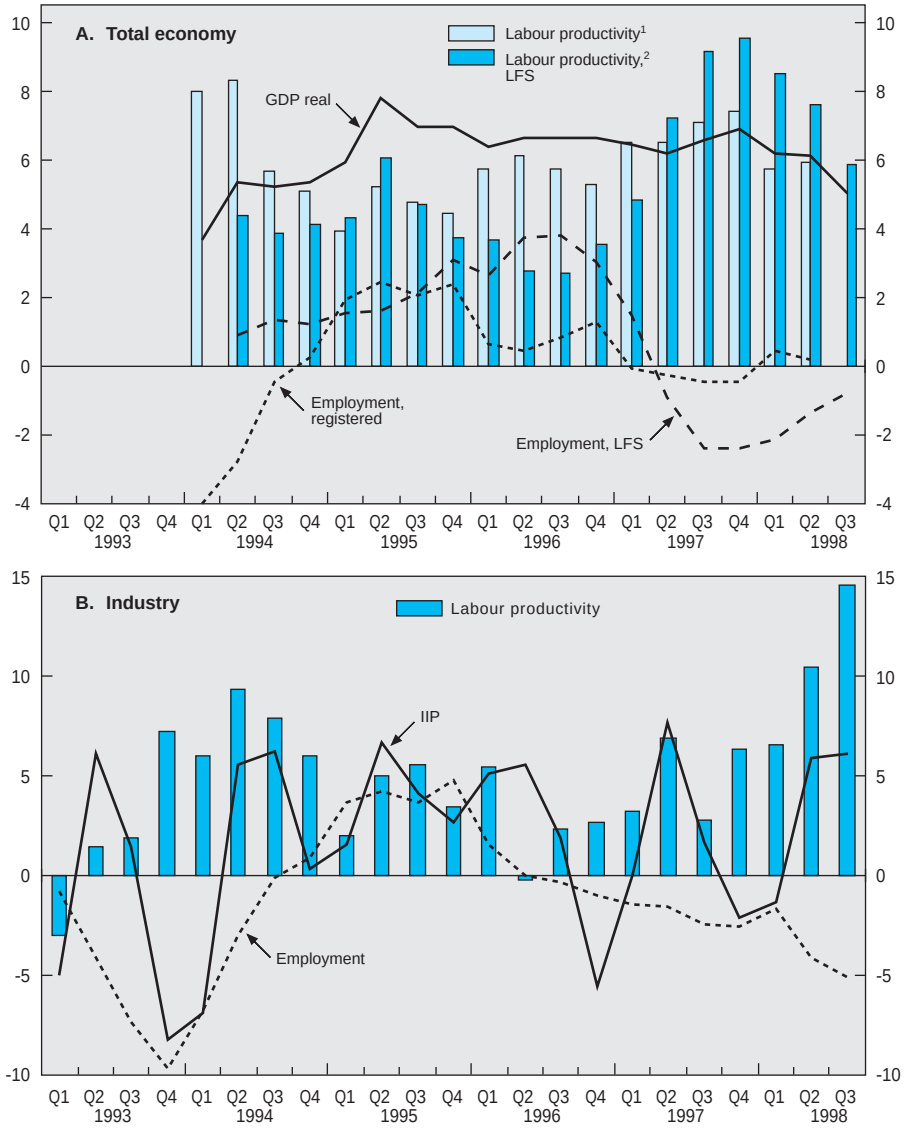
Despite the high investment ratios, the increase in labour productivity has been somewhat uneven during recent years, notably in industry (Figure 5). High rates of productivity growth of about 8-10 per cent in the industrial sector during the early phase of recovery did not continue in 1996 and 1997. This probably reflects cumbersome restructuring of large industrial conglomerates that are important local employers. Some big companies undertook new investments and strategic product choices, but most of the inherited workforce remained in place, with very limited redeployment to other activities.

In contrast, productivity in the non-industrial sector appears to be growing more steadily. Prudent interpretation of these figures is required, however. Different patterns emerge depending on whether employment is measured according to labour force survey data, or from administrative records of enterprises (Figure 5).

Labour market

Since 1994, the active labour force has increased by around 100 000 (or 3 per cent) and this has been matched by an equal amount of employment growth. In consequence, the official registered unemployment rate has shown little trend change, fluctuating around 13 per cent. However, an alternative measure based on the Labour Force Survey (LFS) suggests that the official figure may

Figure 5. **Labour productivity**
Year-on-year growth rates in percentage

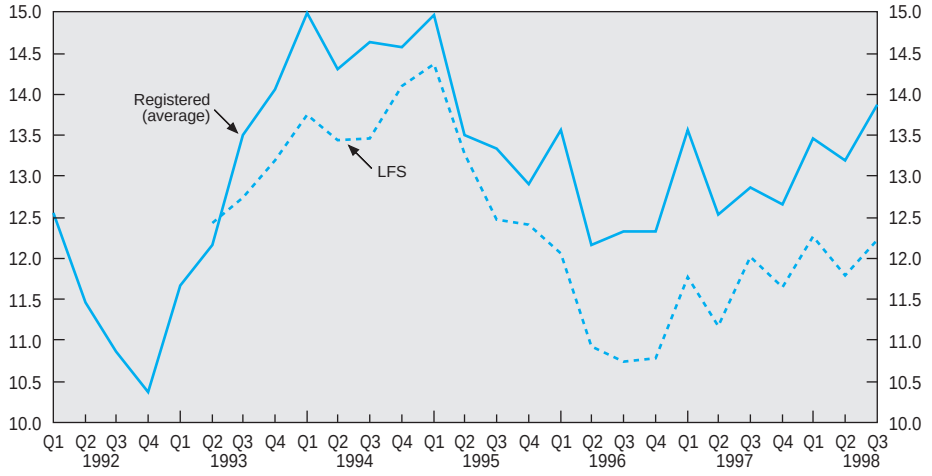


1. Calculated on the basis of registered employment.
2. Calculated on the basis of Labour Force Survey (LFS) employment.

Source: Statistical Office of the Slovak Republic.

overstate actual unemployment. The two statistics are displayed in Figure 6. According to the LFS, the unemployment rate does show a decrease to around 11 per cent in 1996, although the gap between the two measures has decreased since then.

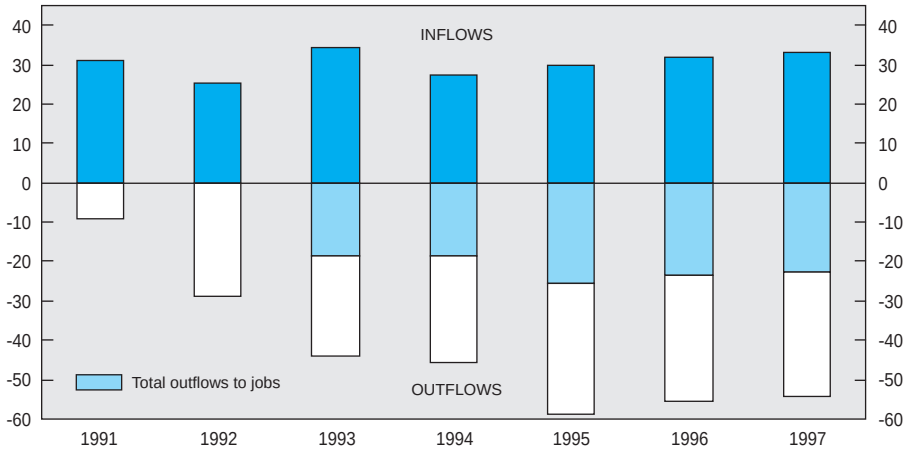
Figure 6. **Unemployment rate**
Percentage of labour force



Source: Statistical Office of the Slovak Republic and OECD.

Despite this statistical gap, one clear fact is that the high GDP growth of recent years apparently did not have a major impact on job creation. Indeed, the explanation for the decrease of the unemployment rate according to the LFS is, for a large portion, the result of large outflows of the unemployed from the unemployment pool. The latter do not correspond to outflows to jobs, which have remained more or less at the same level since 1995 (Figure 7). The persistence of structural unemployment is largely related to a regional mismatch between economic activity and the unemployed (as discussed in the previous *Economic Survey*; OECD, 1996). In the region of Bratislava, for example, unemployment is around 5 per cent and labour shortages are actually felt in some sectors. At the same time, in southern and eastern districts, unemployment rates are persistently at 20 per cent or higher.

Figure 7. **Evolution of unemployment turnover**
Thousands



Source: Labour Force Survey, Statistical Office of the Slovak Republic.

After a 4.3 per cent increase in 1995, the rise in real wages accelerated to 7.1 per cent in 1996 and 6.5 per cent in 1997. In 1998, there are some signs of wage moderation with 3.1 per cent growth for the first half of the year. At least for 1996, this development was somewhat above productivity growth. In terms of nominal wages, the highest increases were in the small enterprise sector (below 20 employees) and the social sector, with 25 per cent and 20 per cent,[9] respectively. While these trends correspond to a certain catch-up effect and the development of a new enterprise sector in the urban areas, a more worrying trend has been the persistently higher wage growth among loss-making enterprises (lower panel, Table 5). This led the previous government to introduce "wage guidance" in the fourth quarter of 1997. Under this regulation, wage growth in both public and private enterprises has to be related to individual enterprise performance (profitability and productivity). If not respected, an amount equal to the "excess" wage payments is charged as a fine with proceeds going to the state budget. This measure may have contributed to the slow-down in real wage growth in 1998, but experiences in other transition economies suggest that such administrative approaches to containing wage growth are not very effective over the medium-term. The new government is re-assessing the effectiveness of this measure.

Table 5. **Wages and employment, 1997**

	Average number of employees	Index 1997/96	Average nominal wage (SKK)	Index 1997/96
Total	1 904 147	99.3	9 226	113.1
of which:				
Large and medium enterprises	1 447 998	96.8	9 369	113.9
Small enterprises	143 649	90.0	11 528	118.1
Unregistered private entrepreneurs	312 500	119.3	7 506	110.8
Government sector	268 378	99.4	8 461	112.2
Contributory organisations	124 776	91.9	8 724	118.7
NB: Non-financial enterprise sector:	981 481	95.7	9 424	113.1
Profitable enterprises			10 207	111.2
Loss-making enterprises			8 356	114.6

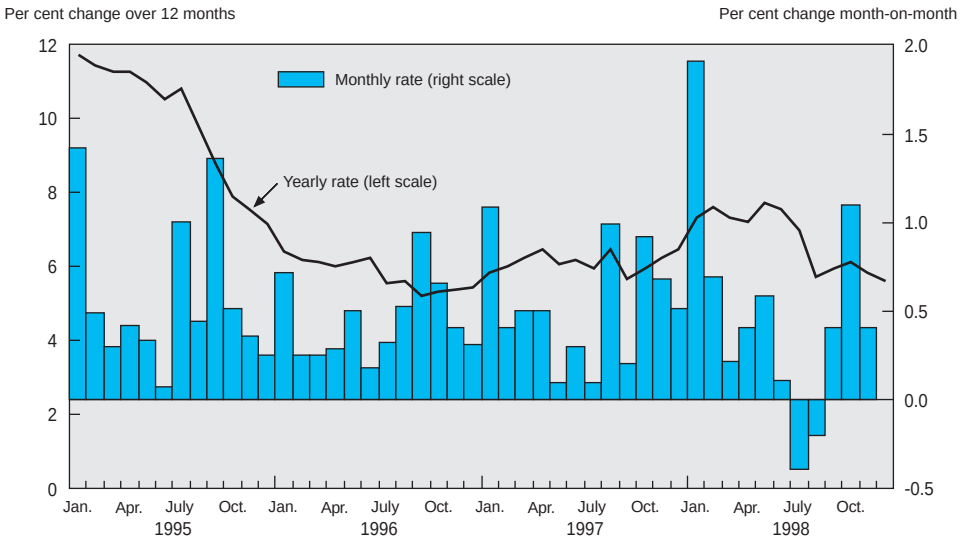
Source: Ministry of Labour and Social Affairs.

Prices and exchange rate

Consumer inflation remains the lowest amongst transition economies in the region, although there has been no further progress with disinflation over the last two years. After falling to a low of 5.2 per cent in September 1996, annual inflation has been in the range of 6.0 to 7.6 per cent for most of the subsequent period (Figure 8). Inflation has been at the upper end of this range in 1998, before declining to 5.6 per cent in December. These higher rates were partly due to administrative measures under which some items (telephones, alcohol and tobacco products) were shifted to the higher rate of VAT. In the year to December 1998, the inflation rate for price-regulated commodities (comprising around 18 per cent of the consumer basket) was estimated at 5 per cent, but this rate is expected to be substantially higher in 1999 as a result of measures being implemented by the new government (see below). On the producer side, the annual inflation rate for industrial products has been generally stable at around 3 to 5 per cent since early-1996; however, over the same period, prices of building products have been rising at around 8 per cent per year, reflecting the strength of activity in this sector.

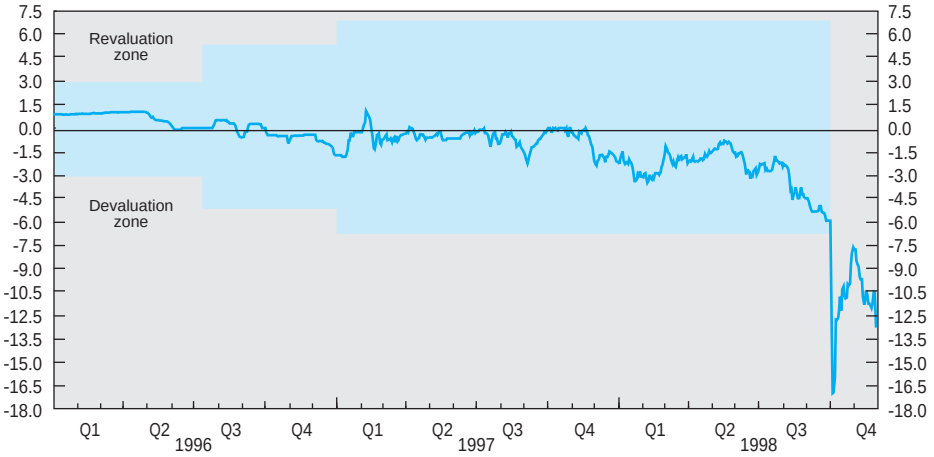
The National Bank's fixed exchange rate regime supported Slovakia's relatively low inflation rate. As discussed in Chapter II, the National Bank resisted several episodes of selling pressures on the currency and, until 1 October, managed to maintain the currency in its target fluctuation zone (Figure 9). On 1 October, the Bank Board changed the fixed exchange rate to a float. After an initial and large downward adjustment, the market exchange rate has been relatively stable at 3-4 per cent below the pre-float level (or around 10 per cent below the previous central parity).

Figure 8. **CPI trends**



Source: Statistical Office of the Slovak Republic.

Figure 9. **Effective exchange rate**[1]



1. Actual nominal effective exchange rate (based on currency basket 60% DM, 40% US$) relative to central parity set in July, 1994. On October 1, 1998 the fixed exchange rate regime and the Slovak crown fluctuation band were abolished.

Source: Statistical Office of the Slovak Republic and OECD.

The new government programme

Over the medium term, the macroeconomic imbalances cannot be corrected only by central bank interventions. Pursuing economic restructuring and achieving better co-ordination between monetary and fiscal policies are the key conditions for sustainable growth. These are also the conditions for increasing the much awaited flow of foreign direct investment (FDI) that will be required to accelerate restructuring. While, in the absence of restructuring, temporary relief could come from a vigorous pick-up of exports to Western Europe based on existing structures, the same problems that occurred in 1996 could materialise again. Designing a sounder, more balanced, development strategy for Slovakia is the task for the new government that resulted from the parliamentary elections of September 1998. The objectives of the new government's economic programme were approved by the Parliament in early December (see Box 1) and an economic package was approved in early January 1999. It is encouraging that the overall strategy appears broadly in line with the general direction of reform recommended in this Survey.

Economic outlook

The apparently buoyant economy in Slovakia over the last few years was in fact on an unsustainable path. Recent growth has been driven largely by domestic demand, notably public spending and investment. The macroeconomic imbalances appeared in the form of high current account and fiscal deficits. Under these conditions, continued economic growth of the strength seen in recent years would have led, almost inevitably, to a sharp correction. Indeed, given the current structure of the economy these imbalances would not be self-correcting, as foreign borrowing was not directed primarily towards building new export capacities. Even if such investment was taking place, it would still take time for export performance to be able to match the strength in domestic spending. Structural reforms have been insufficient, impairing the emergence of more diversified, export-orientated sectors and allowing inefficient and sometimes import-intensive enterprises to continue in operation. Compounding this problem, high public deficits have also crowded out investment in new activities, further exposing underlying weaknesses on the supply side of the economy. Moreover, continued fiscal and current account deficits would have put further pressure on the exchange rate and interest rates, creating potentially severe difficulties for entities with foreign borrowing. Lack of structural adjustment would have exacerbated financial problems in domestic enterprises and banks, particularly because of rising payment arrears and bad debts.

Box 1. The programme of the new Slovak government

The new Slovak government has presented a wide-ranging programme of renewal and reform for Slovakia. This programme was approved by Parliament on 2 December 1998. While the details of many of these reforms have yet to be presented, the programme sets out the government's concerns and objectives for change in many areas of economic, social and judicial life. Underlying themes include the need to improve the transparency of public decisions, increase the international integration of the Slovak economy, and provide a neutral competitive environment for business.

In its economic strategy, the government recognises the imbalances and unsustainability of the current economic situation, and the need for a medium-term programme of reforms. Its priorities are to prevent the collapse of key public sector activities, notably healthcare and education; stabilise the macroeconomic position, especially through reductions in the fiscal and current account deficits; and to create conditions for the rapid restructuring and modernisation of the economy. The government expects economic growth to slow in the first half of its term as a result of the tightening of fiscal policy and slower world growth. Inflation is expected to rise temporarily as further price deregulation takes place. However, in the medium to longer-term, the government's priorities and expectations include a return to low inflation and sustainable GDP growth of 4 to 5 per cent.

Some of the more specific points in the programme are noted below.

Fiscal policy

- Greater decentralisation in the provision of public services and in their financing;
- reductions in the tax burden on the lowest income groups;
- a decrease, over the medium-term, in the tax burden on businesses;
- abolition of tax advantages (on investment expenditures) given to owners who have acquired property through the privatisation process, and introduction of a more favourable tax environment for all investors;
- an increase in tax discipline: measures include improving the operations of tax offices, reducing the length of court proceeding for the recovery of taxes, and limiting exemptions and allowances in taxes and tariffs;
- a reduction in spending on infrastructure projects;
- removal of general subsidies on such items as heating, changes in the agricultural subsidy regime, and adjustments in regulated prices on public utilities and housing, with the overall goal of improving efficiency;
- strengthening state supervision over the health insurance companies and the Social Insurance Company (that provides pension coverage), and a more rapid introduction of a 3-pillar pension system.

Business restructuring and privatisation

- Creating a more favourable and receptive climate for foreign direct investment;
- strengthening the role and scope of competition policy in public and private sector activities: for example, the independence of the anti-monopoly office will be strengthened, the Prices Act modified, the monopoly of the Slovak Insurance Company removed, and competitive methods used in further privatisations;

(continued on next page)

(continued)

- restructuring and revitalisation of the banking sector: this would include the possibility of state financial participation in banks undergoing restructuring, drawing in more foreign capital and expertise to the banking sector, and creating conditions for the privatisation of banks;
- reducing the scope for business owners to remain anonymous: specific measures include making bank owners known, preparing a register of all privatised property, and abolishing bearer shares and silent partnerships;
- analysis of past privatisation decisions, with penalties applied in cases where the law has been breached;
- improving the flexibility and enforceability of bankruptcy and settlement procedures;
- support for small and medium-size enterprises (SMEs), including improved legislative conditions and increasing the efficiency of and cooperation between state institutions for SME development;
- preparing legislation allowing for a range of methods, including debt-equity swaps, to be used to solve the problem of inter-enterprise debts;
- reassessment and redefinition of the state's strategic interests in particular sectors (such as energy, telecommunications, the machine industry and transport).

Recognising the imbalances and unsustainability of the current economic situation, the government has set out an economic package comprising stabilisation measures and structural reforms. Key measures include a substantial reduction in the fiscal deficit, an increase in regulated prices towards international levels, and accelerated restructuring of public enterprises and financial institutions. This package, if effectively implemented, should in time allow the economy to return to a pattern of sustainable growth.

In the short-term, however, a slowdown in the economy is unavoidable and needs to be viewed as part of the adjustment process (Table 6). In addition to the effects of the fiscal contraction, the external financing constraint now faced by the economy will act as a break on the strong growth seen in recent years. Weaker growth projected for the world economy as a whole will impinge on Slovak exports and, on the domestic market, real incomes may be lower as a result of slower wage growth, the exchange rate depreciation and increases in regulated prices.

The strength and duration of this slowdown in economic activity will depend both on international and domestic influences. Clearly, the current international climate is not conducive to a strong pick-up in trade and investment flows. Nevertheless, credible progress with the reform programme should contribute to an increase in investor confidence and help to attract foreign capital to the economy. This would ease the external financing constraint and provide

Table 6. **Slovakia: economic outlook**[1]

	1995	1996	1997	1998	1999	2000
Real GDP growth	6.8	6.6	6.5	6.0	2.0	2.0
Inflation	7.2	5.4	6.4	5.6	9-10	8.0
Unemployment	13.1	11.1	11.5	12.0	14.0	14.0
Fiscal balance (% GDP)	0.1	–1.9	–4.4	–5.3	–2.0	–2.0
Current account balance (US$ billion)	0.4	–2.1	–1.9	–2.0	–1.3	–1.0
Current account balance (% GDP)	2.2	–11.2	–9.7	–10.0	–6.0	–4.0

1. Output data are average annual percentage changes of real GDP. Inflation data refer to end-year per cent changes in consumer prices. The fiscal balance is expressed as a percentage of GDP while the current account is in US$ billion. Unemployment refers to LFS unemployment.

Source: National authorities and OECD Secretariat estimates.

needed resources for restructuring. The risks of a more serious and prolonged contraction need to be acknowledged, however. This would clearly compound the difficulties of the government in pursuing deep structural reforms.

In the area of inflation, little further progress can be expected over the forecast horizon. In the short term, price deregulation, increases in public charges and the impact of the exchange rate adjustment will increase headline inflation. However, the central bank has declared its determination to prevent these one-off price changes leading into an inflationary spiral, and the authorities have signalled that disinflation remains a priority.

In the labour market, the scope for a significant improvement in unemployment also seems limited. In recent years, strong growth has not generated substantial employment gains. Furthermore, unemployment seems to be largely structural, including large regional imbalances. Reducing these disparities will take time. With a more rapid pace of restructuring in some sectors, unemployment is likely to come under upward pressure.

II. Macroeconomic policies

Introduction: an unbalanced stance of monetary and fiscal policies

Since the previous survey, macroeconomic conditions have been dominated by the tensions created between an expansionary fiscal stance and a tightening of monetary policy. As discussed in more detail below, fiscal policy eased significantly in 1997 – largely due to increases in public investment spending but also as a result of slippages in corporate tax revenues and in social security budgets. At the same time, the monetary stance was tightened to slow growth in domestic demand, contain the current account deficit and defend the currency.

This policy imbalance generated a very high level of real and nominal interest rates, putting further pressure on the budget through increases in debt servicing costs, and led to a domestic credit expansion almost entirely directed at funding the government deficit. In such circumstances, the ability of enterprises to restructure and develop has clearly been impeded (see Chapter IV).

Initial signs of improvement in the macroeconomic policy stance during 1998 did not prove to be robust. The budget plan as announced, while still in deficit, was somewhat less expansionary than in 1997. However, fiscal difficulties that emerged during the year – especially regarding revenue collection – led to a budget deficit that was even higher than that of 1997. Interest rates, especially short-term, fell substantially in the first half of 1998, and by mid-year money market rates reached levels around one-half those of end-1997. Monetary conditions then tightened sharply in August and especially September as the currency came under renewed selling pressure. This was driven both by concerns regarding domestic macroeconomic developments, particularly the persisting current account and fiscal deficits, and by the increase in international financial market uncertainty. These tensions culminated in the National Bank's decision to float the exchange rate as of 1 October 1998. Since then, money market interest rates have again eased; and the currency, following an initial sharp decline, has been trading just below its level prior to the float. Responding to the imbalances in the current macroeconomic situation, the new government has announced a substantial tightening of fiscal policy for 1999.

The condition and behaviour of the banking sector are inextricably interwoven with the macroeconomic policy stance. For example, domestic banks have been principal buyers of government debt, and high interest rates on treasury bills have given banks little incentive to expand lending to the private sector. Operating profits in the two large state-owned banks have been largely devoted to building up their provisions against bad debts. Tax payments by these banks have been minimal, contributing to a large shortfall in overall corporate tax revenues in 1997. The fiscal position also appears likely to be affected, one way or another, by the process of bank restructuring.

These points are explored in more detail in the following sections. The main developments in the fiscal situation are considered first, followed by those concerning monetary policy. The financial sector – banks in particular – is assessed in Chapter III.

Fiscal policy

A strong expansion in 1997 and 1998...

The consolidated general government deficit increased substantially between 1996 and 1997. This fiscal expansion was driven largely by a rising deficit in the state budget and by large-scale public investment projects (some of which are carried out by State Funds) (Table 7). It should be noted at the outset that the aggregated revenue and expenditure data shown in this table are unofficial estimates drawn from Ministry of Finance and other sources, as Slovakia does not produce consolidated accounts for the government sector. This deficiency may be remedied when a new central treasury system is introduced (see Box 2 for further details on this reform along with other measures needed to improve budget management and control systems). A further difficulty in assessing the full fiscal situation arises from the lack of official estimates of the deficit prepared on an *accruals* basis (*e.g.* taking into account revenues and expenditures deferred from one year to the next). This point becomes important when payment arrears of the social security funds, possibly totalling over 1 per cent of GDP, are considered (see below). On the other hand, the stock of tax arrears *to* the budget stood at SKK 33 billion at end-September, 1998 (around 5 per cent of GDP), an increase of SKK 12 billion compared with end-1997.

With these qualifications set to one side, the cash-based consolidated deficit is estimated to have increased to around 4.4 per cent of GDP in 1997 – a particularly expansionary stance given the strong growth in the real economy and current account difficulties that intensified in 1996. For 1998, the consolidated deficit was initially planned to come down to around 3 per cent of GDP. This reduction was anticipated to come largely from strong revenue growth projected

Table 7. **Consolidated general government accounts**

SKK billion

	1996 (outturn)	1997 (outturn)	1998 (plan)	1998 (amended plan)
State budget				
Revenue[1]	162.8	160.8	179.8	168.6
Expenditure[2]	173.9	177.8	184.8	184.8
Balance	–11.1	–17.0	–5.0	–16.2
Social security[3]				
Revenue	103.1	110.4	116.6	114.9
Expenditure	98.9	110.2	117.3	117.5
Balance	4.2	0.2	–0.7	–2.6
Local government				
Revenue	25.4	28.8	24.7	24.7
Expenditure	22.1	26.6	26.3	26.3
Balance	2.3	2.2	–1.6	–1.6
Other state funds and investment activities[4]				
Revenue	12.6	17.5	19.9	19.9
Expenditure	18.1	31.5	35.1	35.1
Balance	–5.5	–14.0	–15.2	–15.2
Consolidated government[5]				
Revenue	272.6	273.3	291.5	278.6
(% GDP)	46.9	41.8	40.2	38.4
Expenditure	282.7	301.9	314.0	317.2
(% GDP)	46.7	46.2	43.3	43.7
Balance	–10.1	–28.6	–22.5	–38.6
(% GDP)	–1.7	–4.4	–3.1	–5.3
Memorandum item:				
GDP, current prices	581.0	654.0	725.0	725.0

1. Excluding revenue from grants.
2. Excluding loan principal repayments.
3. Health, social insurance and National Labour Office funds; totals do not include payment and revenue arrears.
4. Includes highway investment, excludes loans received and principal repayments. In the absence of updates concerning expected 1998 outturns, the "amended" totals have been kept at the same level as in the 1998 budget plan.
5. Intragovernment transfers are excluded to obtain the consolidated totals. The totals for 1998 include the final outturn for the state budget deficit of SKK 19.2 billion (see Table 8).

Source: Ministry of Finance and OECD estimates.

for the state budget combined with expenditure restraint, especially regarding capital spending (see below). In fact, however, the revenue projections were too optimistic. The state budget deficit for 1998 was nearly four times as high as initially planned, and the consolidated deficit is estimated to be approximately 5.3 per cent of GDP (Table 7, final column).

Box 2. Reform of budgeting and control systems

The Ministry of Finance has been moving ahead with certain initiatives in order to modernise its systems of budgeting and financial control, in part to meet the requirements of future membership of the European Union.

The reform at the most advanced stage of preparation is the introduction of a new treasury system that will enable the government to manage its receipts and payments of cash on an efficient basis, through a single central account held by the National Bank. It is proposed that the Treasury should be set up as a separate institution reporting to the Minister of Finance. Work on designing the new arrangements has largely been completed, and is expected to incorporate many features of the French "visa" system. Financial Controllers, appointed by the Treasury, will be located in all ministries and other public agencies that spend money through the state budget. Implementation of the new system, however, has been delayed by one year. Testing the system through a pilot project will begin in 1999. Introduction of the full system should be completed by the year 2003. Ultimately, it will cover all entities with responsibility for managing the state budget, from government ministries to municipalities.

More work needs to be done in order to bring budgetary processes and procedures into line with OECD standards. Areas which require upgrading include the implementation of an improved methodology of classifying budgetary expenditures and receipts; the consolidation of extra-budgetary funds into the state budget; and the development of measures of the efficiency and effectiveness of public expenditure programmes.

The Government is well aware that the existing financial control system is not yet meeting all EU standards. The Control Department of the Government Office has however started to control not only the legality but also the efficiency of the use of public funds. There are quite a few examples where this has been done successfully – *e.g.* in controlling public procurement procedures. In relation to its application for membership of the European Union, the Ministry of Finance is giving priority attention to adapting the budget structure to incorporate inflows of structural funds receipts and other EC budget transactions; the setting-up of a national fund to process these EC budget payments; the organisation of budgetary information into programme categories; the preparation of medium-term budgets; and the more accurate and timely estimation of tax receipts.

As concerns the financial control of individual areas of state administration, the division of responsibilities between the line ministries and the Government Control Office may need rethinking in order to use the limited resources efficiently.

Similarly, the division of responsibilities between the Control Department of the Government Office and the State Audit Office may need to be clarified as there seems to be some overlap.

... and significant contraction targeted for 1999

In mid-December 1998, the government agreed on a package of economic adjustment measures which includes a target of 2 per cent for the general

government deficit for 1999. Contributing to this substantial decline in the projected deficit compared with the 1998 outturn will be a reduction in public infrastructure investment, a freeze on government wages, and increases in excise taxes. The package also provides for important increases in regulated prices, which started with a 33 per cent increase in average electricity prices in January. As well as moving energy prices in Slovakia closer to international levels (see Annex II), these price adjustments are intended to reduce some of the financial blockages arising in state-owned enterprises – as evident in the high level of inter-enterprises arrears (see Chapter IV) and the various forms of public sector support needed to maintain these enterprises.

The state budget

The state (central government) budget in 1997 and 1998 has shown general stability or moderate growth in revenue and spending, both falling as a share of GDP (Table 8). However, in each year, revenue outturns have been around SKK 10 billion (about 1.5 per cent of GDP) below those of the initial budget plan, leading to deficits persisting at a level of 2.6 per cent of GDP.

Revenues

On the revenue side of the state budget, the most significant development in 1997 was the large decline in corporate tax receipts: these were SKK 17 billion (or 42 per cent) lower than had originally been projected for 1997, and 30 per cent lower than in 1996. This shortfall appears to be due to a combination of factors, including legislative changes regarding tax liabilities, poor economic performance of large financial and non-financial enterprises, and possibly also a decrease in financial discipline. An important impact (estimated at around SKK 7 billion) came from changes in income tax legislation at the end of 1996, whose fiscal impact was not reflected in the 1997 budget plan which was being approved at around the same time. The new legislation allows financial institutions to deduct outstanding interest receipts as set out in credit agreements from their tax base; previously, they had to pay taxes on both actual and "notional" interest earnings (as discussed in the previous *Economic Survey*; OECD, 1996). The profits of financial organisations also fell, partly as a result of their further heavy provisioning against loan losses (see Chapter III). Reflecting these developments, corporate income taxes received from financial institutions fell from SKK 4.2 billion in 1996 to SKK -1.2 billion in 1997, equivalent to around one-third of the shortfall in projected corporate tax revenues. Corporate tax revenues in 1997 were also affected by overpayment of 1996 taxes and other timing factors. An amount of SKK 8 billion was returned to corporate entities in 1997 when their actual tax liability for the previous year was lower than advance tax payments.

Table 8. **State budget**

SKK billion

	1996 (outturn)	1997 (plan)	1997 (outturn)	1998 (plan)	1998 (amended plan)
Total Revenues	**162.8**	**171.1**	**160.8**	**179.8**	**168.6**
% GDP	*28*	*26*	*25*	*25*	*23*
Tax revenues	140.1	154.6	145.4	166.5	155.6
of which:					
Income tax	20.4	22.4	25.7	26.9	26.9
Corporate tax	33.6	40.5	23.4	27.7	27.7
VAT	48.7	55.0	54.9	64.3	56.5
Excise taxes	21.6	24.0	21.9	24.3	23.0
Property taxes	0.9	0.9	1.0	1.1	1.2
International trade taxes	9.9	6.0	12.8	14.2	12.3
Income tax from capital property	5.1	5.8	5.7	8.0	8.0
Revenue from credit repayments and loans[1]	2.4	4.4	1.2	2.7	0.6
Total expenditures	**173.9**	**182.6**	**177.8**	**184.8**	**184.8**[2]
% GDP	*30*	*27*	*27*	*25*	
Current expenditures	148.4	156.3	150.1	167.8	
of which:					
Wages and salaries	21.3	23.9	24.0	37.9	
Insurance contributions	8.2	8.7	8.5	14.2	
Goods and services	37.0	37.9	39.8	24.0	
Grants to entrepreneurs	13.7	13.3	13.9	12.4	
Grants to local budgets	0.9	1.1	1.1	1.2	
Contributions to state funds	4.1	8.5	8.5	10.9	
Social benefits	21.8	26.8	22.5	28.8	
Interest	12.1	11.8	11.6	15.3	
Other current expenditures	29.3	24.3	20.2	23.1	
Capital expenditures	25.5	19.6	21.4	13.7	
Provision of credits and loans[1]	0.0	6.7	6.2	3.3	
Overall balance	**–11.1**	**–11.5**	**–17.0**	**–5.0**	**–16.2**
(as per cent of GDP)	*–1.9*	*–1.8*	*–2.6*	*–0.7*	*–2.2*
Final outturn for 1998 balance[3]					**–19.2**
(as per cent of GDP)					*–2.6*
Memorandum item:					
Repayment of principal (not included above)	*18.0*	*25.2*	*25.0*	*28.5*	

1. Included in the State budget under the budget methodology of the Ministry of Finance.
2. Individual expenditure terms were unchanged in the amended plan for 1998.
3. This total includes the effect of end-of-year operational adjustments in the calculation of state revenues and expenditures.

Source: Ministry of Finance and OECD estimates.

In addition to the preceding points, there was a significant decline in profits in large non-financial enterprises in 1997. Profits in enterprises with 250 and more employees (which account for one-third of total non-financial enterprise profits) fell 17 per cent compared with 1996;[10] at the corporate tax rate of 40 per cent, this would imply a tax loss of around SKK 1.5 billion. Reasons cited by large companies for this profit decline include unfavourable exchange rate developments (raw material inputs are often priced in US dollars, while outputs are priced in Deutschemarks); higher interest rates; and the heavy investment programmes pursued in recent years. Also notable is the 50 per cent increase in tax arrears between end-1996 and end-1997, and the further increase of 57 per cent to September 1998 (Table 9).[11] The arrears arise mainly among non-state enterprises, with nearly one-half the total (and one-half the recent growth) comprising non-payments of value-added taxes. In this regard, the Revitalisation Act (now abolished – see Chapter IV) may have encouraged some deferrals of tax payments (and payments of other liabilities) among enterprises hoping to be "revitalised".

Table 9. **Tax arrears**

SKK billion

Sector	31 Dec. 1995	31 Dec. 1996	31 Dec. 1997	31 Oct. 1998[1]
State enterprises	3.0	2.4	2.3	2.2
Strategic enterprises	–	–	0.3	1.2
Non-state enterprises	9.7	11.6	18.5	29.8
Total economy	12.7	14.0	21.1	33.2

1. Estimates.
Source: Ministry of Finance.

A further important development on the revenue side of the state budget is the sizeable growth in taxes on international trade (especially compared with the budget plan for 1997). This increase is largely due to the re-introduction of the import surcharge. The surcharge provided SKK 7.5 billion in revenues in 1997 and SKK 6.8 billion in 1998 (5 per cent of total tax revenues), but will provide zero thereafter (the surcharge was removed in October, 1998).

The initial state budget projections for 1998 shown in Table 8 included growth of SKK 21 billion (14 per cent) in total tax revenues compared with the 1997 outturn, with half of this coming through a rise in VAT proceeds. While the latter partly reflected the impact of an increase in VAT rates for some products in 1997, this projection has looked in doubt since the first quarter of the year when VAT proceeds fell well behind their projected track.[12]

Overall, the amended budget now shows total revenues in 1998 up by SKK 7.8 billion (5 per cent) compared with 1997, SKK 11 billion below the original plan. The authorities' main concern in these new estimates apparently relates to corporate tax revenues, where a shortfall of around 2 billion is envisaged. However, this may be at least partially offset by taxes on physical persons, where revenues are better than expected.

State expenditures

State budget expenditures in 1997 were roughly stable in real terms compared with 1996, partly compensating for more rapid spending growth elsewhere in the public sector (see below). The outturn for current expenditures in 1997 was below the planned level, representing growth of 1 per cent from 1996, while the 1998 budget plan included an increase of a sizeable 12 per cent.

Looking at specific spending items, the most significant growth from 1996 to 1997 was the more than doubling in contributions from the state budget to other state funds (discussed below), and the 13 per cent growth in state wage and salary expenditures. Offsetting these and smaller areas of spending growth, "other" current spending by the state was cut back by nearly one-third from 1996 to 1997.

The 1998 state spending projections included a SKK 14 billion (or 60 per cent) increase in wage and salary expenditures (along with comparable growth in the social insurance contributions paid on behalf of state employees), offset by a reduction of SKK 16 billion in state spending on goods and services. These changes largely reflect spending re-classifications, with military and police salaries of around SKK 9 billion now incorporated in the public wage bill rather than (as before) in departmental spending on the corresponding services. However, this increase in personnel spending is also attributed to large salary increases for some public employees, and to the introduction of a new territorial administration in Slovakia. Considering the former, new legislation has led to much higher salaries for soldiers and police (increases of 60 per cent or more), and improved pension benefits. The budget also provided for salary increases for other state employees (beyond the regular cost-of-living adjustment), linked with the introduction of a new civil service statute. However, the latter legislation has not yet passed, and the budgeted rise did not take effect in 1998. The new territorial administration is discussed in more detail in Annex III. However, the authorities expected that the decentralisation of state functions accompanying this change would lead to an increase of around 20 000 employees at the regional level, and an 8 000 reduction at the central level. This would imply increased personnel spending of SKK 2-3 billion (including social security contributions). In addition to the re-classification noted above, the reduction in state spending on goods and services also reflected tight restraints on departmental spending on small items of equipment, maintenance, and other non-personnel items.

There are three other noteworthy developments in the 1998 budget. First, reflecting the full-year impact of the higher market interest rates that arose during 1997, interest payments on public debt were projected to rise by SKK 3.7 billion in 1998, reaching a total of just over 2 per cent of GDP. Second, there was a large reduction in capital spending by the state, with spending orientated towards completing projects that were already in progress. Third, the 1998 budget did *not* include a subsidy – that had been paid in previous years – to the Investment and Development Bank (IRB) and the Slovak Savings Bank (SLSP) to cover part of the costs to these banks arising from low-interest housing loans provided up to 1990. This subsidy had originally been budgeted at a level of SKK 1.3 billion for 1998, before being dropped. The following chapter on the banking sector will return to this point.

The social security system

The major part of the Slovak social security system is organised through three funding arrangements: the Social Insurance Company is responsible for old-age, disability and sickness pensions; the National Labour Office covers unemployment benefits and various types of labour market programmes; and health funding comes largely from 11, partly competing, public entities of which the dominant agency is the General Health Insurance Company. Insurance contribution rates would rank relatively high in the spectrum of rates found in the OECD area: the employers' contribution rate is 38 per cent, while employees pay 12 per cent of their labour income (Table 10). These rates are comparable with those of the most generous insurance systems in western Europe and, combined with other direct and indirect taxes, produce a tax wedge of close to 60 per cent between employers' total labour costs and employees' ability to finance consumption spending.

Table 10. **Contribution rates for social security funds, 1998**

	Employers' contribution	Employees' contribution
Health	10.0	3.7
Sickness	3.4	1.4
Pensions	21.6	5.9
Employment	3.0	1.0
Total	38.0	12.0

Source: Ministry of Finance.

These sources fund a system which is extensive in terms of its coverage but generally modest with respect to benefit levels. These arrangements are discussed in more detail in the OECD Labour Market and Social Policy Survey of Slovakia (OECD/DEELSA, 1996) and in the previous Economic Survey (OECD, 1996). In terms of fiscal impact, total expenditures of the social security funds are equivalent to 16 per cent of GDP (Table 11). In addition, direct social spending from the state budget (mainly on child allowances) comprises around 4 per cent of GDP. This overall social spending of 20 per cent of GDP is below the EU average (26.5 per cent);[13] comparable with other central European states; and above such countries as the United States (16.4 per cent), Japan (13 per cent) and Australia (15.1 per cent) which emphasise targeted approaches to providing assistance and where social *insurance* arrangements are limited.

Table 11. **Social security funds**

	1996		1997		1998		1998 (Expected)
	(SKK billion)	*% GDP*	(SKK billion)	*% GDP*	(SKK billion)	*% GDP*	(SKK billion)
Health							
Revenue[1]	35.9	*6.2*	39.7	*6.1*	40.5	*5.6*	40.0
Expenditure	36.2	*6.2*	40.0	*6.1*	42.1	*5.8*	42.5
Balance	–0.3	*–0.1*	–0.3	*0.0*	–1.6	*–0.2*	–2.5
Social insurance							
Revenue[1]	59.0	*10.2*	62.2	*9.5*	67.5	*9.3*	65.9
Expenditure	55.0	*9.5*	61.4	*9.4*	66.6	*9.2*	65.7
Balance	4.0	*0.7*	0.8	*0.1*	0.9	*0.1*	0.2
Employment							
Revenue[1]	8.2	*1.4*	8.5	*1.3*	8.6	*1.2*	9.0
Expenditure	7.7	*1.3*	8.8	*1.3*	8.6	*1.2*	9.3
Balance	0.5	*0.1*	–0.3	*0.0*	0.0	*0.0*	*–0.3*
Total							
Revenue	103.1	*17.7*	110.4	*16.9*	116.6	*16.1*	114.9
Expenditure	98.9	*17.0*	110.2	*16.9*	117.3	*16.2*	117.5
Balance	4.2	*0.7*	0.2	*0.0*	–0.7	*–0.1*	–2.6

1. Not including transfers from previous year.
Source: Ministry of Finance and OECD estimates.

The data cited in Table 11 indicate that current social expenditures – at least until 1998 – have been matched by current revenues, both overall and within each category of insurance fund. However, this situation may not be as healthy as it first appears. Indeed, the main difficulties at present appear to arise

in the health sector, where the system of competing insurers appears unable to contain rising demands and costs. Expenditures by the health funds increased by 26 per cent in 1996 (or just under 1 per cent of GDP) and a further 10 per cent in 1997 (declining slightly as a share of GDP). Furthermore, there appears to be a high level of payment *arrears* by the health funds: these were SKK 8.3 billion at end-1997 (1.3 per cent of GDP), which would imply that spending on an accrual basis actually increased by 30 per cent in 1997. There are also large arrears on the revenue side, with companies in financial difficulty (or expecting to be "revitalised"– see Chapter IV) often stopping payments of social security contributions for their employees. Total payment arrears to the social insurance funds increased by SKK 11 billion during 1997 to reach SKK 22.7 billion by the end of the year, and continued to grow in 1998.

Reflecting these trends, one of the first priorities of the new government on taking office in late-1998 was to tackle the financial crisis in the health sector. Urgent reforms are clearly required to secure the sector's financial viability. At 6.1 per cent of GDP (but not including the arrears), public spending on health is still below the EU average (7.7 per cent). Clearly, however, this situation could quickly change if spending continues to rise at its present rate. Moreover, the current share of health spending in GDP may be more than that which would be expected in view of the general empirical relation across the OECD area between measures of national income and health expenditures (see OECD, 1995).

Pension expenditures totalled 9.3 per cent of GDP in 1997, comprising 1.2 per cent for sickness pensions, 1.7 per cent for disability, 5.2 per cent for old-age pensions and 1.2 per cent for survivors and others. The total for sickness benefits appears high by OECD standards: the OECD average[14] is 0.7 per cent, although with wide cross-country variation. Sickness benefits in Slovakia begin at 70 per cent of net earnings (within a net wage ceiling of SKK 350 per day), moving to 90 per cent from day 4 up to one year. A number of OECD countries have moved or are moving towards systems where employers and employees take a greater responsibility for managing and funding sickness risks, and Slovakia could consider moves in this direction as a means of cost containment. Disability pensions are received by 280 000 people (most receiving full pensions), equivalent to over 11 per cent of the workforce. The number of recipients has, however, changed little in recent years, and average benefit levels are low. Old-age pensions (which are exempted from taxes) are also rather low at just under 56 per cent of net average earnings, helping to keep down spending in this area. The total of 6.4 per cent of GDP spent on old-age and survivors' pensions compares favourably with the OECD and EU averages (8.3 and 9.5 per cent, respectively). However, as in these other countries, Slovakia will face a growing problem of funding pension spending as the population ages. Exacerbating this problem is the relatively low retirement age (55-60 for men, 53-57 for women), and the under-development of savings through private pension funds.

The total spending on unemployment benefits and labour market programmes – 1.3 per cent of GDP – appears surprisingly low at first sight, given the current level of unemployment (see Chapter I). For example, spending on unemployment is generally around three or more times as high (as a share of GDP) in western European countries with comparable unemployment rates. However, this difference is mainly due to the fact that only around one-quarter of job seekers (including those in training programmes) receive unemployment benefits. These benefits are of limited duration – a maximum of 6 to 12 months, depending on contributions to the insurance fund – beyond which point the unemployed move on to more basic and targeted forms of social support. As of end-March 1998, 38 per cent of the registered unemployed had been without a job for more than 12 months. Unemployment benefits are also quite modest: 60 per cent of previous salary for the first 3 months and 50 per cent thereafter, with a maximum which is just under one half of economy-wide average monthly earnings. For school leavers and graduates, unemployment benefits are a proportion of the minimum wage and amount to only 16-19 per cent of average earnings.

State funds and investment projects

There has been a rapid expansion in recent years in public investment spending outside the confines of the state budget, together with increased activity in state funds providing agriculture support and environmental protection. These areas had little net fiscal impact until 1995; however, they have moved increasingly into deficit since then, and have been an important reason for the recent rise in the consolidated deficit.

The main public investment projects have involved highway construction, completion of the first two blocks of the nuclear power plant at Mochovce, and housing construction (Table 12). Expenditures on the last two items were SKK 1.2 billion and SKK 7.3 billion, respectively, in 1997. The highway programme

Table 12. **Public investment projects**

SKK billion

	1996	1997	1998
Highways: state road fund	1.7	10.2	11.7
Completion of nuclear power station		1.2	
Housing construction	4.7	7.3	8.4
From state budget	3.7	4.9	6.2
Other sources	1.0	2.4	2.2
Total	**6.4**	**18.7**	**20.1**

Source: Ministry of Finance.

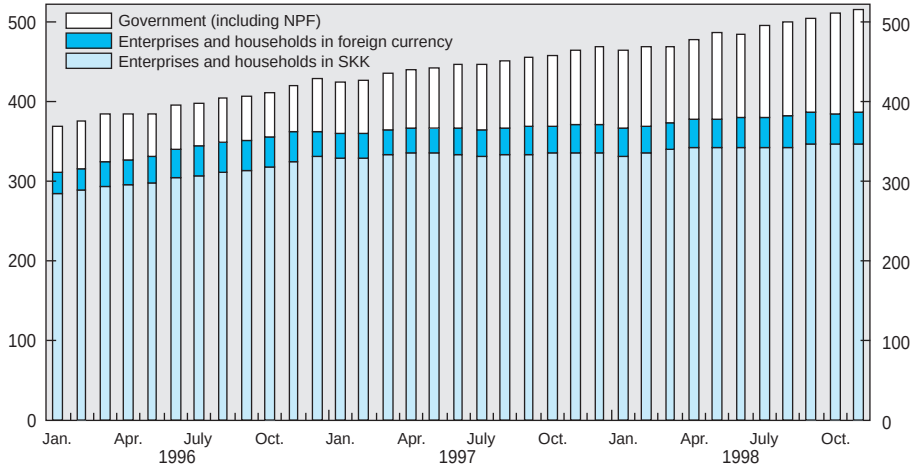
has recently been much larger, mainly connected with construction of major east-west and north-south motorway links. New highway investment (under the auspices of the Ministry of Transport, Post and Telecommunications) increased to SKK 10.2 billion in 1997 (1.5 per cent of GDP), and was projected to rise to SKK 11.7 billion in 1998. Total direct expenditures programmed for this project up to 2005 are over SKK 150 billion; including the cost of finance, projected expenditures are at least SKK 230 billion.[15] The motorway investment is being financed mainly through borrowing, with transfers from the state budget meeting the repayments of principal and interest.[16] An important development has been the move from domestic borrowing in 1996 to reliance on foreign credits in 1997 and 1998. The latter funds have been raised under government guarantee, but are unhedged. In 1997, they carried interest rates of around 9 per cent (mainly for USD and Ecu-denominated loans) – clearly much more attractive than rates available on the domestic market (but not counting the implicit exchange rate risk). Increases in Slovakia's country risk premium were evident in 1998, however, with the Ministry of Transport, Post and Telecommunications reporting difficulties in fulfilling its foreign borrowing programme.

Funding the government deficit

The government deficit has been funded mainly on the domestic market, although the state raised funds through an inaugural Eurobond issue in 1998.[17] Entities such as the Highway Fund have also obtained foreign loans for specific investment projects. Domestic funds have been raised (at least until recently) through short-term treasury bills (with maturities of up to one year, but mainly 7 to 28 days), sold through auctions conducted by the National Bank of Slovakia. For part of the 1998 funding programme, the authorities have introduced small-denomination certificates of deposit targeted at household savings, and propose re-introducing bonds (with maturity over one year) on the market.

Treasury bills have been purchased almost exclusively by domestic commercial banks and insurance companies. There are few other local institutions with the resources to participate, and little interest on the part of foreign buyers (who have been able to participate in this market only since December, 1997). As discussed in subsequent sections on monetary policy and the financial sector, this relatively closed funding market has had a significant impact on the domestic money market. For example, reflecting the expansion of the fiscal deficit, net credit to government increased by SKK 29 billion (4.4 per cent of GDP) in the year to end-1997, compared with an increase of SKK 5 billion (0.8 per cent of GDP) in the previous year (Figure 10 and Monetary Survey, Statistical Annex Table A11). The crowding-out effects of this fiscal expansion are indicated by the fact that credits to households and firms grew by only SKK 8 billion in 1997, compared with SKK 55 billion in 1996. The average interest rate on treasury bills also rose sharply

Figure 10. **Domestic credit expansion**
Billion SKK



Source: National Bank of Slovakia.

during 1997: from 13 per cent in the first quarter to 14.5 per cent in the second, 19.5 per cent in the third, and 26 per cent in the final quarter. Funding costs have remained high through most of 1998, for both domestic and international sources of finance. For example, during the heightened financial market uncertainty in the third quarter, the spreads of Slovak Eurobonds over Bunds and US Treasuries jumped to 11-12 percentage points, compared with 3-4 percentage points in the preceding months. In November, these spreads had declined to around 6 percentage points and, considering domestic sources, interest rates on short-term treasury bills fell to around 15 per cent. These trends, along with other recent developments in monetary conditions, are discussed further in the following section.

The level of "official" gross public debt equalled SKK 170 billion (26 per cent of GDP) at end-1997, of which just under SKK 110 billion was internal debt. It is notable that the public sector in Slovakia is a net external creditor, with official reserves totalling US$3.1 billion in September 1998 against US$2.4 billion in gross foreign debt of the government and National Bank (see Table 3). While these data appear relatively favourable in comparison with other transition countries, several reservations need to be attached. First, the debt figures stem mainly from deficits in the *state* budget, but apparently do not include all the borrowings of extra-budgetary entities such as the Highway Fund and the National Property

Fund (NPF). For example, the highway investment programme noted above (totalling around SKK 26 billion in 1996-1998) has been funded largely from domestic and foreign loans. The NPF also raised a foreign loan of SKK 2.4 billion in 1997 to meet payment obligations to pensioners,[18] although this loan has already been repaid.

Second, there is a very high level of contingent liabilities on the government accounts. The level of government-guaranteed bank debt totalled SKK 89 billion at end-1997 (14 per cent of GDP), more than half of which was backing classified claims, and in late-1998 guarantees were estimated to be around SKK 100 billion. The government has also guaranteed a large share of the external borrowing of Slovak enterprises. Public resources will be needed to recapitalise the large state banks (see Chapter III), and there is a long-standing dispute with Ceskoslovenská obchodná banká (CSOB) with potentially large fiscal implications.[19] Government guarantees, whether explicit or implicit, also back the liabilities of the Highway Fund, NPF, and other public sector entities. For example, the NPF needs to repay privatisation bonds currently totalling around 5 per cent of GDP by 1 January, 2001. This liability will have to be met by some other part of the public sector if the NPF itself is unable to raise adequate revenues from asset sales. Clearly, the exchange rate risk arising from the foreign borrowings of public entities represents a further potential public liability.

Monetary policy

Monetary policy has been the principal anchor of macroeconomic stabilisation in Slovakia. The National Bank of Slovakia (NBS) has built up a high level of credibility through its success in lowering inflation and maintaining a stable, transparent approach to policy. Until October 1998, the centrepiece of monetary policy was the fixed exchange rate regime in place since 1991, with a central rate that was unchanged after a 10 per cent devaluation in July, 1993.[20] Following several episodes of selling pressure on the currency, the NBS Board decided to abolish the fixed exchange rate as of 1 October 1998 and to move to a floating rate. Probably reflecting in part the Bank's stock of credibility, the currency has so far responded rather well to this decision. There was an initial, short-lived drop of around 10 per cent in the crown, but not the prolonged period of currency turmoil and overshooting that has characterised other emerging market economies that have recently moved away from fixed exchange rate regimes. In late-1998 and early-1999, the crown was stable in the range of 3 to 4 per cent below its pre-float level.

As discussed in more detail below, pressures on the currency have stemmed from both international but especially domestic economic developments, creating major challenges for the monetary authorities over the last two

years. In particular, the high fiscal and current account deficits have led to a significant tightening of monetary conditions since mid-1996. Conditions firmed sharply when the spring 1997 exchange rate crisis in the Czech Republic spread to Slovakia, where investors faced many of the same underlying concerns. Further currency pressures arose in early-1998 when a possible downgrade in Slovakia's foreign currency debt rating was announced; and investor uncertainty increased again in August at the time of the Russian crisis and in the lead-up to the elections in September. Other factors have also played a role in recent monetary developments. Proposed amendments – subsequently withdrawn – to the NBS Act threatened to undermine perceptions of the Bank's independence by changing certain aspects of its governance and operations.[21] And, as discussed in the next chapter, the NBS has also had to cope with the liquidity crisis of one of the major banks and the associated rise in financial market uncertainty, plus ongoing concerns about the health of other major banks.

Monetary developments in 1996-1997

Since mid-1996, the NBS has introduced a series of measures to slow growth in money and credit and reduce the apparent overheating in the economy. The principal measures have been as follows:

- an increase in the Lombard rate from 13 to 15 per cent in July, 1996;
- a widening in the fluctuation band of the former fixed exchange rate regime. The band was widened from 3 to 5 per cent on each side of the central parity in July 1996 (when the previous limit on the maximum daily movement within the band was also removed), and to 7 per cent as of January, 1997;
- an increase in minimum reserve ratios to a uniform 9 per cent of demand and time deposits, effective as of August, 1996; previously, time deposits had a 3 per cent reserve requirement;[22]
- the strengthening of required foreign exchange holdings of commercial banks through the introduction of a "foreign exchange position for monetary purposes": commercial banks registered in Slovakia are required to hold a minimum ratio of foreign exchange claims on non-residents to all foreign exchange liabilities; this ratio rose from 65 per cent at end-1996 to 80 per cent at mid-1997[23] (as noted below, however, this requirement is to be abolished in April, 1999).

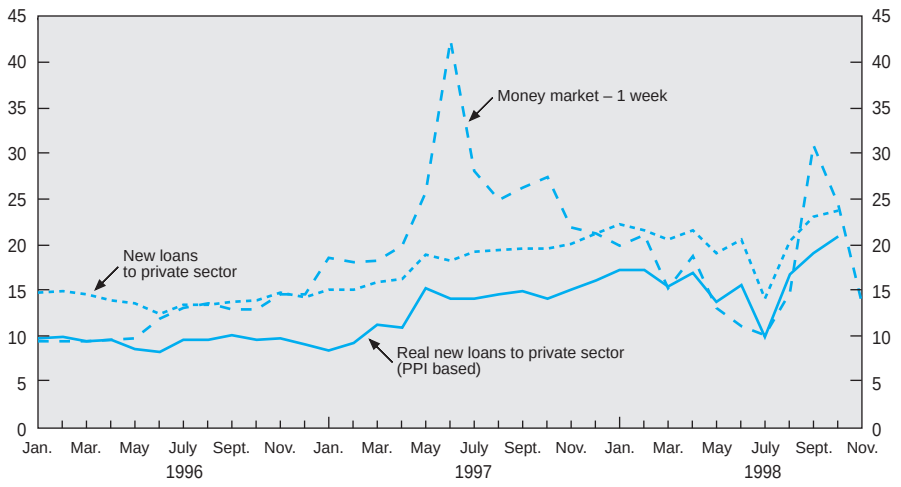
Since January 1997, the NBS has shifted to a quantitative rather than price-based operational target: under the new system, the NBS targets the aggregate excess reserves of commercial banks, making refinancing funds available by auction. Prior to this change, the NBS had offered refinancing at a pre-determined interest rate.

As a result of the above measures, the downward trend in interest rates was reversed (Figure 11). For example, interest rates on new loans to private enterprises had declined to under 12.5 per cent in mid-1996, but then rose to over 14 per cent by the end of the year and 16 per cent by March, 1997. The annual growth rate in M2 was over 21 per cent in the first half of 1996, but fell to 12.6 per cent by the following March (Figure 12). The exchange rate generally stayed very close to its central parity throughout this period, appreciating by a small amount against the Deutschemark and depreciating against the dollar (Figure 13).

The NBS faced a key test in late-May, 1997, when the crown came under speculative attack. While the trigger for this attack was the crisis on the foreign exchange market of the Czech Republic (see OECD, 1998), there had also been growing nervousness in financial markets as a result of the rising current account and fiscal deficits in Slovakia. The NBS responded to initial signs of selling pressure on the crown by setting the value of the currency stronger than the market rate in its daily fixing, and by tightening liquidity on the interbank market. When exchange rate pressures were at their peak in the final week of May and early June, the NBS intensified the liquidity squeeze and engaged in substantial direct intervention in the foreign exchange market. Between 21 May and

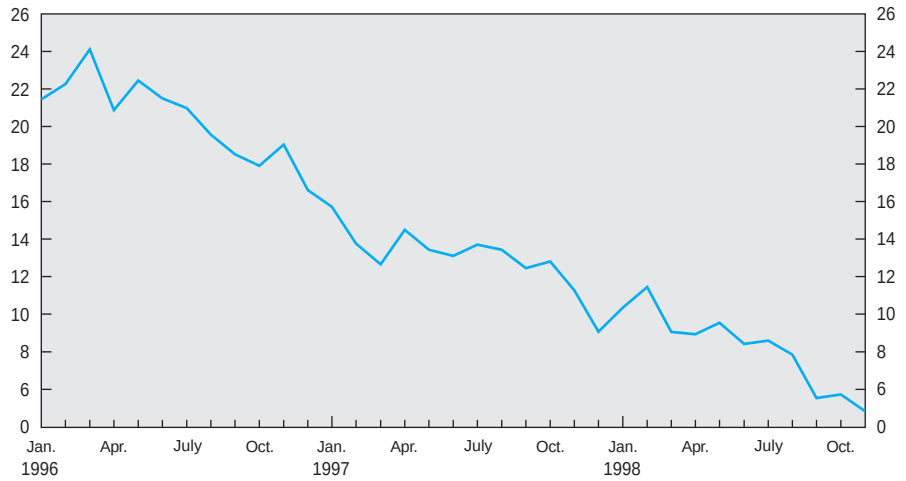
Figure 11. **Average interest rates**

Per cent



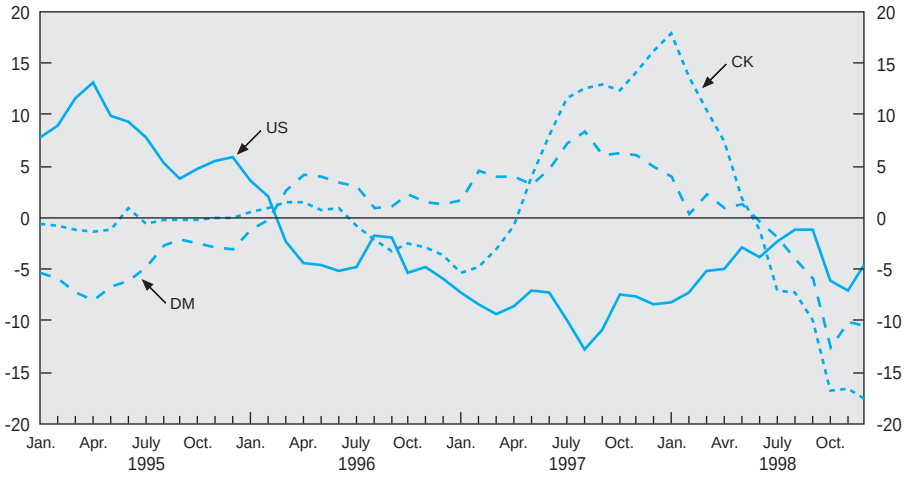
Source: National Bank of Slovakia.

Figure 12. **Broad money: M2**
Percentage annual change



Source: National Bank of Slovakia.

Figure 13. **Nominal exchange rates (national currency/SKK)**
Year-on-year growth rates in per cent



Source: Statistical Office of the Slovak Republic and OECD.

4 June 1997, the foreign exchange reserves of the NBS fell from US$3.5 billion to US$2.7 billion. In early June, banks reportedly lacked around SKK 15 billion, or over one-third, of funds needed to meet their minimum reserve requirements for the month.[24] Reflecting this squeeze, overnight interbank rates averaged 54 per cent in June, compared with under 20 per cent in the January to April period.

Faced with these constraints, combined with the new foreign exchange reserve requirements noted above, domestic banks were greatly limited in their capacity to hold and fund speculative positions against the crown. Moreover, the scope for external speculation was limited by the much smaller presence of foreign capital in Slovakia compared, for example, with the Czech Republic – especially regarding short-term funds – and the relatively low turnover in the foreign exchange market (Table 13). It is noticeable, however, that foreign currency deposits of enterprises increased from SKK 4.8 billion at end-May 1997 to SKK 7.8 billion at end-June 1997, and have risen further since then (see Monetary Survey in Statistical Annex). While the crown exhibited some short-term volatility in intra-day trading, it stayed well within the Bank's 7 per cent fluctuation band. In early June, the currency was trading at around 1 per cent on the depreciation side of its midpoint, and average exchange rates for June as a whole were little changed from those of the preceding months – with the notable exception of the strong appreciation then depreciation against the Czech crown (Figure 13).

Table 13. **Turnover in the foreign exchange market**

In billion dollars per day

	April-95	April-96	April-97	October-97
Slovak crown	**0.03**	**0.2**	**0.6**	**0.2**
Russian rouble	0.6	2.6	3.7	10.7
Czech crown	0.6	2.5	3.2	2.1
Polish zloty	0.3	1.6	0.9	1.7
Hungarian forint	0.3	0.6	0.4	0.6
Indonesian rupiah	4.8	7.8	8.7	8.5
S. Korean won	3.1	3.2	4	3.6
Thai baht	2.6	4	4.6	2.5

Source: International Bank of Settlements.

The principal legacy of these pressures was a very high level of nominal and real interest rates: interbank rates for 1-week to 6-month funds generally averaged 25 to 30 per cent for the rest of 1997 (albeit with some easing in very short-term rates late in the year – see below); Treasury bill auctions yielded much the same rates, with a record high of 30.6 per cent reached in October; and prices

of new loans to private enterprises increased steadily to over 21 per cent by end-year (Figure 11). Monetary growth continued to slow during 1997. By December, the annual growth of M2 and net domestic assets had fallen to 8.9 per cent and 8.7 per cent respectively – both lower than in the Bank's original monetary programme for 1997 (where growth rates of 10-11 per cent for the two aggregates had been projected). Furthermore, as noted above, growth in domestic credit stemmed almost entirely from lending to the public sector: credit to enterprises was virtually unchanged over the year, while net credit to government expanded by 40 per cent.[25] The crown depreciated to around three per cent below its midpoint for brief periods in August and November, reflecting in part the financial market nervousness stemming from the Asian crisis. However, selling pressure was not sustained, and the full fluctuation band was not tested in either case. The NBS was able to rebuild its foreign exchange reserves to US$3.3 billion by the end of 1997, without large external borrowing.

Monetary developments in 1998 and current policy issues

The main elements of the monetary programmes of the NBS for 1998 and 1999 are set out in Table 14. This table covers both the Bank's initial projections and objectives for economic and monetary aggregates for 1998, the modified programme which was announced following the floating of the exchange rate on 1 October and the programme for 1999. As suggested by this table and in the following discussion, 1998 was a year of considerable turmoil and volatility in Slovak financial markets. There was a substantial easing in money market conditions in the first seven months of the year: overnight interbank rates fell to 9 per cent in July compared with nearly 19 per cent at end-1997 (and 27 per cent in October 1997), and other short-term money market rates correspondingly declined. However, these falls had little impact on banks' commercial lending rates (Figure 11); for example, new loans to private enterprises remained at around 20 per cent until July (when there was a short-lived decline), just where they had been in the final months of 1997. The crown came under further selling pressure in January, slipping from 2 per cent below its midpoint to around 4 per cent below. This was triggered by an announcement by Moody's that Slovak foreign currency debt was being placed under review for possible downgrade (the actual downgrade occurred in March[26]). The NBS again reacted by tightening liquidity and fixing the currency at a stronger rate that that of the market, and there were also signs of increased foreign buying of the currency at its lower rate. The crown then generally traded in the range of 1.5 per cent to 3 per cent below its midpoint until August (Figure 9).

Monetary conditions then tightened significantly, and increased in volatility, as of mid-August. The catalyst for these developments was clearly the Russian crisis and the associated rise in financial market concerns regarding emerging

Table 14. **Monetary Programmes of the National Bank of Slovakia, 1998-99**

	Objective/projection for 1998	Modified Monetary Programme (after 1 October, 1998)	1999
Annual inflation	Maintain in range of 5.6-5.9 per cent	6.8-9.4 per cent	5-7[2]
Exchange rate	Maintain within +/–7 per cent fluctuation band with fixed central parity	Float	Float
GDP growth	4.8 per cent	5.9 per cent	3 per cent
Current account deficit	Reduce by 2 per cent of GDP	–9.5 per cent[1]	
M2	9.4 per cent increase	5.2 per cent	6 per cent
Net domestic assets	11.5 per cent increase	13.3 per cent	8 per cent
Credit to enterprises and households	8.6 per cent increase	5.7 per cent	8.7 per cent

1. Under the condition that DEM 1 equals SKK 21.8-23.
2. Objective for *net* inflation – *i.e.* CPI excluding regulated prices and food.
Source: National Bank of the Slovak Republic.

market economies in general. Fundamentally, however, domestic factors were more important: the lack of progress in reducing the current account deficit; persistent expectations of an eventual exchange rate devaluation; and the general climate of uncertainty in the lead-up to the parliamentary elections at end-September. In particular, the renewed downward pressure on the currency appears to have been driven by domestic rather than foreign entities. These pressures took such forms as the increased conversion of crown deposits into foreign currency deposits (the latter increasing by 11 per cent in the month of September), accelerated payments for imports and possibly also the delayed repatriation of export earnings.[27] Crown sales on the domestic market led to a significant tightening of liquidity conditions: overnight interbank rates increased from 9 per cent on average in July to 14 per cent in August and 28 per cent in September, reaching a level of around 50 per cent late in this period, and commercial lending rates also rose (Figure 11). The NBS's foreign exchange market interventions picked up markedly over this period in terms of the number and value of transactions. In its official foreign exchange fixing, the Bank supported the currency at 4.5 per cent on the depreciation side of its midpoint parity in late-August and at 5.95 per cent below the midpoint in late-September, while commercial banks listed exchange rates even closer to the edge of the 7 per cent fluctuation band. As a result of this support, the Bank's official foreign exchange reserves fell from US$3.8 billion at end-July 1998 to US$2.9 billion in early-October.

These financial market tensions were clearly unsustainable, and the NBS probably had little choice but to float the currency. Further defence of the crown would have been costly, and could ultimately have proved to be more damaging to overall confidence and to the credibility of the financial system. Immediately following the float on 1 October, the crown fell by around 10 per cent compared with its level at end-September (*i.e.* to 18 per cent on the depreciation side of the previous midpoint parity). In subsequent weeks, however, the currency strengthened and by mid-October was trading at only 2 to 3 per cent below its pre-float level (Figure 9). Liquidity improved on the interbank market as a consequence of reduced uncertainty and active NBS refinancing, with short-term rates returning to around 10 per cent in mid-November.

While the floating rate regime gives the NBS greater autonomy in setting domestic monetary conditions, there are good reasons why the Bank should maintain its prudent policy stance and resist pressures it could face for too great or rapid an easing. Such pressures could come, for example, from domestic borrowers, given the impact of high real interest rates on the debt servicing costs of enterprises and the public sector; and from exporters seeking a "more competitive" exchange rate. Three points can be noted in defence of a continued firm approach to policy. First, the exchange rate has been the key monetary anchor of the NBS since 1993 and a major reason for growth in the Bank's credibility and reduction in inflation over this period. These gains could quickly be eroded if the Bank were perceived as bowing to outside pressures and adopting a much more relaxed policy stance: the drop in the exchange rate could be much greater than warranted or desirable; there would be a consequent rebound in inflation; and the loss in policy credibility would be reflected in Slovakia's external borrowing costs. Second, it is not clear that a lower exchange rate would, in itself, produce sustainable gains in the external balance: as discussed in Chapter I, the current account deficit is a reflection more of the fiscal imbalance and of structural weaknesses in the composition of exports than of changes in the relative price competitiveness of traded goods. Third, there has been a rapid build-up of foreign currency debt in recent years due to the heavy borrowing programme of public and private enterprises and of the government itself. Bank borrowing is largely backed by the reserve requirement described above, and NBS reserves in effect back much of the public debt. However, there does not appear to be hedging or natural cover (*e.g.* through increased export earnings) for much of the external borrowing done elsewhere – particularly by utility companies and quasi-public entities. Hence, a sizeable depreciation could produce financial difficulties in important sectors of the economy and in the fiscal balance (as government guarantees stand behind much of this debt).

Following the decision to float, the NBS has let the currency move quite freely – *i.e.* without direct intervention – so that the "appropriate" level of the exchange rate would be set by market rather than official influences. This appears

to have been a sensible decision under the circumstances and, indeed, the float could continue to be generally "pure". However, given the removal of the fixed exchange rate anchor, the Bank now needs to build up the transparency and market understanding of its new monetary framework. In particular, this involves establishing the indicators and objectives that will guide policy developments over the short to medium-term. First, the Bank may need to give a higher profile to its medium-term inflation objectives so that these are seen to be an integral part of policy conduct. While this need not mean the adoption of a fully-fledged inflation targeting regime, the Bank should at least make clear its determination to see that the immediate relative price adjustments brought on by the exchange rate decline and further price liberalisation under the new government's programme do not feed into a domestic wage and price spiral, and that underlying inflation is on a downward trend. Inadequate progress with disinflation should then lead market participants to expect a tighter policy stance. Second, an important role will be played by short-term policy indicators which are seen (by both the Bank and financial markets) as consistent with medium-term policy goals. The current growth target for broad money may continue to be important in this regard although, as suggested in the previous Survey, this measure may become less reliable over time. As in other central banks with floating exchange rates, the NBS may need to move towards using a range of indicators, as part of an overall communication strategy in which the Bank signals its views on current and expected future monetary conditions. In the longer term, these indicators could include a "preferred" range for the exchange rate, to be supported if necessary by indirect instruments, or a broader monetary conditions index combining interest and exchange rates.

The monetary programme of the NBS for 1999, announced in mid-December 1998, is consistent with the broad policy direction outlined above. The programme confirms the Bank's strategy of maintaining currency stability, based on moderate growth in inflation and relatively stable development in the exchange rate. As indicated in Table 14, the Bank aims to keep "net" inflation – that is, CPI inflation excluding changes in regulated prices and food – within the 5 to 7 per cent range. The Bank emphasises that lower growth in domestic demand (and hence GDP), such as would be produced by a firmer fiscal position, is needed to maintain external stability. Under these conditions, the Bank intends that the money and credit aggregates should grow by less than the expected growth in nominal activity. There are to be important developments on the operational side of monetary policy: commercial banks' foreign exchange position for monetary purposes (as described above) is to be abolished as of 1 April 1999; on the same date the base for calculating required reserves will be changed; and the Bank's Lombard credit has become more market-orientated since 1 January 1999, with an interest rate following the interbank rate plus a 5 per cent surcharge.

Box 3. Capital account liberalisation

The Slovak authorities have introduced a number of measures since 1996 to further open the current and capital accounts and to comply with OECD Liberalisation Codes.

As of 1 December, 1996, the following measures took effect:

- cancellation of limits on the export and import of cash (in SKK or foreign exchange) used for travel or contained in postal or other items, and their replacement by a notification requirement for large transactions;
- liberalisation of financial loans with 5 or more years' maturity granted by residents to non-residents in an OECD member state;
- liberalisation of financial loans with 3 or more years' maturity received by residents from abroad;
- liberalisation of international trade loans to and from OECD countries;
- liberalisation of acquisition by residents of real estate in OECD countries;
- liberalisation of direct investment in OECD countries.

On April 1, 1998, an amendment to the Foreign Exchange Act took effect, resulting in:

- cancellation of the obligation on resident legal entities to offer to sell foreign exchange to banks; this implies that, after meeting obligations regarding the notification and transfer of funds earned abroad to Slovakia, legal entities are able to use these funds as they wish;
- freeing up of the purchase and sale of foreign currencies: the previous limit of SKK 60 000 per year on citizens' purchases of foreign currencies (*e.g.* for travel purposes) was abolished;
- freeing up trade in foreign securities; this includes purchases and sales by residents, and the flotation of securities on the domestic market, provided the issuer comes from an OECD member country. Trade in foreign securities is subject to the guarantee that only those securities traded on the main stock exchange markets in OECD member countries will be involved.
- opening up the possibility for branches of foreign banks to acquire real estate in the form of building to operate as a bank.

Source: National Bank of Slovakia and Ministry of Finance.

Box 4. Foreign Direct Investment

Despite a relatively limited number of sectoral restrictions, the performance of the Slovak Republic in attracting foreign direct investment compares unfavourably with Hungary, the Czech Republic and Poland. In the first quarter of 1998 there was a significant increase in FDI flows due to important deals with two large companies.

Comparative indicators of international direct investment

Inflows as per cent of GDP

	1995	1996	1997	1998 (Q1)
Hungary – *cash*	10.2	4.5	4.7	
Czech Republic – *cash*	5.1	2.5	2.5	
Poland – *accrual basis*	3.1	3.3	–	
– *cash basis*	1.0	2.0	2.3	
Slovak Republic – *cash*	**0.8**	**1.3**	**0.8**	**1.8**

Source: OECD Secretariat; for the Slovak Republic: Slovak authorities.

Several factors explain the modest flow so far of FDI in Slovakia. Beside possible concerns over macroeconomic and political stability which may have discouraged foreign investments, there has been a perceived lack of transparency, consistency and predictability in the implementation of investment-related laws and regulations. Privatisation has also proceeded slowly so that the scope of opportunities for large participation of foreign investors in the economy has remained limited in practice, in particular in banking, telecommunication and infrastructure which are traditionally sectors attractive to major international investors.

There are exceptions to National Treatment in the following areas: foreign investors operating in the form of a non-incorporated entity like a branch cannot acquire real estate, including for business purposes (apart from the provision noted in Box 3); branching is not permitted in financial services sectors except commercial banking; and limitations apply to non-resident equity participation in the Stock Exchange (as a company), the Securities Centre, auditing, air transport, and gaming. Remaining restrictions on non-resident purchases of shares in domestic-controlled banks were removed in February 1998.

Increasing FDI would bring direct benefits to the Slovak economy. Larger participation of foreign direct investors would represent a more stable source of financing of the current account deficit than other forms of capital inflows, and would foster the development and modernisation of the Slovak economy. In particular, FDI in banking and other financial services, auditing and legal services would greatly contribute to upgrading the financial infrastructure of the country and help institutions and corporations to conform with best international standards and practices.

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In 1998, the authorities introduced several tax incentives to encourage FDI, including tax holidays, special tax credits and free-customs zones. Nevertheless, the key variable to increase FDI flows is for Slovakia to improve its international image, notably by establishing a credible track record of policies aimed at gaining the confidence of foreign investors. Public statements and press campaigns to assure the international community of the country's commitment to the principles of transparency, non-discrimination and national treatment would help. In this respect, the previous government produced in June 1998 a declaration on the promotion of inward FDI. Concrete confirmation of such a commitment would include a rapid privatisation of banks and other large state-owned enterprises accompanied by an active solicitation by the authorities of prospective foreign investors to participate in public tenders and other procedures, on the basis of clear and predictable rules. The open stance towards foreign investment signalled in the new government's economic programme (see Box 1), combined with the renewed emphasis being given to privatisation and restructuring, augur well for an increase in FDI in coming years.

III. The banking sector

Introduction

In many respects, the picture of the Slovak banking sector presented in the previous *Economic Survey* (OECD, 1996) is still valid at the present time – particularly regarding areas of difficulty and concern. These concerns relate in particular to the important role still played by two large state-controlled banks: these hold around 40 per cent of total banking assets, have a high proportion of classified claims, and still face the need for restructuring and recapitalisation combined with privatisation. Preoccupied with building reserves and provisions against their bad debts, these banks may also have been pursuing particularly conservative lending practices. In particular, the recent combination of an expansionary fiscal policy and tight monetary conditions has given banks both the opportunity and incentive to invest in high-yielding, "secure" government debt instruments, rather than extending much-needed loans for private sector development. Furthermore, the failure of another sizeable bank at end-1997 heightened the concerns arising in the banking sector.

Nevertheless, there are several areas of progress. The large group of privately-owned banks, many with foreign capital participation, continues to take market share away from the big state banks. In general, these private banks are profitable, have much lower levels of classified claims than the state banks, and are well-provisioned against these claims. Even in the case of the large state banks, the extent of the bad debt problem and of undercapitalisation appears – on the basis of official data – to be of a manageable scale. For example, their recent net income has been largely dedicated to building up reserves and provisions. The questions regarding these banks may relate more to whether the official data adequately reflect the risks and uncertainties to which the banks are exposed, and also whether some risks have been (or will be) transferred off the banks' balance sheets and on to the state budget (*e.g.* through state-guaranteed loans). In the most recent developments, the authorities appear to be moving closer to an agreed framework for tackling financial problems in the state-controlled banks. Some elements of this framework are discussed below. Underpinning the process of reform will be the priority status the new government has attached to restructuring and revitalising the banks.

As also discussed in chapter IV, it is notable that the extent of financial intermediation provided by the banking sector appears to be low when set alongside extremely high national savings and investment rates noted in chapter I. In the year to end-1997, for example, total deposits in the banking sector increased by SKK 35 billion and domestic credit grew by SKK 38 billion – *i.e.* under 6 per cent of GDP. This ratio does not appear out of line with other countries in the region (such as the Czech Republic and Poland[28]), although they also have lower shares of aggregate investment and savings in GDP. The overall level of monetisation of the Slovak economy compares favourably with other Central European countries: the ratio of M2 to GDP is around 70 per cent, below that of the Czech Republic (82 per cent) but well above those of Poland (47 per cent), Hungary (42 per cent) and Slovenia (38 per cent).[29]

Recent trends in banking structure and activity: the declining share of state banks

Slovak banks can be arranged into 5 groups:[30]

- *Group 1:* three banks undergoing restructuring, holding 47 per cent of total banking sector assets at end-September 1998. There are two large banks, each with just over 20 per cent of total assets: Všeobecná úverová banka (VUB, the General Credit Bank), in which the state has a 51 per cent shareholding; and Slovenská sporitel'na (SLSP, the Slovak Savings Bank), which is 100 per cent state owned.[31] The third bank is Investicná a rozvojová banka (IRB, the Investment and Development Bank), with around 6 per cent of total assets. This bank was placed under direct supervision of the NBS at end-1997 (see below and Box 5); at that time, the state (via the National Property Fund) held 35 per cent of IRB's shares;
- *Group 2:* 18 privately-controlled banks with full commercial licences, holding 36 per cent of total assets; of these, 12 have foreign capital participation (of at least 10 per cent of capital), coming mainly from the Czech Republic, Austria, the Netherlands and Germany.
- *Group 3:* two special savings banks (building societies), both with foreign capital participation; these control a total of 5 per cent of total banking sector assets;
- *Group 4:* two specialised banks, both fully state-owned, with 3 per cent of total assets: Konsolidacná banka (the Consolidation Bank) was set up in 1991 (and later split into separate Czech and Slovak banks) to take over bad loans from the pre-1990 period; and Slovenská zárucná a rozvojová banka (the Slovak Guarantee and Development Bank) was also established in 1991 to support private business development;

Box 5. The Investment and Development Bank

On 19 December, 1997, the NBS placed the Investment and Development Bank (IRB) under conservatorship. This step came immediately after an extraordinary meeting of shareholders failed to agree on injecting additional capital into the bank, and when there were signs of increasing panic among the bank's depositors. IRB made losses of SKK 1.3 billion in 1996 and SKK 1.2 billion in the first three-quarters of 1997, with its capital adequacy ratio falling below 1 per cent in the latter period.

The bank's financial difficulties apparently stem from a combination of balance sheet, ownership and liquidity management problems. However, views differ sharply among officials (and other observers) on the weighting that should be attached to the possible factors concerned.

Balance sheet

IRB has a highly unusual structure of assets. Out of a total loan portfolio of SKK 32 billion (as of end-May, 1998), there are loans of SKK 13 billion to the Slovak electricity company for construction of the new nuclear power station at Mochovce, and SKK 9 billion in low interest loans (mainly at 1-2 per cent) provided to households before the transition for construction of apartments. The NBS has granted redistribution credits to IRB at the discount rate to finance both sets of loans. In the case of the housing loans, IRB received an annual transfer from the state budget to cover the difference between the discount rate and the interest rate on these credits. In the 1998 budget, however, this transfer was *eliminated* – representing a net loss for IRB of around SKK 0.75 billion (and also a loss of SKK 0.4 billion for SLSP). The remaining part of IRB's loan portfolio comprises general enterprise credits inherited from the former Czechoslovak State Bank (for which IRB has already received some compensation from the state), and newer, smaller credits to most branches of the economy. Payment problems from these two areas have apparently continued to grow, however, and IRB has been required to make heavy provisioning to cover these losses.

Ownership structure

At the time the bank was placed under conservatorship, the main shareholders in IRB were the National Property Fund, with a 35 per cent stake, and VSZ (the giant iron and steel conglomerate in Kosice), with 15 per cent. In early-1997, there were widely-reported suggestions that VSZ had gained control of up to 44 per cent of IRB, circumventing an NBS-imposed limit of 15 per cent on its stake by buying shares through affiliated companies. However, the NBS has not been able to prove these accusations. Several times during 1997, the NBS asked the two principal shareholders to increase IRB's equity capital by at least SKK 1 billion (to be followed by a further capital injection), but this request was not met. Recent changes in the ownership structure of IRB are noted below.

Liquidity management

The immediate cause of IRB's downfall was a liquidity crunch. Given a context of rising bad debts, poor financial results, and mismatched maturity structure of assets

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and liabilities, the bank had increasing difficulties in raising the cash needed to maintain operations. During 1997, IRB had to make increasing use of money-market funds; with monetary conditions tightening, these funds bore interest rates higher than those on its own lending, hence compounding the bank's financial problems. Other banks became unwilling to lend to IRB when its financial plight became known, and the NBS refused to grant liquidity loans requested by the bank in November and December when repayment could not be assured. In addition to the problems caused by IRB's undercapitalisation and the unwillingness of owners to deal with this, major changes in management in early-1997 may have added to the bank's difficulties in overcoming its weaknesses.

The current situation

After placing IRB under conservatorship, the NBS has provided the bank with the liquidity necessary to maintain its operations and meet all commitments to depositors. The first priorities of the NBS were to stabilise the bank and avert systemic risks; these objectives have apparently been met (although, as noted in the main text, IRB's balance sheet turned out to be even worse than first thought). The NBS then focused on finding strategic investors to provide the new capital needed to increase the bank's capital adequacy ratio to at least 8 per cent. Based on a decision by the General Meeting of Shareholders on raising IRB's equity capital, the Slovak Insurance Company (SIC) has subscribed and repaid SKK 2 billion, gaining a 67 per cent share in the bank's equity capital as a result. Following this move, IRB's total equity capital stood at SKK 3 billion (as of July, 1998); the NBS estimates that additional capital of at least SKK 1 billion is necessary to revitalise the bank. SIC already has banking experience through its 70 per cent in Istrobanka (a medium-sized bank in Group 2) and is the largest depositor in IRB. In its economic reforms directed at banks, the new government has announced that attention will be given first to the restructuring and privatisation of IRB.

– *Group 5:* four branch offices of foreign banks, with 9 per cent of total assets.

Some basic indicators of banking sector developments since end-1995 are shown in Table 15. The market share of the Group 1 banks, which have dominated the sector since the start of the transition, has continued to fall. For example, these banks' share of total assets is now just below that of the private banks, whereas the former held over 70 per cent of assets at end-1993. The fastest growth has been among the Group 2 banks: in the 9 months to September 1998, their combined share of assets increased from 31 per cent to 36 per cent. A corresponding trend is evident in equity holdings, where the public sector share of bank equity (mainly comprising equity in the Group 1 banks) declined to 36 per cent at end-1997. It is also notable that the foreign share of equity has reached nearly 40 per cent, almost all in Groups 2, 3 and 5.

Table 15. **The Slovak banking sector: selected indicators**

	End-95	End-96	End-97	Sept. 98
Number of banks[1]	33	29	29	29
Total assets (SKK billion)	598	717	777	818
of which:				
Share of Group 1[2] *(%)*	*63*	*56*	*51*	*47*
Share of private banks (Groups 2, 3, 5) (%)	*35*	*39*	*46*	*50*
Total equity capital (SKK billion)	20	24	27	30
Foreign share of total equity (%)	*33*	*40*	*39*	*36*
Public sector share of total equity[3] (%)	*42*	*40*	*36*	*n.a.*
Share of Group 1 banks in total equity (%)	*35*	*30*	*27*	*31*
Total profits/losses[4] (SKK billion)	2.5	0.1	0.4	2.8
of which:				
Group 1	*1.5*	*–0.9*	*–3.0*	*–2.7*
Private banks (Groups 2, 3, 5)	*1.0*	*1.0*	*3.4*	*5.5*
Total classified claims (SKK billion)	125	112	120	134
As share of total claims (%)	*31*	*21*	*21*	*22*
Group 1 banks' classified claims (SKK billion)	93	79	83	94.3
As share of Group 1 banks' total claims (%)	*37*	*27*	*30*	*35*
Classified loans/total loans in Group 1 banks (%)	*48*	*35*	*38*	*43*
Total reserves and provisions (SKK billion)	50	57	67	69
of which: Group 1 (SKK billion)	*33*	*35*	*39*	*41*
Estimated total uncovered losses[5] (SKK billion)	17	13	12.1	17.8
of which: Group 1 (SKK billion)	*13*	*11*	*9.9*	*15.4*
Capital adequacy ratio[6] (%)	8.4	7.7	10.0	9.1
of which: Group 1 (%)	*5.9*	*4.7*	*5.6*	*4.4*

1. Including branch offices of foreign banks (4 at end-1997) but excluding representative offices of foreign banks (9 at end-1997)
2. See text for definition of the bank groups.
3. The public sector share comprises holdings of the National Property Fund (14.9 per cent of total equity), Ministries (9.8 per cent), and state companies (6 per cent).
4. Excluding Group 4 banks (the Consolidation Bank and Slovak Guarantee Bank).
5. Classified claims (including off-balance sheet items) that are not covered by collateral, guarantees (*e.g.* from the state), reserves or provisions.
6. Excluding the Consolidation Bank.

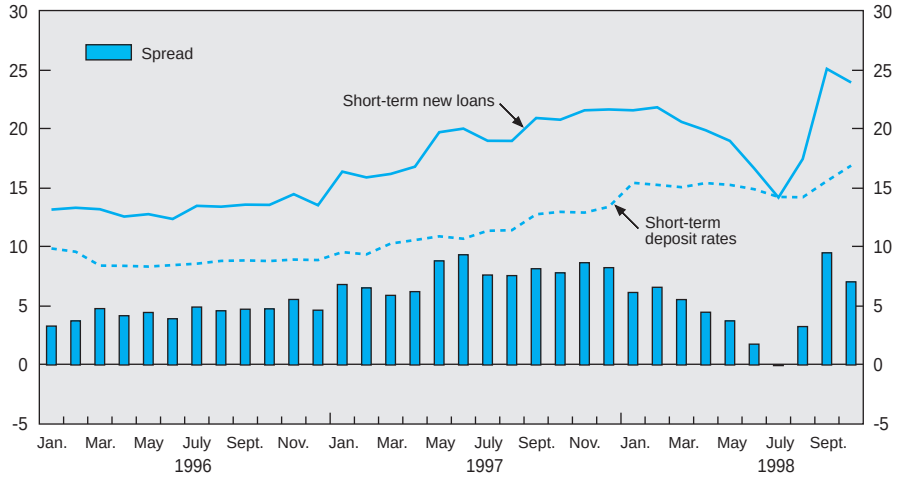
Source: National Bank of the Slovak Republic.

The sector is therefore roughly balanced between the "problematic" banks of Group 1 (discussed in more detail below), and a rather large number of privately-controlled banks which have sizeable foreign participation and which, at least in aggregate, appear to be in reasonable financial health. Illustrating this, the rising losses in the state-controlled banks have been offset by increasing profits in the private banks, the latter generating a return on equity of 15 per cent and return on assets of around one per cent in 1997.[32]

There are nevertheless some concerns affecting the banking sector as a whole. Prior to recent declines, the spread between short-term lending and deposit rates increased from around 4-5 per cent in 1996 to a range of 6 to 8 per cent in 1997 (Figure 14). As noted in the previous survey, high spreads may reflect limited competition in at least some parts of the banking sector. For example, SLSP alone still has a large portion – around 50 per cent – of household deposits, although this share has also been falling. Slovakia is not unique regarding such margins: Koch (1998) notes that spreads of around twice the western norm of 2 to 3 per cent are commonly found in Central Europe (and even higher further east). The rise in margins in 1997 may reflect a more general phenomenon of lending rates reacting more quickly than deposit rates to a tightening of monetary conditions and the steep rise in interbank rates. High lending rates are clearly imposing a substantial cost on the real economy, as discussed elsewhere in this survey. From a purely banking perspective, however, the associated wide margins have also helped in improving the financial position of banks in general, and in allowing banks burdened with bad debts to build reserves and provisions.

Figure 14. **Lending and deposit rates**

Per cent



Source: National Bank of Slovakia.

How serious is the problem of non-performing loans?

As of September 1998, 22 per cent of banks' total claims were classified in substandard, doubtful and loss categories, mainly the last. While up slightly compared with end-1997, this proportion has fallen substantially since 1995 (Table 15). Most of these classified claims are in the state-controlled banks: 70 per cent are held by the banks in Group 1, and a further 15 per cent by the special purpose institutions of Group 4 (mainly the Consolidation Bank).

More detailed breakdowns of the claims structure in the banking sector as a whole, and in the Group 1 banks, are shown in Table 16. Also included in this table are the levels of provisions which are required, and which have been created, against non-standard claims, after taking into account guarantees and collateral corresponding to banks' credits. The "bottom line" on these summaries is that banks' net exposure to classified claims appears to be largely covered by reserves and provisions. The estimated uncovered loss in September 1998 was SKK 17.8 billion, representing 13 per cent of classified claims and 3 per cent of total claims. These uncovered losses were all in the state-controlled banks – SKK 15.4 billion (6 per cent of their total claims) in Group 1, and the rest in Group 4. It is notable that uncovered losses in the Group 1 banks (and in total) have increased by over SKK 5 billion from end-1997 – a result mainly of more bad loans being recognised, combined with lower profitability (and hence lower ability to create provisions) in these banks. The National Bank estimates that an amount of about SKK 12 billion would be needed to restore the capital adequacy ratios of Group 1 banks to the minimum 8 per cent requirement (from around 4.4 per cent at present – see Table 15).

These magnitudes, while certainly large, nevertheless suggest that the remaining bad-debt problem faced by the big state banks – VUB and SLSP in particular – is of a manageable scale. For example, at around 2.5 per cent of GDP, the residual uncovered loss is relatively small compared with the full extent of restructuring plans introduced in other Central and Eastern European countries in recent years (see Borish *et. al.*, 1997),[33] as well as in the OECD area more generally (see OECD 1998*b*, Box 1.7).

Do these data plausibly represent the full extent of problems remaining in the Slovak banking sector? On the positive side, several points can be noted. The NBS's banking regulations have been prepared in accordance with the relevant EU directives and the Basle committee recommendations. The financial statements of Slovak banks are audited by reputable international firms, and these statements confirm that the state banks have been building up provisions at a rapid rate. For example, VUB increased provisions by over SKK 13 billion between 1995 and 1997, including SKK 8.7 billion in 1997 alone – in line with the auditors' recommendations.[34] As noted above, banks' earnings have undoubtedly been helped by the high, secure yields on government securities and very

Table 16. **Classified claims, provisions and reserves as of September 1998**

SKK billion

Categories of balance sheet items:	Principal	Interest	Total claims	Guarantees and collateral	Provisions required		Created provisions		Difference
					on principal	*on interest*	*on principal*	*on interest*	
A. All commercial banks and foreign branches									
Total claims	555.4	44.4	600.5	50.0	85.1	38.9	35.6	30.2	49.5
of which:									
Standard	406.5	1.3	407.8	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Special mention	54.2	4.2	58.4	n.a.	2.9	n.a.	n.a.	n.a.	2.9
Substandard	8.0	1.1	9.1	6.5	1.4	1.1	0.6	0.5	0.8
Doubtful and litigious	10.2	1.4	11.6	8.2	2.5	1.4	1.6	1.0	0.9
Loss	76.6	36.3	112.9	35.3	77.6	36.3	33.4	28.7	44.2
Deferred income from classified claims	n.a.	n.a.	0.7	n.a.	0.7	n.a.	n.a.	n.a.	0.7
Disposable reserves and reserve fund									32.4
Uncovered expected loss from balance sheet items									17.0
Uncovered estimated loss from off-balance sheet items									0.8
Total uncovered estimated loss									17.8
B. Group 1 banks (VUB, SLSP, IRB)									
Total claims	233.4	32.8	266.6	39.4	56.4	28.4	20.7	19.9	35.7
of which:									
Standard	125.1	0.5	125.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Special mention	42.8	3.9	46.7	n.a.	2.3	n.a.	n.a.	n.a.	2.3
Substandard	5.1	0.9	6.0	4.5	1.0	0.9	0.3	0.3	0.7
Doubtful and litigious	7.5	1.1	8.6	6.7	1.5	1.1	0.7	0.7	0.8
Loss	52.9	26.4	79.2	28.1	51.2	26.4	19.7	18.9	31.5
Deferred income from classified claims	n.a.	n.a.	0.4	n.a.	0.4	n.a.	n.a.	n.a.	0.4
Disposable reserves and reserve fund									21.0
Uncovered expected loss from balance sheet items									14.7
Uncovered estimated loss from off-balance sheet items									0.8
Total uncovered estimated loss									15.4

Source: National Bank of the Slovak Republic.

cautious lending to the private sector. Furthermore, bank restructuring in Slovakia has been underway since the early 1990s – taking various forms and, by some accounts, at rather high cost. For example, estimates in Borish *et al.* (1997) suggest that the fiscal cost of recapitalisation was around 3.5 per cent of GDP per year between 1992 and 1994 (*i.e.* including expenditures before separation of the former Federation). The Ministry of Finance indicates that the State has already provided a large amount of direct and indirect financial support for restructuring. For example, the changes in taxation rules noted in Chapter II, under which "earnings" on unpaid penalty interest for delayed payments are no longer taxed, has significantly reduced the tax liability of these banks and, in effect, amounts to additional financial support from the state. Under these circumstances, it may not be unreasonable to believe that much of the problem has been dealt with.

On the other hand, there are some potentially significant risks still present in the banking sector. Perhaps the main concern arises with the guarantees and collateral held against non-performing claims. These items reduced banks' required provisions by SKK 50 billion in September 1998 (equivalent to 37 per cent of total classified claims), including SKK 39 billion in the Group 1 banks (Table 16). As the guarantees are provided mainly by the state, the associated risk is transferred from the banks to the state budget. At present, the state has guaranteed a total of around SKK 100 billion of bank loans,[35] representing a sizeable fiscal risk even if only a small proportion of the guarantees are called on. The ability of banks to liquidate collateral for its declared value could be even more problematic. Such difficulties may occur particularly in a situation where markets for property and other assets function poorly, where demand for the assets in question may be weak, and where claims may not be enforceable (Koch, 1998).[36] In an international audit of IRB conducted after this bank was placed under NBS conservatorship, the auditors did not accept a major part of the collateral on IRB's books, even though the relevant Basle standards were apparently complied with in this regard. While on-site inspection of banks in Slovakia addresses the liquidity of collateral, banking regulations in some countries appear to be even stricter than those of Slovakia on this issue: for example, Poland allows only liquid assets to be used.

The high level of claims in the special mention category – 10 per cent of total claims (and 18 per cent for Group 1 banks) – is also an area of potential risk. In general, the concern is that some of these claims may deteriorate through time into the more serious substandard categories. Under NBS regulations, loans that have been restructured (*e.g.* with repayment terms prolonged and/or interest rates reduced) must be placed in the special mention category (or below, if there have been several restructurings). While many of these loans may now be fully performing, some of them have been provided on very favourable terms to enterprises which are apparently in rather precarious financial situations.[37] On both counts – lower interest earnings and higher risks of default – banks' financial positions are weakened.

As regards the accuracy of official data on classified claims, banks have certainly made major progress in complying with NBS requirements for recognising and reporting such problems. This process may not be at an end, however: in the case of IRB, the NBS conducted an in-depth review of the bank's financial position after placing it under conservatorship, and uncovered an even larger volume of classified loans than had been reported. The banking supervision division of the NBS has limited resources for conducting intensive on-site examinations and monitoring compliance with prudential requirements. These limitations may have been reflected in the difficulties faced by the NBS in averting the IRB crisis at end-1997.

Restructuring of the state-controlled banks is still required

Finally, even if banks have indeed largely covered their non-performing assets with provisions and reserves, the restructuring process is far from over. Three points can be noted in this respect. First, banks' ability to write off bad loans against their provisions has been greatly impeded, at least until recently, by the lack of effective bankruptcy legislation. For example, VUB and SLSP wrote off a total of under SKK 1.6 billion in loans in 1996, whereas their combined provisions stood at over SKK 30 billion. The new bankruptcy legislation introduced in 1997 (see Chapter IV) may help in this respect. However, the complete implementation of this legislation, including the capacity of courts to handle an increased caseload, has yet to be fully tested. Moreover, the ability of creditors to write off some of the largest problem loans risked being impeded through application of the Revitalisation Act (also discussed in Chapter IV), prior to the cancellation of this Act by the new government.

Second, as at the time of the previous survey, discussions have been underway between the NBS and Ministry of Finance regarding financial support for restructuring the Group 1 banks and dealing with their remaining bad debt problem. Near the end of its term (on 20 October 1998), the previous government approved a Resolution concerning a Programme of Revitalisation of Selected Banks. Under this programme, the governor of the NBS is recommended *inter alia* to transfer SKK 7.6 billion from the central bank's reserves and provisions to the state budget for the purpose of reviving VUB, SLSP, IRB and the Consolidation Bank. In addition, the heads of these banks are recommended to transfer part of their classified loans and related coverage to the Consolidation Bank, subject to agreement between the Ministry of Finance and NBS. This programme has still to be confirmed by the new government; clearly, the fiscal implications of direct and indirect state support to banks have to be balanced against other budgetary priorities. However, this approach could in principle form part of a broad-based solution to the banking sector's problems. Other elements under discussion

include providing more favourable tax treatment of reserves, provisions and unpaid interest; and encouraging the use of out-of-court settlements (so that bad loans can be written off without creditors having to wait for a judicial ruling on bankruptcy).

Regardless of the specific arrangements that may be adopted, the key requirements are that the process be transparent, rapid and robust. Transparency implies that the full extent and form of public sector participation in the restructuring exercise be made clear. This should be the case, for example, whether the particular channel for additional financial support for the banks is the state budget, the National Bank or some other public entity. Speed is important because a sound banking sector is essential for restructuring in the economy as a whole, and much time has already been lost. A robust programme should ensure that the banks' current difficulties do not recur. Once restored to financial health, banks need to face the full range of market incentives and pressures to remain in sound shape. These conditions may be hard to achieve while the banks remain under state control.

Hence, the third point concerns full privatisation of the Group 1 banks. This step would offer the means to draw in new capital, reduce the moral hazard concerns that surround state-controlled institutions, and boost the level of competition and range of services in this sector. Given the limited level of domestic capital and expertise, drawing in foreign strategic partners to the banks would appear optimal. There has been no progress with privatisation since the previous survey. However, the new government programme (see Box 1) recognises the importance of bank privatisation and of involving foreign investors in this process; privatisation of banks to their debtors is ruled out. As an interim measure, the new government has added VUB to the list of strategic enterprises in order to protect this bank while restructuring proceeds. This status is expected to last no longer than end-1999, after which privatisation can proceed. Under current law, privatisation of SLSP and the Slovak Insurance Company is banned until at least 2003. This restriction, along with the regulated monopoly position currently present in some parts of the insurance market, may also be reviewed as part of the government's overall re-assessment of the number and role of strategic enterprises.

IV. Enterprise restructuring and development

A mixed picture

This chapter assesses the process and extent of enterprise development in Slovakia. By most indicators, a substantial amount of restructuring has taken place since the beginning of the transition. For example, there has been a large increase in the private sector's share of equity and output; rapid growth in the number of small and medium-sized enterprises; and major reductions in employment in some of the industrial giants of the previous era. The main questions then are whether the degree and pace of change that has occurred should be viewed as adequate; where the main imbalances and areas of concern are to be found; and what should be the policy priorities in terms of reducing these imbalances and promoting further enterprise reform.

There are potential areas of concern stemming from the fact that many of the larger enterprises were obtained by their current owners on favourable terms through the privatisation process, but these owners may now have insufficient capital (and possibly also weak incentives) to undertake major restructuring. The very low levels of foreign direct investment in Slovakia compared with other transition economies suggests that owners have been unable or unwilling to attract foreign strategic partners who could provide the necessary investment capital. These enterprises therefore tend to continue producing the same sorts of products with the same technologies as in the past, often lower value-added intermediate goods, relying on price competitiveness to maintain market shares at home and abroad. Moreover, there are inadequate resources for the development of new firms, especially in the potentially dynamic area of small and medium-sized enterprises: foreign direct investment is low; real interest rates are high; and there is persistent lack of capital and liquidity in the domestic banking sector. In consequence, there are two risks arising from the current industrial structure: first, it could leave Slovakia excessively exposed to cyclical fluctuations among its main trading partners; second, the current structure could impair prospects for sustainable growth in incomes and living standards – gains that generally require ongoing investment in order to increase productivity and develop higher value-added products.

The purpose of this chapter is to assess whether this characterisation of Slovak enterprise development is accurate, an exaggeration of the real situation, or simply invalid. Counter-examples clearly exist;[38] the question is whether such cases are widespread or exceptional.

Some recent quantitative evidence on enterprise restructuring, especially from 1993 to 1997, is presented in the first section. The second section looks at some of the more qualitative and policy-orientated issues that explain recent restructuring trends, and that may form the basis for policy reforms to promote further enterprise development. In the third section, an overall assessment is provided by linking the evidence to policies.

Enterprise restructuring: the facts

This section reviews evidence on a range of indicators concerning recent adjustments in Slovak enterprises. This material is grouped into three general categories: evidence on changes in the ownership structure, particularly the public-private mix and the role of foreign participation; indicators relating to the size structure and physical operations of enterprises (including output, employment, and investment); and various measures of recent financial performance.

Ownership structure

In numerical terms, enterprise ownership has continued to move steadily from the public to the private sector after the rapid transformation in the earlier stages of transition. By 1997, under 3 per cent of enterprises were publicly owned, comprising 32 per cent of firms providing non-market services (especially education, health and social services), 3 per cent of enterprises engaged in market production (mainly manufacturing), and 1 per cent of those providing market services (Table 17). In terms of equity and output, however, the state still plays a dominant role in some key economic sectors – notably including banking (Chapter III), transportation and public utilities (see below). The state also retains ownership in some large enterprises in the machinery sector, particularly those involved (currently and/or in the past) with armaments production.

Among private enterprises, just under 10 per cent were foreign-owned in 1997 and a further 10 per cent had mixed ownership (*i.e.* joint ventures between domestic and foreign legal or physical entities). The number of firms in these two groups has doubled since 1993, although their share in total private enterprises has been stable at around 20 per cent. Most (82 per cent) of the firms with foreign participation are in the market services sector, mainly engaged in wholesale and retail trade where they comprise over one quarter of all private firms. The other areas where they have a sizeable numerical presence are in the manufacturing sector, and in real estate, renting and business activities.

Table 17. **Number of enterprises by branches and by forms of ownership**[1]

ISIC rev 3		Total		Public		*of which:* State owned		Total Private		Private-international[2]		Private-foreign[3]	
		1997	Index 97/93	1997	Index 97/93	1997	Index 97/93	1997	Index 97/93	1997	Index 97/93	1997	Index 97/93
Total		53 819	149.6	1 457	14.4	203	19.4	52 362	202.6	5 574	166.0	4 741	260.5
of which:													
(A+B+C, D, E, F)	Market production	16 178	179.8	434	30.6	98	13.9	15 744	207.7	1 155	182.2	542	286.8
	of which:												
(A+B)	Agriculture, hunting and forestry and fishing	3 682	239.1	123	46.1	35	20.8	3 559	279.6	42	247.1	25	277.8
(C+D+E)	Industry	8 463	171.3	232	27.5	53	13.1	8 231	201.0	875	190.6	388	289.6
	of which:												
(C)	Mining and quarrying	99	150.0	18	54.5	5	29.4	81	270.0	10	125.0	5	250.0
(D)	Manufacturing	8 264	172.3	196	25.7	38	10.2	8 068	200.0	858	191.5	383	290.2
(E)	Electricity, gas and water supply	100	120.5	18	36.0	10	62.5	82	248.5	7	233.3		
(F)	Construction	4 033	160.4	79	26.0	10	7.5	3 954	178.8	238	150.6	129	280.4
(G, H, I, J, K)	Market services	35 868	183.1	447	22.9	100	32.2	35 421	200.8	4 329	162.4	4 107	259.4
	of which:												
(G)	Wholesale and retail trade; Repair of motor vehicles, motor-cycles, and personal and household goods	24 114	187.4	76	9.0	14	12.3	24 038	199.9	3 350	163.5	3 100	274.6
(H)	Hotels and restaurants	1 307	168.4	49	35.0	2	5.9	1 258	197.8	101	187.0	59	347.1
(I)	Transport, storage and communication	1 679	128.7	102	56.7	58	290.0	1 577	140.2	146	158.7	128	304.8
(J)	Financial intermediation	563	173.2	14	17.9		0.0	549	222.3	50	200.0	55	196.4
(K)	Real estate, renting and business activities	8 205	190.2	206	29.2	26	18.3	7 999	221.7	682	153.3	765	208.4
(L, M, N, O)	Non-market services	1 773	24.0	576	8.5	5	15.6	1 197	189.7	90	152.5	92	191.7
	of which:												
(L)	Public administration and defence; compulsory social security	6	0.2	2	0.1			4	28.6				0.0
(M)	Education	499	40.6	320	28.0		0.0	179	205.7	8	88.9	27	300.0
(N)	Health and social work	140	23.3	30	5.1	2	18.2	110	611.1	6	600.0	5	
(O)	Other community, social and personal service activities	1 128	59.4	224	16.1	3	15.8	904	176.6	76	155.1	60	181.8

1. Data for economically active organisations.
2. Private-international: joint ventures between domestic and foreign legal or physical entities.
3. Private-foreign: enterprises established and controlled by foreign legal or physical entities.

Source: Statistical Office of the Slovak Republic.

Physical indicators

Changes in the size structure of enterprises

As discussed in some detail in the previous survey (OECD, 1996), the Slovak Republic inherited a particularly unfavourable enterprise structure. This was characterised by a heavily concentrated industrial base, and a small business sector that was very poorly developed even in relation to other transition economies. This structure dominated by large industrial enterprises had emerged not as a result of natural market expansion by those companies, but from the administrative merging of horizontally or vertically related activities, including many social services. Hence, recent changes in the size structure towards greater atomisation may signal restructuring efforts and the emergence of optimal company size based on *economic* criteria. On the other hand, some efforts are also evident to preserve past industrial alliances or even to create larger units – for example, to take advantage of economies of scale in such areas as access to financial resources.

The total number of enterprises in Slovakia increased by around 50 per cent between 1993 and 1997, including growth rates of 10-12 per cent in 1996 and 1997. This trend comprises a rapid increase in micro and small enterprises, and steady declines in the number of larger businesses (Table 18). For example the total number of enterprises with at least 500 employees nearly halved between 1993 and 1997. Industrial enterprises, comprising around one-third of total employment (see below), warrant special attention because this is where the bulk of the problem of excessive scale and maladjustment has been concentrated. Changes in the statistical methodology for surveying enterprises make it difficult to compare 1997 data with those of the preceding years (see Table 19). However, the overall trends are clear. The average enterprise size has continued to fall (although at a diminishing rate), reaching under 250 employees in 1997; this is roughly half the number recorded in 1992. These changes result mainly from a

Table 18. **Overall change in corporate size structure**

1993-1997

	Level in 1993[1]	Change in number	Structure of change
Overall change in number of companies	35 978	13 415	100
of which:			
Micro businesses (0-10 employees)	25 704	12 706	95
Small businesses (11-24 employees)	3 171	1 777	13
Medium (25-99 employees)	3 962	–198	–1
Medium (100-499 employees)	2 520	–552	–4
Large (over 500 employees)	621	–318	–2

1. Data for economically active organisations.
Source: Statistical Office of the Slovak Republic.

Table 19. **Changes in the aggregated size distribution of industrial enterprises**

	1993	1994	1995	1996	1997	1998
Total number of firms	1 291	1 454	1 623	1 731	2 048	2 347
Size (workers)						
0-500	1 074	1 245	1 417	1 526	1 842	2 141
501-1 000	102	101	98	98	101	103
1 001-2 500	73	71	69	68	81[1]	83[1]
2 501-5 000	31	27	31	30	16[1]	15[1]
> 5 001	11	10	8	7	6	5
Average size (workers/firm)	419	354	319	296	247	228

1. In 1997 and 1998: 1 001 – 3 000
3 001 – 5 000

Note: From 1993 through 1996 the survey covers all enterprises with 25 and more employees; in 1997 the survey covers all enterprises with 20 and more employees.
Source: Statistical Office of the Slovak Republic.

steady increase in the number of smaller firms (with up to 500 employees) and a gradual reduction in very large enterprises (over 5000 employees), with other categories more or less stable. Nevertheless, at its present level, the current average firm size is still well above that observed in the more advanced market economies.

Changes in enterprise operations by firm size

Changes in the employment structure from 1993 to 1996 are summarised in Table 20, grouped by enterprise size in the main economic branches (not including the public sector). These data confirm the general shift in economic activity away from large enterprises, as well as the growing importance of the service sector relative to the industrial branches. Employment losses by large

Table 20. **Changes in employment in the years 1993-1996**

In persons

	0-24	25-499	> 500	Tradesmen	Total	In % of total change
Industry	7 165	34 213	–61 546	30 520	10 352	15.1
Construction	5 521	–7 056	–16 870	–2 147	–20 552	–30.1
Internal trade	19 451	4 063	–30 425	37 515	30 604	44.8
Market services	20 498	25 118	–1 869	7 383	51 130	74.8
Road freight transport	878	18 841	–23 984	1 086	–3 179	–4.7
Total change	53 513	75 179	–134 694	74 357	68 355	100.0

Note: Change in the average number of employees.
Source: Statistical Office of the Slovak Republic.

manufacturing and transportation enterprises have been offset by gains among medium-size firms (many of which may have arisen from restructuring of large firms through spin-offs and downsizing), and in the number of individual tradesmen (*i.e.* physical entities rather than legal entities). In the case of internal trade, it is rather the small firms, along with tradesmen, that have contributed the most to the overall employment growth in this sector.

The latest trends in enterprise operations – covering value added, employment, wages, investment and profits – are set out in Table 21, using the new size classifications. Several points stand out. Large enterprises (250 employees and over) recorded a further employment fall of 12 per cent in 1997 (fully offset by gains in smaller size categories and by tradesmen), and their overall value added (in nominal terms) was stable compared with gains of around 20 per cent or more in other categories. As in preceding years, the employment losses were largely in industry, construction and transportation sectors. Nevertheless, large firms continue to play a central role in the economy, generating over 40 per cent of value added and employment, and 62 per cent of investment. It is also notable that this group suffered a sizeable 17 per cent drop in profits (in comparison with gains of 5 to 15 per cent elsewhere), while providing the *fastest* rate of wage growth. The latter trends may reflect the more general financial difficulties of some of the large industrial enterprises (see below), and suggest that some may continue to hold economic positions which are relatively sheltered from internal and external competitive pressures.

A closer look at the industry sector

Within industry as a whole, there is wide variation across subsectors in terms of their recent performance and apparent extent of adjustment (Table 22). Several manufacturing sectors have shown sizeable gains in output since 1993, which by and large continued in the 1996-97 period. For example, large real increases (around 25 per cent or more since 1993) have occurred in the production of transport equipment (stemming in part from the large Volkswagen assembly plant in Bratislava); electrical equipment; refining; pulp, paper and printing; and rubber and plastic products. In most cases, these output gains have been accompanied by declining levels of employment, producing impressive improvements in labour productivity – 30 per cent and more in some cases, and 20 per cent in industry as a whole. Against the overall industry trend, profits in four of these five sectors increased in 1997 (the exception being rubber and plastics), with the electrical and transport industries turning around losses of the previous year.

On the other hand, several sectors are clearly experiencing difficulties. Output fell sharply in the textile and leather sectors in 1997, adding in the former case to declines already incurred since 1993. Despite employment reductions in both areas, productivity in these sectors has been falling and losses have been

Table 21. **Selected indicators by size of enterprises**

Size distribution by number of employees	Value added		Average number of employees		Real wage	Investments[3]		Profit created[4]	
	Index 1997/96	Structure 1997 in %	Index 1997/96	Structure 1997 in %	Index 1997/96	Index 1997/96	Structure 1997 in %	Index 1997/96	Structure 1997 in %
Enterprises[1]									
0-9	124.4	14.5	120.3	10.6	99.9	92.6	8.6	104.8	31.0
10-19	118.5	3.8	95	2.2	108.5	90.4	2.3	108.7	7.1
20-49	126.2	5.2	117.5	5.5	105	121.6	4.4	105.7	11.5
50-249	125.5	14.7	99	19.5	107.3	155.6	23.0	114.9	16.9
250 and more	101.3	42.0	88.2	40.6	110	118.2	61.7	82.9	33.5
Tradesmen (estimate)[2]	120.6	19.8	114.7	21.6	103.8				
Total	112.9	100.0	99.6	100.0	106.6	121.3	100.0	98.8	100.0

1. Juridical persons.
2. Natural persons not enlisted on the Business Register.
3. Enterprises: non-financial organisations.
4. Before taxation.

Source: Statistical Office of the Slovak Republic.

Table 22. **Selected indicators by sector of industry**

ISIC rev 3	Production of goods		Average number of employees		Monthly labour productivity based on output		Sales for Export		Profit and loss (–) mill. SKK, at current prices	
	Index 96/93	Index 97/96	Index 96/93	Index 97/96	Index 96/93	Index 97/96	Index 96/93	Index 97/96	1996	1997
Industry in total	113.4	102.1	94.9	97.1	119.5	105.2	117.5	104.6	20 078	15 572
of which:										
CA Mining and quarrying of energy producing materials	99.7	113.0	91.4	100.4	109.0	112.6	197.8	238.1	753	846
CB Mining and quarrying except energy producing materials	102.3	98.3	81.0	100.8	126.3	97.5	111.1	84.5	6	–478
DA Manufacture of food products; beverages and tobacco	95.4	98.8	99.3	99.5	96.0	99.2	77.1	90.7	2 092	2 088
DB Manufacture of textiles and textile products	84.3	88.6	96.2	93.7	87.6	94.6	90.0	87.1	–369	–611
DC Manufacture of leather and leather products	105.0	72.7	94.5	79.6	111.2	91.4	88.5	93.0	–761	–1 179
DD Manufacture of wood and wood products	116.2	98.2	101.5	92.4	114.5	106.2	128.5	93.9	–404	–1 089
DE Manufacture of pulp, paper and paper products; publishing and printing	126.6	111.8	96.2	96.5	131.6	115.9	160.0	112.5	867	1 814
DF Manufacture of coke, refined petroleum products and nuclear fuel	125.9	103.2	76.8	94.9	163.9	108.7	150.1	109.6	2 255	3 906
DG Manufacture of chemicals, chemical products and manmade fibres	120.8	96.8	91.7	98.5	131.7	98.2	130.7	100.2	1 684	989
DH Manufacture of rubber and plastic products	135.5	101.1	114.1	92.9	118.7	108.8	125.1	113.4	925	754
DI Manufacture of other non-metallic mineral products	92.5	102.0	86.6	96.6	106.8	105.6	69.5	96.0	–1 025	376
DJ Manufacture of basic metals and fabricated metal products	105.1	106.3	108.6	99.5	96.8	106.9	61.8	83.0	338	–935
DK Manufacture of machinery and equipment NEC	109.0	96.5	85.9	96.5	126.9	100.0	93.8	102.6	–5 327	–7 588
DL Manufacture of electrical and optical equipment	124.1	116.8	92.7	101.0	133.8	115.7	140.2	134.1	–346	420
DM Manufacture of transport equipment	212.6	114.6	98.7	98.0	215.4	116.9	206.8	125.7	–572	442
DN Manufacturing NEC	112.9	93.1	81.1	96.8	139.2	96.2	113.5	92.2	322	122
E Electricity, gas and water supply	118.5	97.0	100.7	102.0	117.7	95.1	1 920.0	104.9	19 638	15 695

Note: To 1996 enterprises with 25 and more employees, since 1997 with 20 and more employees (indices calculated from comparable data).
Source: Statistical Office of the Slovak Republic.

mounting. Recent output declines and steady or falling productivity have also been registered in the relatively large sectors producing chemicals and machinery. Profits fell sharply in the former case – as with other producers of intermediate goods, such as basic metals and wood products – while the latter continued to incur a high and rising level of losses. Over the entire period since 1993, the chemical and machinery industries have seen increases in output, along with productivity gains of around 30 per cent. However, particularly in the case of machinery production, these gains do not appear to have been sufficient to offset underlying structural weaknesses in terms of production technology, output mix, and markets.

Export results play a key role in determining whether industries are performing well or not. Exports from the transport, refining, electrical, and pulp and paper sectors have increased by between 40 and 107 per cent since 1993, including increases in 1997 which were well above the overall industry average. Conversely, recent (and longer-term) losses in such areas as textiles, leather, wood, basic metals and machinery can generally be linked to declining or stagnant export sales.

Overall financial performance

As suggested by the data on industry profits referred to above, the overall financial situation in the corporate sector has deteriorated. Following growth of 27 per cent in 1996, total enterprise profits (before tax) declined by 6 per cent in 1997 (Table 23). This volatility is due mainly to the performance of financial enterprises, which experienced a marked return to profitability in 1996, and then a fall of nearly 30 per cent in profits in 1997. For the much larger group of non-financial organisations, there was little overall change in profits in 1997 following a 7 per cent decline the previous year, and indicators of profits in relation of costs and to revenues continued to decline. As noted earlier (Table 21), a 17 per cent decline in 1997 profits of larger enterprises (250 employees and above) was offset by rising profits in other size categories.

The status of overall claims and liabilities of non-financial organisations is shown in Table 24. Of concern is the high level of overdue claims and liabilities, equalling around 40 per cent and 30 per cent of their respective totals. Furthermore, net liabilities (*i.e.* liabilities-claims) increased by SKK 50 billion, or 64 per cent, between end-1995 and end-1997 (mainly during 1996).

The additional financial indicators in Table 25 are prepared on the basis of data from the Bank Accounting Centre (which processes primary accounting data for more than 33 000 subjects). Several points stand out:

– Median rates of return on assets and equity (Panels A and B) are very low – usually negative or zero – and in sharp contrast with the very high real returns currently available from low-risk, fixed-interest assets such

Table 23. **Basic indicators in non-financial and financial organisations**[1]

SKK billion, current prices

Indicator	1995	1996	1997	Indices	
				1996/1995	1997/1996
Non-financial and financial organisations in total					
Costs	1 650.1	1 777.2	1 947.6	107.8	111.8
Revenues	1 699.4	1 840.8	2 008.3	108.4	111.1
Profit/loss	49.3	63.7	60.6	127.5	93.7
Profit to costs ratio in %	3.0	3.6	3.1	0.6	–0.6
Profit to revenues ratio in %	2.9	3.5	3.0	0.6	–0.6
Value added	319.7	330.4	366.0	103.4	110.8
Non-financial organisations					
Costs	1 475.2	1 549.2	1 668.4	105.1	110.2
Revenues	1 530.3	1 600.9	1 720.6	104.7	109.8
Profit/loss	55.1	51.8	52.2	92.9	98.8
Profit to costs ratio in %	3.7	3.3	3.1	–0.4	–0.4
Profit to revenues ratio in %	3.6	3.2	3.0	–0.4	–0.4
Production	812.3	865.6	954.9	106.6	111.1
Revenues from merchandise	619.8	580.8	575.8	93.7	104.5
Value added	296.2	310.7	331.2	104.9	106.6
Financial organisations					
Costs in total	174.8	228.0	279.2	130.4	122.5
Revenues in total	169.1	239.9	287.7	141.9	119.9
Profit/loss	–5.8	11.9	8.5	..	71.1
Profit to costs ratio in %	–3.3	5.2	3.0	8.5	–2.2
Profit to revenues ratio in %	–3.4	5.0	2.9	8.4	–2.1
Value added	23.4	19.7	34.8	84.0	176.5

1. To 1996 with 25 and more employees, since 1997 enterprises with 20 and more employees (indices calculated from comparable data).

Source: Statistical Office of the Slovak Republic.

as government securities. Returns provided by state-owned enterprises are the worst, and are declining, while private entrepreneurs are the only group which (in some years) have received a positive return on their investments. In other quartiles of the distribution, 25 per cent of enterprises had a return on equity of below –24 per cent, and 75 per cent were below 4.4 per cent.

– The indicators of liquidity and solvency (Panels C and D) also show a poor and (in some cases) deteriorating situation. On average, liquid assets covered only 62 per cent of current liabilities in 1996, while liabilities exceeded claims by 36 per cent. With both indicators, limited companies and private entrepreneurs were in the most difficulty, while the state-owned companies were the most liquid and solvent.

Table 24. **Claims and liabilities of non-financial organisations**

In SKK billion

	31.12.1995	31.12.1996	31.12.1997	30.09.1998
Claims	257.4	278.8	303.3	331.1
of which:				
Overdue claims	109.4	112.6	117.7	132.2
Overdue claims as % of total claims	42.5	40.4	38.8	39.9
Liabilities	333.3	396.5	428.3	444.0
of which:				
Overdue liabilities	93.8	102.2	118.8	124.2
Overdue liabilities as % of total liabilities	28.1	25.8	27.7	28.0
Balance of all claims and liabilities	76.0	117.7	125.0	112.9

Note: Claims towards domestic and foreign debtors (customers, banks, partners, other legal and physical entities). Liabilities are debts towards domestic and foreign creditors, that is external capital used for financing day-to-day operations (debts to suppliers, non-paid wages, debts to partners or associations). Bank loans are not included on the liabilities side. Overdue liabilities are those that have not been covered within an agreed upon period.

Source: Statistical Office of the Slovak Republic.

– Borrowed sources amounted to 67 per cent of total assets (Panel E), down from the previous year, and with large differences between the different company groups: state-owned companies had relatively little dependence on borrowing whereas, for limited companies, this ratio was 75 per cent. The important role of supplier credits (see below) and other such liabilities is illustrated by the fact that, in the majority of Slovak enterprises, the share of bank loans in assets is minimal – reaching 5 per cent on average only in state-owned enterprises. For example, 75 per cent of small firms (with assets of up to SKK 50 million) reported a zero credit burden to banks; at the same percentile, medium-size firms (with assets of SKK 50 to 150 million) had bank loans below 22 per cent of assets; and the share in 75 per cent of large firms was below 25 per cent.
– Corresponding to the indebtedness ratios above, the share of owner's equity in assets (Panel F) was 75 per cent on average in state-owned enterprises in 1996, but under 10 per cent in limited companies. This ratio fell sharply between 1995 and 1996 in all groups except the state-owned enterprises, no doubt reflecting the overall profit decline in non-financial organisations as noted above.
– The average number of days taken to settle liabilities and claims fell significantly in 1996 (Panel G), particularly among limited companies and private entrepreneurs –possibly indicating an improvement in their financial discipline. However, it is also notable that the average delay between settlement of claims and liabilities is also the widest in

Table 25. **Additional indicators of financial performance**

	1993	1994	1995	1996
A. Return on assets ROA (profit after taxation × 100/assets)				
Enterprises total	–0.58	–0.05	0	0
of which:				
State-owned enterprises	–1.81	–1.29	–2.14	–2.43
Joint-stock companies	–0.12	0	–0.2	0
Limited companies	–0.67	–0.23	0	0
Private entrepreneurs	0.20	2.09	1.12	0
B. Return on equity ROE (profit after taxation × 100/equity)		Median		
Enterprises total	–1.94	–1.30	–0.66	0
of which:				
State-owned enterprises	–2.78	–1.83	–2.72	–3.68
Joint-stock companies	–0.21	0	–0.55	0
Limited companies	–2.94	–2.46	–1.43	0
Private entrepreneurs	0	1.53	0	0
C. Liquidity (current assets – physical stocks/current liabilities)				
Enterprises total	0.69	0.71	0.71	0.62
of which:				
State-owned enterprises	0.80	0.85	0.87	0.92
Joint-stock companies	0.80	0.89	0.90	0.88
Limited companies	0.69	0.71	0.70	0.60
Private entrepreneurs	0.64	0.67	0.75	0.73
D. Insolvency (liabilities/claims)				
Enterprises total	1.48	1.54	1.56	1.36
of which:				
State-owned enterprises	1.02	1.10	1.03	1.06
Joint-stock companies	1.10	1.02	0.95	1.08
Limited companies	1.56	1.69	1.65	1.45
Private entrepreneurs	1.20	1.41	1.25	1.20
E. Total indebtedness of assets (borrowed sources × 100/total assets)				
Enterprises total	66.79	69.63	73.26	67.15
of which:				
State-owned enterprises	29.12	24.85	24.00	22.83
Joint-stock companies	39.03	38.15	39.34	46.83
Limited companies	75.93	78.49	79.43	75.06
Private entrepreneurs	64.75	66.97	61.72	56.99
F. Self-financing ratio (owner's equity × 100/total assets)				
Enterprises total	29.57	26.75	22.52	13.67
of which:				
State-owned enterprises	69.25	74.08	75.12	74.95
Joint-stock companies	58.59	59.40	58.41	50.02
Limited companies	20.16	17.91	16.27	9.64
Private entrepreneurs	33.13	30.14	34.52	29.64
G. Term of liabilities and claims settlement in days				
Enterprises total, claims	40.55	37.97	36.39	18.22
liabilities	91.50	88.53	83.97	51.08
of which:				
State-owned firms, claims	108.30	109.80	99.94	96.90
liabilities	107.60	110.60	113.80	99.21
Joint-stock companies, claims	83.84	75.01	74.96	73.07
liabilities	95.40	88.53	86.45	89.89
Limited companies, claims	32.10	35.58	32.74	15.96
liabilities	89.44	92.29	84.30	51.07
Private entrepreneurs, claims	25.21	28.73	28.05	16.97
liabilities	56.08	62.52	54.47	38.66

Source: Bank Accounting Centre.

these two groups, allowing them to create financial sources through supplier credits. State-owned companies take the longest time to settle and, within this group, the large natural monopolies are the slowest.

Entry and exit of firms

Of the total number of enterprises currently operating, just over 30 per cent were in place in 1992. Since then, the rate of company formation was 14-15 per cent in 1993 to 1996 (around 8 000 new enterprises per year), falling off to 11 per cent (6 100 new firms) in 1997 (Table 26). Roughly the same trend is evident in most sectors of activity, although the decline in 1997 was more important in agriculture, manufacturing and financial intermediation.

The pattern of market *exits* is considerably more volatile. There were nearly 2 300 total exits between 1992 and 1997, of which one-third (760 companies) took place in 1995, followed by 23 per cent (529) in 1996 and only 10 per cent (237) in 1997. This sharp decline in exits in 1997 is evident in almost all sectors of industry and market services. Setting these data alongside those of the previous paragraph, the ratio of exits to entries peaked at just under 10 per cent in 1995, but then fell to 3.8 per cent in 1997. Given the evidence above on the financial well-being of enterprises, it appears unlikely that this trend in the number of exits can be attributed to marked improvements in company viability in recent years. Rather, the decline in exits may reflect growing problems in the application of bankruptcy procedures, along with other exit barriers (see below). With new bankruptcy legislation now taking effect, and the room for financial manoeuvre possibly running out in many companies, the number of exits may well rise again in the years ahead.

Policy trends

This section reviews some of the policy developments that had or may have an important bearing on the restructuring of the enterprise sector. These include the continuation of the privatisation process, a new amendment to the Law on bankruptcy approved in early 1998 and the Revitalisation Act that generated a lot of debate last year and was recently cancelled by the new government.

Privatisation and its problems

As discussed in detail in the previous Survey, the privatisation process has emphasised the use of direct sales since the cancellation of the second round of coupon privatisation at the end of 1994. The process has been marked by significant internal political tensions and by the perception that authorities would prefer to retain domestic ownership and control of major enterprises. The low level of FDI (see Box 4 in Chapter II) is consistent with the latter assessment.

Table 26. **Entry and exit of profit-oriented organisations**

ISIC rev 3		Total number in 1997	In per cent a year					
			1992	1993	1994	1995	1996	1997
ENTRY								
Total		**53 819**	**30.6**	**14.3**	**14.8**	**14.2**	**14.7**	**11.4**
of which:								
(A, B, C, D, E, F)	Market production	16 178	32.3	13.8	15.5	14.1	14.8	9.5
	of which:							
(A + B)	Agriculture hunting and forestry and fishing	3 682	28.8	12.3	19.5	14.8	17.7	6.9
(D)	Manufacturing	8 264	32.9	14.2	15.0	14.5	14.0	9.3
(F)	Construction	4 033	34.9	14.4	13.1	12.4	13.2	12.1
(G, H, I, J, K)	Market services	35 868	29.3	14.6	14.8	14.4	14.7	12.2
	of which:							
(G)	Wholesale and retail trade; Repair of motor vehicles, motor-cycles and personal and household goods	24 114	28.6	15.7	15.3	15.1	14.0	11.3
(K)	Real estate, renting and business activities	8 205	29.6	12.3	13.0	13.4	16.4	15.3
(L, M, N, O)	Non-market services	1 773	42.1	12.2	10.4	10.5	14.2	10.6
EXIT								
Total		**2 299**	**4.9**	**10.9**	**17.7**	**33.3**	**23.0**	**10.3**
of which:								
(A, B, C, D, E, F)	Market production	966	3.3	9.8	18.0	29.7	0.0	0.0
	of which:							
(A + B)	Agriculture hunting and forestry and fishing	355	0.0	7.0	15.5	25.6	20.0	31.8
(D)	Manufacturing	421	5.2	11.6	18.1	32.5	25.7	6.9
(F)	Construction	160	5.0	12.5	21.3	32.5	20.0	8.8
(G, H, I, J, K)	Market services	1 216	6.3	11.8	17.8	35.6	23.1	5.4
	of which:							
(G)	Wholesale and retail trade; Repair of motor vehicles, motor-cycles and personal and household goods	595	7.4	13.1	18.3	35.5	20.8	4.9
(K)	Real estate, renting and business activities	362	6.1	11.9	17.7	37.6	22.1	4.7
(L, M, N, O)	Non-market services	117	3.4	10.3	13.7	39.3	24.8	8.5

Source: Statistical Office of the Slovak Republic.

Privatisation has continued: by end-1998, the shares in the National Property Fund's (NPF) possession had a book value of SKK 55 billion (compared with around SKK 100 billion at end-1995) and out of an initial equity total of roughly SKK 350 billion. These amounts do not include over SKK 100 billion of property still held by the relevant founding Ministries – largely covering the gas and energy sector, military production and machinery and transportation. The SKK 55 billion in NPF property comprised about 11 billion marked for sale and the remainder was equity in other companies protected from privatisation under the Strategic Enterprise Act (OECD, 1996). Many sales have been financed through long-term instalment payments to the NPF and, reflecting this, the NPF's total accumulated income (including interest) had reached only SKK 42 billion by the end of 1997 out of a total of SKK 138 billion of equity sold by this institution.

In most respects the concerns expressed in the previous Survey could still be applied for the period 1996-98. One of the major recommendations was for a much higher level of transparency in the way buyers were chosen and prices set in privatisation deals. The new government has announced its intentions to improve transparency in the privatisation process; some of the previous privatisation deals could be reconsidered in cases where the law has been broken. Under the previous government, the NPF claimed to have made more use of public tenders, which have been used in 210 out of a total of 2 900 privatisations up to early 1998, and to publish more information about sales in newspapers. Despite that, there was controversy about some deals, about which little is known; a typical example of lack of transparency is given in Box 6.

The continued state ownership of natural monopolies[39] and the major financial institutions risks aggravating several distortions in the economy. The case of financial institutions was discussed in Chapter III. Concerning natural

Box 6. Slovnaft and Colorin

In April 1998, the National Property Fund sold 10.2 per cent of the capital of the large petrochemical company, Slovnaft, to an unknown company named Colorin. The sale price was SKK 620 million, equivalent to SKK 385 per share – notably lower than the quoted price in the stock market of SKK 879 per share. The transaction took place just before the annual shareholders' meeting and thus Colorin was entitled to receive immediately a dividend of SKK 43 million (US$1.2 million). No details were provided by the NPF on the reasons for either the choice of Colorin or why it was decided to sell Slovnaft shares under such favourable terms. Slovnaft is a strong, already privatised, company. In the absence of more information, the rationale for granting such specific advantages remained unclear to both the domestic and international community.

monopolies several points can be noted. In the area of energy distribution, the regulated prices especially for households are still below international prices, thus favouring a higher energy intensity of the economy (see Annex II). By providing financial facilities to other firms via the pricing system, or allowing payment arrears, natural monopolies can have an indirect harmful impact on competition and financial discipline. These distortions have typically been reduced in other countries under the regulatory environment governing privatisation in these sectors.

The National Property Fund (NPF) itself has remained a focus of concern, although its actions and financial position could not really be separated from the overall political and policy-making framework. The NPF has recently been having liquidity problems; to bolster its finances, in 1998 it has had to borrow abroad and has stopped accepting NPF bonds as payments from its debtors (demanding cash instead). These problems stemmed in part from the previous government's decision to let pensioners aged 70 and over cash in their privatisation bonds before their actual maturity date – requiring the NPF to pay out around SKK 3.5 billion that it did not have (in part because of below-market asset sales as described above, but also a result of easy credit conditions granted in other sales). More generally, the NPF claimed that it has assets well above its liabilities of SKK 36 billion (mainly the privatisation bonds due in 2001). However, as noted above, these assets largely comprise the "strategic" entities which it is prevented from selling. Hence, over the next couple of years it will be up to the new government to decide whether the NPF's obligations are to be met from asset sales or other budgetary sources, or whether they will be somehow deferred. A first sign concerning perhaps a new policy approach in this area was given by the recent transformation of Slovak Telecom into a joint-stock company, the government being in the process of finding a strategic foreign partner.

A new Law on bankruptcy

Prior to the recent relevant legislation, there have been major difficulties in implementing bankruptcy and settlement provisions in Slovakia. These problems were set out in the previous Survey. These concerns related in particular to the time-consuming nature of the conciliation hearings between debtors and creditors before bankruptcy could be applied, the weak position of minor creditors[40] and the over-burdening of the court system.

Concerns about the possibility of massive waves of bankruptcies resulted in many amendments to the initial bankruptcy Law and delays to its effective implementation. For example, from 1991 to 1993, courts could declare bankruptcy only for reasons of indebtedness, not insolvency. Thereafter, other amendments restricted the scope of application, excluding some groups of companies from possible bankruptcy procedures.[41] Therefore, the bankruptcy proceedings were

Table 27. **Bankruptcy and settlements**

	1993	1994	1995	1996	1997
Proposals to declaration of bankruptcy proceeding	538	1 115	1 530	1 321	1 755
of which processed:	169	466	591	672	488
• Petition withdrawal	20	104	113	–	–
• Cessation of proceeding	85	267	388	272	275
• Cases handed over to locally authorised bodies	57	69	64	–	–
• Rejection-lack of assets	7	26	26	66	100
• Other	–	–	–	334	113
Declaration of bankruptcy	11	32	74	198	427
Non processed	369	649	939	2 663	3 896
Proposals to settlements	5	1	2	3	2
of which processed	2	3	2	1	1
Non processed (at the 31/12)	4	2	2	4	5

Source: Ministry of Justice.

blocked from the very beginning of the transformation process. This is confirmed by the accumulation of non-processed bankruptcies during the period 1993-97. In short, bankruptcy has not been used as an instrument of restructuring (Table 27).

Against this background, the 1998 amendment brought about several positive changes. In general, bankruptcy proceedings were simplified and the mandatory negotiation proceedings were abolished. The latter proceedings had been introduced largely to create space for the so-called "revitalisation" of problematic companies. The recent changes may contribute to quicker bankruptcy procedures and settlement.

A major change is the introduction of an obligation for the *debtor* to file a bankruptcy settlement petition, if he or she has been in the state of "indebtedness" for more than 60 days.[42] It is from now on an infraction under the Criminal Code for debtors not to comply with this obligation. Given the difficulties on the part of creditors to assess the financial situation of their debtors and the delays in the court system, this provision could significantly improve the implementation of bankruptcy procedures. It can be expected that a significant increase in the number of bankruptcies could be triggered by the mandatory petition clause. According to information published in the Commercial Journal (Hospodarske Noviny), an increase in filed petitions has already taken place.

The new amendment also simplifies and makes more effective the settlement procedures between creditors and debtors. Compared to bankruptcy proceedings, in the case of settlement the debtor is not restricted in his entrepreneurial activities; in addition, bankruptcy cannot be declared before the

settlement is over. While the use of settlements has been limited so far, they could act as a substitute for the "Revitalisation" schemes, which do not appear to be very effective ways to solve the enterprise restructuring problem (see below).

The Revitalisation Act was not a solution for restructuring

The previous government attempted to tackle the joint problem of enterprise debts and banks' non-performing loans through a new Act on "Revitalisation of Enterprises" that came into effect in July 1997 and was subsequently abolished by the new government. Under this Act, firms could apply to be revitalised if they provided goods and services "in accordance with the priorities set by the government", and if they met at least one of the following criteria:

- they provide an important share of employment in a region;
- they provide economic development in a region with low living standards;
- they provide economic development within important areas and activities.

The Act provided an extensive list of forms of revitalisation, which could be applied to liabilities generated before 1 January, 1997. In essence, however, most of these amounted to *a)* permits allowing the deferment of taxes, social charges, and penalties for late payment; *b)* exemptions from paying penalties on arrears to tax, insurance, and interest payments; and *c)* agreements on various form of loans restructuring (including deferring repayments, reducing interest rates, and writing off loans). It appears that most of these measures – with the exception of full exemptions from tax arrears – could have been applied even under the pre-existing legislative framework. A further important point is that firms undergoing revitalisation were immune from bankruptcy proceedings.

Given the broad scope of the application conditions set out above, many firms could envisage themselves as being eligible for "revitalisation" and, indeed, initial applications apparently totalled over 1000. This list was quickly narrowed down, however, and by mid-1998 only 16 cases (all from the agricultural sector) had been given preliminary approval. It is also notable that the 1998 budget made no provision for direct state financial support for these revitalisation measures. Soon after taking office, the new government cancelled the Revitalisation Act (Decree 364/98, 27 November).

Indeed, there were several sources of concern regarding this approach to enterprise restructuring. As discussed in Chapter II, the many firms hoping to come under its provision may have delayed their tax and social insurance payments, contributing to the revenue shortfalls and increased arrears observed during 1997 and 1998. In focusing on major creditors of firms being revitalised (particularly the state and major banks), the Act left undefined the position of minor creditors and could potentially have jeopardised their rights and

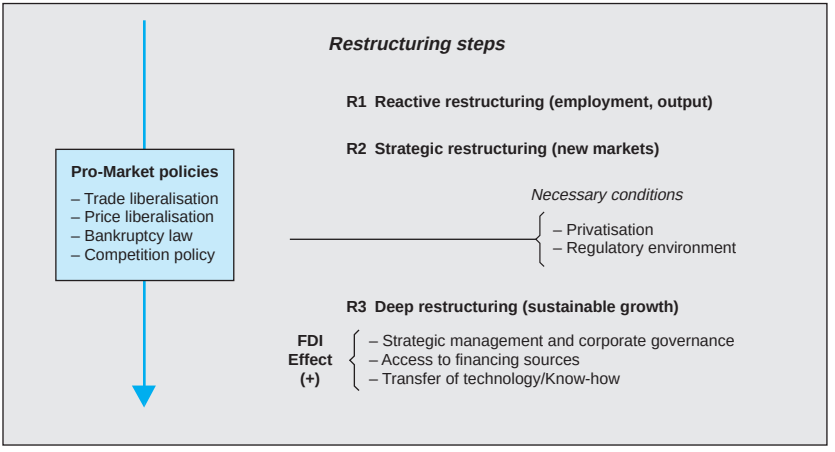
opportunities for fair treatment. More generally, the Act could have been used to provide selective state support for particular sectors and enterprises, substituting for measures (such as bankruptcy provisions) which should be implemented on a broad and neutral basis across the economy.[43]

Establishing the links between facts and policies

Enterprise restructuring is a complex issue and its multiple aspects are not always easy to disentangle. This makes it difficult to evaluate the progress already accomplished in transition and the effects of structural reforms. A typical example has been the privatisation process, which seems a necessary but not sufficient condition for increasing microeconomic efficiency. In EBRD (1995) three major steps of the transformation process are identified: *i) reactive restructuring*; *ii) strategic restructuring*; and *iii) deep restructuring*. Inspired by this approach a schematic view of the restructuring process is provided in Figure 15.

Reactive restructuring (R1) corresponds to the hardening of budget constraints. The previous subsidy system is dismantled, prices are liberalised and enterprises suffer a large fall in demand; enterprises adjust to these shocks by reducing output and employment. In a second step (R2), the enterprises try to

Figure 15. **A schematic view of the restructuring process**



Source: OECD.

make use of their stock of human and physical capital to find new markets for their existing product range. This step usually follows trade liberalisation measures, which underlie the massive re-orientation of trade flows from the eastern to western markets. For example, by doing subcontracting with foreign firms enterprises are able to find new markets for their traditional products.

Deep restructuring (R3) is identified with a more advanced stage of transition. It requires not only new investments, but also strategic management, access to financing and technology transfers.[44] There is increasing evidence that FDI has positive impacts in all these areas. Privatisation is generally viewed as a key condition for deep restructuring to occur. An adequate regulatory environment is also essential, particularly in the case of natural monopolies.

The restructuring process in Slovakia can be assessed in terms of this framework. In this regard, the quantitative indicators of operational and financial performance described in the first section of this chapter can be linked with the policy trends set out in the second section.

Broadly speaking, the bulk of the enterprise sector in Slovakia seems to have undertaken the stage of reactive restructuring (R1). There have been significant falls in output and employment in traditional over-sized sectors such as agriculture, construction and transportation. Among the big industrial sectors, energy and mining, and heavy machinery (including armaments) have also suffered large declines in output and employment (see above and detailed Table A5, in Annex). Moreover, among the less capital-intensive industries such as leather, textiles and food products there is a visible deconcentration, with employment falls in large firms being compensated by employment creation in small and medium firms that characterise these sectors in more advanced economies. This is also an indication that the enterprise structure is responding to market forces.

On the other hand, it is also clear that some enterprises or sectors are still lagging behind, even in terms of the reactive restructuring. Typically, this is the case of large enterprises playing the role of a big regional employer. Their adjustment has been blocked by social concerns that there will be few alternative employment options in the same region for workers losing their jobs in these enterprises. For example, a large aluminium producer in Central Slovakia has a modern autonomous facility[45] producing 80 per cent of the company's output with only 15 per cent of the total workforce. The other parts of this enterprise, with around 5 000 workers, appear to be difficult to restructure, but are being maintained largely because of the regional employment shock that could otherwise occur if full restructuring were pursued. Along similar lines, the machinery companies that have been restructured out of the former armament producers still appear to have production capacities well in excess of market requirements, despite significant employment declines early in the transition.

Instead of market realities being allowed to take their course, some of these large enterprises have been granted special protection under such measures as the Strategic Enterprise Act or the Revitalisation Act, discussed above. More generally, banks have been unable (or unwilling) to pursue bankruptcy procedures in such cases.

An important further step following reactive restructuring was a more strategic orientation of output towards new markets. Many firms were able to make this adjustment by exporting their traditional products to the West. This generated revenues and profits, allowing the privatisation of these enterprises to proceed. Among the top Slovak firms by revenues, the ratio of exports to total production generally exceeds 75 per cent. Export sales have helped to offset declining sales in the domestic market so that, when combined with falls in employment, these firms have been able to realise significant gains in productivity (as suggested by the sectoral details described above and in Annex Table A5). Public sector demand has also played an important role in recent years, notably in the construction sector (particularly regarding the highway programme and nuclear power station).

Among the many enterprises that have emerged from the initial stages of restructuring, there is wide variation in the extent to which they have been able to move towards deep restructuring. In particular, their ability to continue the reform process depends not just on their sector of activity but, more importantly, on a range of *enterprise-specific* conditions. For example, while the textile sector as a whole is facing difficulties in boosting productivity and financial performance (see above), some firms in this sector have been achieving strong results – mainly by establishing strong links with foreign associates. In general, several factors appear to be important in determining whether enterprises are able to make strategic investments and move to deep restructuring, or whether they tend to remain in the prior stage.

Outward orientation is clearly a key factor in creating the conditions for sustained enterprise development. Most foreign direct investment enterprises represent successful cases of restructuring. There are important examples of this link in the car industry, distribution, the food industry and electrical equipment. For enterprises which have not received FDI, access to the credit market is particularly crucial in order to finance investment and modernisation programmes. The difficult conditions in domestic financial markets make the access to investment credits possible mainly for large enterprises (as noted in the borrowing data cited above). These enterprises tend to have well established links with domestic banks and, in some cases, have been able to engage in direct foreign borrowing. The large productivity gains in such areas as the domestically-owned petrochemicals industry are an indication that the restructuring process is well advanced.

But new investment is not sufficient in itself to ensure sustained growth. The role of owners and managers is pivotal, particularly with respect to developing a strategic vision to guide the investment programme and all other aspects of restructuring. The privatisation programme in Slovakia has been subject to considerable criticism, particularly on account of the lack of transparency surrounding the direct sales which have dominated this programme since 1994 (see above and OECD, 1996). While these criticisms still stand, the positive potential of the direct sales approach to privatisation is also evident: in a number of major enterprises, this method has enabled a cohesive and experienced group of owners and managers to remain in place, who know very clearly what is required in the way of investment, product development and market reorientation in order to improve their domestic and international competitiveness. Conversely, there have also been some widely-reported sales of controlling, or at least strategic, stakes in major enterprises to anonymous entities, which apparently have no former links with the enterprises concerned. Clearly, new ownership need not be harmful (and may often be desirable). However, the fact that in some of these cases even senior managers of the enterprises claimed not to know who their new owners are suggests that in such a situation there may be significant difficulties in designing and implementing a coherent development strategy.

The privatisation programme has also been controversial because of the very favourable terms granted to buyers – especially the low cash deposits and long periods for remaining payments. The authorities note that offsetting the apparently low sale prices are important investment commitments that form part of many sales contracts. As noted in Chapter I, the exceptionally high investment rate in Slovakia is partly attributable to firms' efforts to meet these contractual requirements (see Chapter II and Box 7). In general, there are risks under this approach of high dead-weight costs (*i.e.* firms would have undertaken much of this investment anyway), and of excessive investment put in place mainly to satisfy the sales contracts. However, it is also clear that some enterprises have made use of these requirements and incentives to invest according to sound strategic objectives.

Moreover, enterprise development must be viewed not just in terms of the restructuring of existing firms, but also through the creation of new entities. In part, this involves the reallocation of the resources tied up in underperforming enterprises. In this regard, the recent introduction of new bankruptcy provisions (see above) – if implemented effectively – should make an important contribution to an environment which is conducive to deep restructuring. On the contrary, the Revitalisation Act threatened to interfere with the process of market-based reallocation. Exactly the same concerns were expressed in the previous Survey in connection with the Price Law and the Act on Strategic Enterprises.

Box 7. Investment, financial intermediation and enterprise development

A striking feature of the Slovak economy – as noted in Chapters I and II – is that very high rates of national savings and investment exist alongside low rates of financial intermediation through the banking sector. In 1997, gross fixed capital formation and national savings appear to have been around 38 per cent and 28 per cent of GDP, respectively; banking intermediation, as measured by increases in deposits and domestic credit, was equivalent to only 6 per cent of GDP. What are the sources of this disparity, and what are its implications for enterprise development?

The disparity is partly attributable to the fact that some of the investment by large enterprises and quasi-public bodies (*e.g.* the highway fund) has been financed through direct foreign borrowing rather than through borrowing intermediated by domestic banks.

Nevertheless, the high savings rate is difficult to reconcile with the credit constraints apparently faced both by parts of the enterprise sector (notably SMEs), and by the public sector. This suggests that the savings produced by the economy are being directed largely towards own-investment by the households and enterprises generating these funds. In the household sector, for example, there may be some self-financed investment in home construction and improvement, particularly given the still under-developed state of mortgage lending.

The major part of own-investment, however, arises in the enterprise sector. Firms with positive cash flow are able to fund directly their restructuring and modernisation projects – including investment commitments in contracts between former state-owned enterprises and the National Property Fund – while other enterprises may have much more difficulty in financing investment plans. This investment pattern would not necessarily be inefficient: for example, profitable enterprises could have higher marginal rates of return on investment than unprofitable ones. However, several considerations suggest that the current situation is not efficient. Enterprises with debts to the NPF face strong financial incentives to invest in order to write-off part of their debts. Furthermore, the under-development of the domestic financial system implies that there may be few alternative investment outlets for profitable firms, including debt or equity instruments issued elsewhere in the economy. In general, there is a risk that this investment pattern consolidates the current enterprise structure. Indeed, while the existing enterprises do have to make new investments and this is an important part of the restructuring process, it is also crucial that financial resources are freed up for the creation of new firms and sectors.

To sum up, despite the fact that evaluating the extent of economic restructuring is certainly a complex exercise, some robust findings have emerged. First, there is a critical mass of enterprises that have been through the crucial initial steps of restructuring through major adjustments in productivity, products and markets. The remaining core of problematic enterprises is relatively well identified, notably those connected with the previous armaments industry. There

are several cases of firms which are well-advanced in the process of deep restructuring, but this process needs to be broader-based in order to support sustainable growth. In this regard, the current policy environment presents difficulties. As already discussed in Chapter II, the imbalance between an expansionary fiscal policy and a tight monetary policy has created serious problems in the access to and price of finance. The financial situation of the enterprise sector has deteriorated rapidly, notably with the mounting of inter-enterprise arrears, increasing non-performing loans in the banks' balance sheets and tax arrears. Progress in effective implementation of bankruptcy and competition policy has still to be made. The actual trade openness of the economy contrasts with the perception on the part of foreign investors that the authorities and enterprises have had a strong preference for domestic ownership and control. Particularly in this area, efforts to improve the external image of Slovakia would yield a strong return in terms of resources for enterprise restructuring.

Notes

1. One should bear in mind that between 1997 and 1998 there were a significant number of areas where the Statistical Office, the Labour Office and other government agencies changed their statistical methodology. Examples of this are the state budget deficit, the consumer price index and foreign trade data. In part, these changes are due to the process of harmonisation of Slovak Statistics with EU standards. This makes annual comparisons more difficult and, when possible, these problems are identified in the text. The Statistical Office is progressively providing comparable statistics, but this may take some time.
2. Recall that Czech and Slovak industries are still tied by strong, albeit decreasing, links. In 1997, roughly 27 per cent of Slovak exports went to the Czech market.
3. Nonetheless, this share has declined from 156 per cent in 1995.
4. It is worth noting that the figures for 1998 are not directly comparable with previous years, because the imports realised within the unfreezing of debt towards Slovakia have been subtracted from total imports. Not only are these transactions no longer included in the trade data, but their volume is secret. These transactions concern the settlement of a Russian debt that is being paid in kind (notably, military material and aircraft). Since the beginning of 1998, the methodology for including reprocessing in export and import data has also changed.
5. Recall that contrary to the usual measures of competitiveness, which involve comparisons of absolute price levels, the comparative advantages result from the comparison of domestic relative prices. Ultimately, the latter are the forces that truly matter to determine the changes in the structure of an economy.
6. See OECD (1996) for an analysis of the tourism sector in Slovakia.
7. This deserves, however, a qualification. Indeed, the re-allocation of some activities previously vertically integrated in large industrial conglomerates to the service sector does not correspond with the creation of truly new activities.
8. For example, the criteria for defining private sector control is 51 per cent of equity, but effective control may require a substantially higher share. Moreover, according to other official data, the share of non-market services is around 13 per cent of GDP. This would imply that the share of industry and market services under public ownership is only around 6 per cent, which clearly appears too low (given state ownership of major banks, natural monopolies, etc.).
9. The wages in the health sector were raised on 1 July 1996 and 1 May 1997.
10. For example, the large industrial holding company VSZ (East Slovakia Iron and Steel Works) reported 1997 net profits of SKK 0.59 billion, compared with SKK 1.35 billion in 1996 (Reuters, 15 April 1998).

11. The total sum of tax arrears includes legally permitted tax instalments and delayed payments (comprising over half the total), plus arrears of organisations which no longer exist and arrears from the pre-1992 tax system.

12. Only 18 per cent of the anticipated annual VAT revenues were collected in the first quarter, and 39 per cent in the first half-year.

13. These and the subsequent comparative OECD data are drawn mainly from *Forces Shaping Fiscal Policy* (ECO/CPE/WP1(98)5), Table 11).

14. As cited in MacFarlan and Oxley, 1997.

15. This financial cost is based on a nominal interest rate of 7 per cent, which is well below the rates currently available even on foreign currency loans.

16. The road fund also receives a share of excise and road taxes for construction and maintenance of roads other than highways.

17. Slovakia raised 1 billion Deutschemarks at a yield of 350 basis points above Bunds; US$300 million at 370 points above US Treasuries; and 15 billion yen.

18. Payments of SKK 3.5 billion, which had not been expected by the NPF, arose as a result of a new Act allowing people aged over 70 to redeem their NPF privatisation bonds.

19. CSOB is the fourth largest bank (by assets) in Slovakia, operating as a foreign branch. It is jointly owned by the Czech Republic (mainly through the National Bank, Ministry of Finance and National Property Fund, which hold a combined 66 per cent shareholding), and by the National Bank of Slovakia (with 24 per cent of shares). In the restructuring of this bank (see OECD 1996b), a large portion of CSOB's non-performing loans was transferred to collection companies – Ceská inkasní and Slovenská inkasná – which are wholly owned by the respective Ministries of Finance. To fund this asset transfer, CSOB extended long-term refinancing credits to the collection companies, the repayment of which (together with interest) was guaranteed by the Finance Ministries. Following an initial restructuring of overdue interest and principal payments owed by Slovenská inkasná to CSOB, the latter has requested the Slovak Ministry of Finance to provide Slovenská inkasná with around SKK 13.7 billion to fund its obligations to CSOB in full (as provided for under the original loan agreement). Subsequently, CSOB has taken this case to the International Centre for Settlement of Investment Disputes (ICSID) in Washington. Slovakia has challenged the jurisdictional authority of the ICSID in this dispute, while acknowledging its obligation to underwrite the loan repayments to CSOB.

20. The Bank targeted a currency basket comprising the Deutschemark (with a 60 per cent weight) and the US dollar (40 per cent), roughly in line with the currency composition of trade. On 1 January 1999, the Euro would have replaced the Deutschemark in the currency basket.

21. The amendment would have increased the limit on the Bank's purchases of state securities from 5 to 10 per cent of overall government revenues in the previous year; increased the membership of the Bank Council from 8 to 10 members, including 5 government appointees rather than 3 as at present; removed the Governor's casting vote in Council decisions; and required that the budget of the NBS be approved by the Parliament. However, the former government had difficulty in consolidating support for the legislation among its coalition partners, first postponing a vote while further negotiations took place to tackle some of the more controversial elements and then (in February 1998) withdrawing the amendment from the Parliamentary agenda.

22. An exception is the primary deposits of building societies, where the reserve ratio was raised from 1 per cent to 3 per cent.
23. To be precise, this foreign exchange position is defined as FXAN/(FXL + LNSK – C), where FXAN = foreign exchange claims on non-residents; FXL = total foreign exchange liabilities; LNSK = Slovak crown liabilities to non-resident banks; and C = capital and other resources in foreign currency and unpaid capital in foreign currency (*source: NBS Annual Report, 1996)*.
24. Reuters report, 4 June 1997.
25. In this calculation of growth in net credit to government, an SKK 24.5 billion financial obligation written off from the NBS accounts during 1997 is excluded from both numerator and denominator. This obligation arose from the division of the State Bank of Czechoslovakia (see NBS Monetary Survey December 1997, p. 17).
26. At end-March, 1998, foreign currency bonds and notes of the Slovak Republic were downgraded from Baa3 to Ba1, and foreign currency bank deposits were downgraded to Ba2.
27. These trends are discussed in detail in the NBS Monetary Survey, September 1998.
28. For example, the growth of deposits and domestic credit was around 4 per cent of GDP in the Czech Republic in 1996, and 8 per cent in Poland.
29. Data for Slovakia are for 1997; for other countries, data are for 1996 from *International Financial Statistics*.
30. The following list does not include representative offices of foreign banks, of which there were nine at end-1997.
31. This shareholding comprises 91 per cent held by the National Property Fund, and 9 per cent held by the Restitution Fund.
32. These rates of return do not appear out of line with those found elsewhere in Central and Eastern Europe. For example, The Banker (September 1997) provides data for the main banks in the region (based mainly on 1996 results), indicating that the rates of return on assets (ROA) on Slovakia are, on average, above those of the Czech Republic (where the *unweighted* average was 0.4), comparable with Slovenia (1.3), but well below returns in Hungary (2.3) and especially Poland (5.0). The wide variability within and across these and other countries in the region should however be noted.
33. For example, Borish *et. al.* (1997) cite an amount of 8.5 per cent of GDP spent on bank restructuring schemes in Hungary between 1992 and 1994.
34. As reported in VUB's *1996 Annual Report*.
35. This total apparently does *not* include public guarantees which, at least implicitly, back the borrowing undertaken by extra-budgetary entities such as the National Property Fund and the Highway Fund (including recent foreign exchange loans).
36. According to the NBS, the problem of enforcing claims may be of particular concern regarding land transactions, where the registered owner according to the land register may be different from the borrower who offered the land as collateral.
37. One enterprise that was interviewed described a large debt of over SKK 3 billion that had been restructured out of earlier short-term loans on which it was unable to make payments. The new loan (from VUB and SLSP) carries an interest rate of only 6.4 per cent, and initial repayments are deferred until after 2001. This enterprise apparently still faces substantial problems with liquidity as well as total indebtedness.
38. Probably the best counter-example is Volkswagen Bratislava.

39. The first group comprises Slovak Telecommunications (Slovenské telekomunikácie, š. p., ST), Slovak Gas Industry (Slovenský plynárenský priemysel, š.p., SPP), Slovak Electric Plants (Slovenské elektrárne, a.s., Bratislava, SE), Western Slovak Energy Plants (Západoslovenské energetické závody, š.p., Bratislava, ZSE), Central Slovak Energy Plants Stredoslovenské energetické závody, š.p., Zilina, SSEZ), and Eastern Slovak Energy Plants (Východoslovenské energetické závody, š.p., Košice, VSE).

40. Using the provisions of Civil Judiciary Code, creditors can only enforce their claims individually, that is proportional satisfaction of claims of all creditors is not possible.

41. The following are exempted from the application of the law: state budget organisations, state contributional organisations, municipalities, legal entities established by special laws (National Property Fund), state-owned enterprises, or joint-stock companies listed in the Strategic Enterprise Act. As for agricultural debtors, the act is not to be applied for a certain period of time; debtors operating in transportation/communication sectors may, if considered "strategically" important, also obtain an exemption from the government. The amendment No. 292/96 exempted other strategic companies, and act No. 211/1997 Coll. exempted all companies with approved revitalisation programmes.

42. This term, which was not defined in the Law, can be interpreted as a situation where liabilities exceed assets.

43. See Simeon Djankov, "Enterprise Isolation Programs in Transition Economies: Evidence from Romania", mimeo, World Bank, 1998.

44. See OECD/DSTI (1998) for further information on development of science and technology in the Slovak Republic.

45. This example refers to the ZSNP holding and its daughter company Slovalco.

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Annex I

How far can a current-account deficit be sustained?

The sustainability of current account deficits in emerging markets has been widely debated in the economics literature (*e.g.* Reisen, 1998, Roubin and Watchel, 1998). Typically, the accumulation of current account deficits with a fixed exchange rate regime, especially when combined with real exchange rate appreciation, is viewed as a potentially risky combination. When the current account deficit is largely financed by inflows of short-term portfolio investments the risk increases substantially, with the possibility of a confidence crisis and sudden reversals of capital inflows. Weak banking and financial systems, large fiscal imbalances and low foreign reserves also contribute to the fragility of the external position. In practice, the evaluation of each country's situation is also based on a number of judgmental factors, taking into account the political and social situation. All these factors influence the long-term growth prospects of the economy and its ability to reimburse the debt. Ultimately, the latter is the fundamental condition for defining an "admissible" debt-to-GDP ratio, which in turn determines the path of sustainable current account deficits.

A first evaluation of the sustainability of a current account deficit can be based on a simple relation linking the growth rate of nominal GDP, interest rates and the level of the deficit. The approach followed here is inspired from Howard (1989), but more sophisticated variants of this method can be established by taking into consideration more variables and parameters. By definition, the change in the *net* debt (ND) is equal to the current-account deficit (CA):

$$\Delta ND = -CA \qquad \text{(i)}$$

In order to be sustainable over the long run, the net debt should not grow at a faster rate than nominal GDP. Otherwise, the net debt would grow and compound over time and the country's ability to repay the debt would rapidly decrease. In other words, at the steady state the limit condition is:

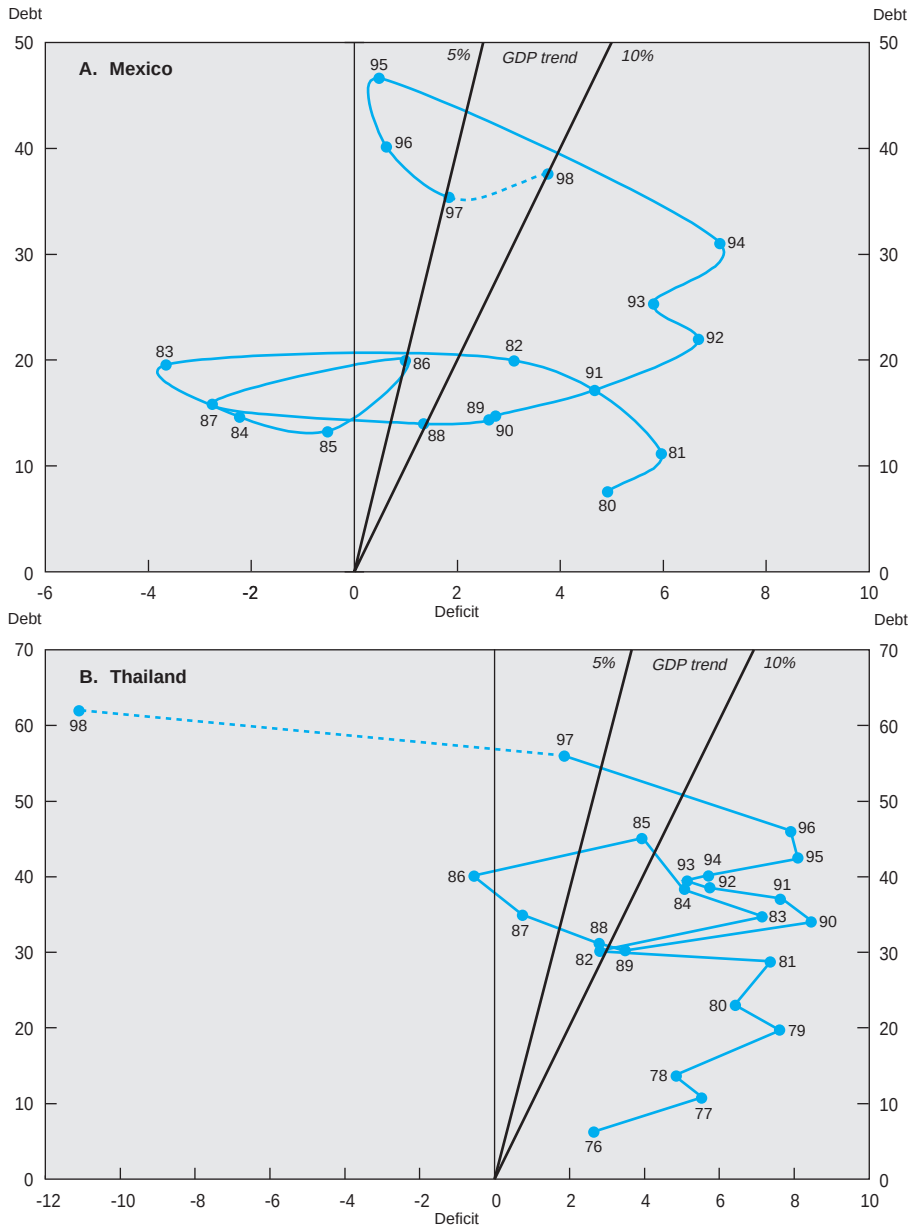
$$\frac{\Delta ND}{ND} = \frac{\Delta Y}{Y} \qquad \text{(ii)}$$

where Y is nominal GDP. Using (i) and re-arranging one gets:

$$\left(\frac{ND}{Y}\right) = \frac{1}{g} \cdot \left(\frac{-CA}{Y}\right) \qquad \text{where} \qquad g = \frac{\Delta Y}{Y} \qquad \text{(iii)}$$

All the variables are expressed in the same currency. This suggests a simple graphical representation. For each couple (ND/Y and CA/Y) there is a line with slope equal to *g*, the growth rate of nominal GDP that ensures a stable ND/Y ratio. For example, for a stable ND/GDP ratio at 30 per cent and nominal GDP growth at 10 per cent, the sustainable current account deficit is 3 per cent of GDP. Conversely, with a given growth rate of nominal GDP there is a maximum level of sustainable deficit that is compatible with a stable ND/Y ratio.

Figure A1. **Net external debt and sustainability of current account deficits**



Source: OECD.

The deficits that are higher than the sustainable level increase, by definition, the debt to GDP ratio. Those deficits correspond to the region to the right of the bolded lines in the charts. To illustrate this approach, the cases of two countries that experienced recent external crises are displayed in Figure A1.

The net debt spiralling in a non-sustainable region followed by a period of adjustment appears rather clearly in the charts. For Thailand, the net debt continuously increased from the mid-1970s up to the mid-1980s. By the mid-1980s, a first adjustment brought the current account deficit into a sustainability area. This region appears in the chart at the left side of the bolded lines representing a 5 and 10 per cent growth of nominal GDP. This first adjustment culminated in a current account surplus in 1996. Afterwards, the current account deficit started to increase again up to year 1996, then it was followed by the severe adjustment of the years 1997-98. With different timing, Mexico displays a similar pattern. For Thailand in 1998, the net debt ratio continues to increase despite the sharp adjustment of the current account because of the large exchange rate depreciation.

Among others, an alternative evaluation of the long-term sustainability of the current account was put forward by Reisen (1998). He defines a sustainable current account deficit (CA) that is compatible with a stable debt ratio and the desired level of reserves, as follows:

$$CA/Y = (\gamma + \varepsilon).d - [(\eta + \varepsilon - \gamma)/(1 + \gamma)].(FX/Y)$$

where: γ = Long term real GDP growth
ε = Real exchange rate appreciation per unit of GDP
d = The highest "admissible" net debt to GDP ratio (determined by the portfolio behaviour of the lenders).
η = Annual import growth
FX = net accumulation of foreign reserves

Reisen calibrated his model on estimated parameters for a sample of emerging markets in Latin America and Asia. Depending on the countries, he found the level of sustainable deficits to be in the range of 2-4 per cent of GDP. These figures are roughly in line with the previous estimates obtained with a simpler equation. Both indicate that the current account deficits of, say 5 per cent of GDP or above, are not sustainable in the long-run.

Annex II

Energy prices in Slovakia

There have been some suggestions that Slovakia's relatively low inflation rate in comparison with other transition economies in the same region may be due, in part, to a lower extent of liberalisation of some key prices in the economy, notably including energy and housing. Looking at energy in particular, OECD (1997) points to several difficulties with the level and structure of energy prices in Slovakia. For example, households generally pay less for electricity and gas than does industry. Heat supply prices for households cover only 60 per cent of production costs. And low costs in electricity and gas production are due in part to the use of depreciation charges based on historic acquisition costs, as well as low operating costs; nevertheless, profits in the electricity sector have been declining.

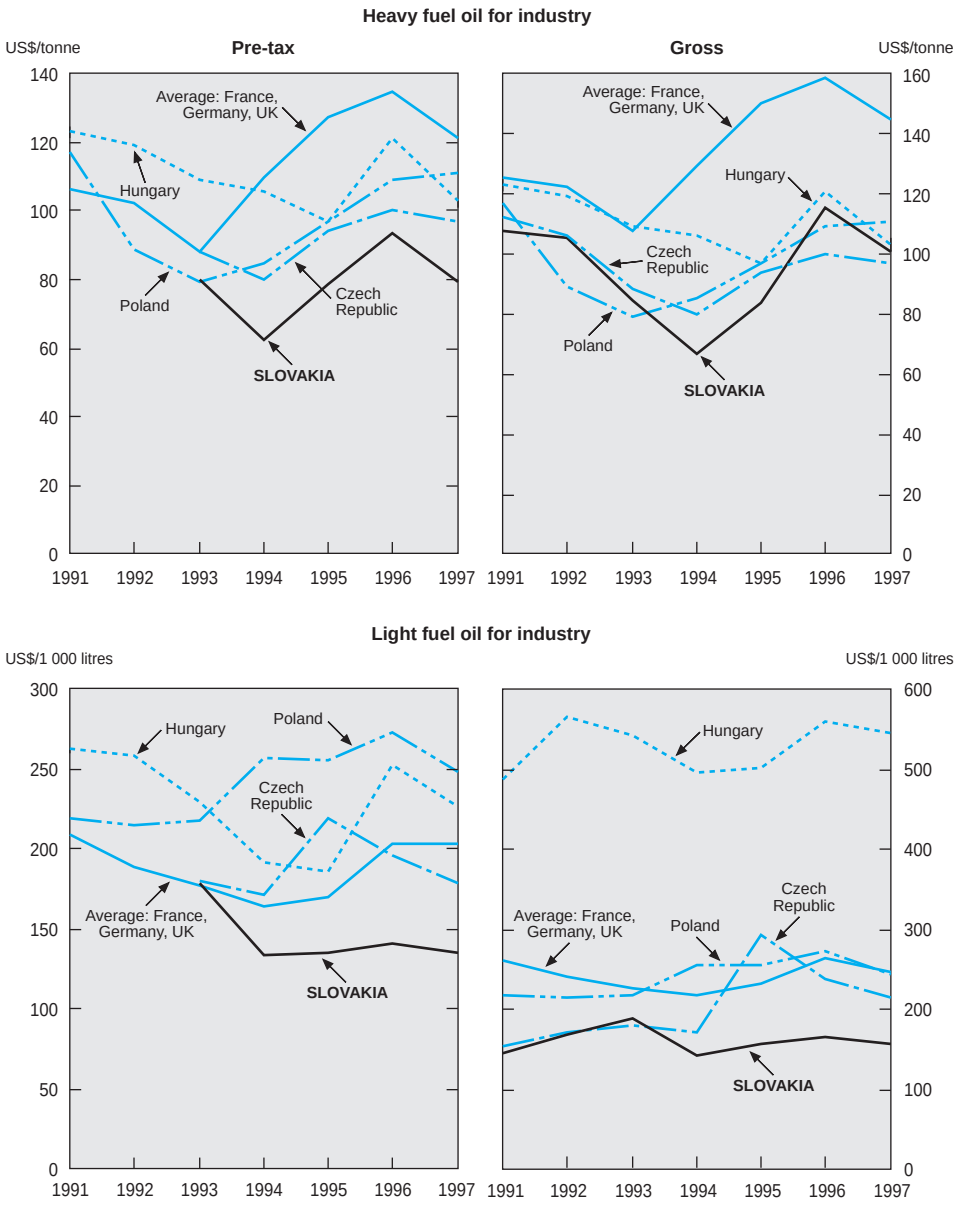
However, Slovakia is not the only transition economy where further adjustment in the energy sector is required. It is therefore useful to look at some comparative evidence on energy prices for industry and households in Slovakia, the Czech Republic, Hungary and Poland.

Price trends since 1991 for heavy and light fuel oil for industry, household electricity, and premium gasoline are presented in Figure A2, with prices shown on both a pre- and post-tax basis. Also included in these charts are indicative prices for western Europe, calculated simply as the average of prices in France, Germany, and the United Kingdom.

Several points can be noted:

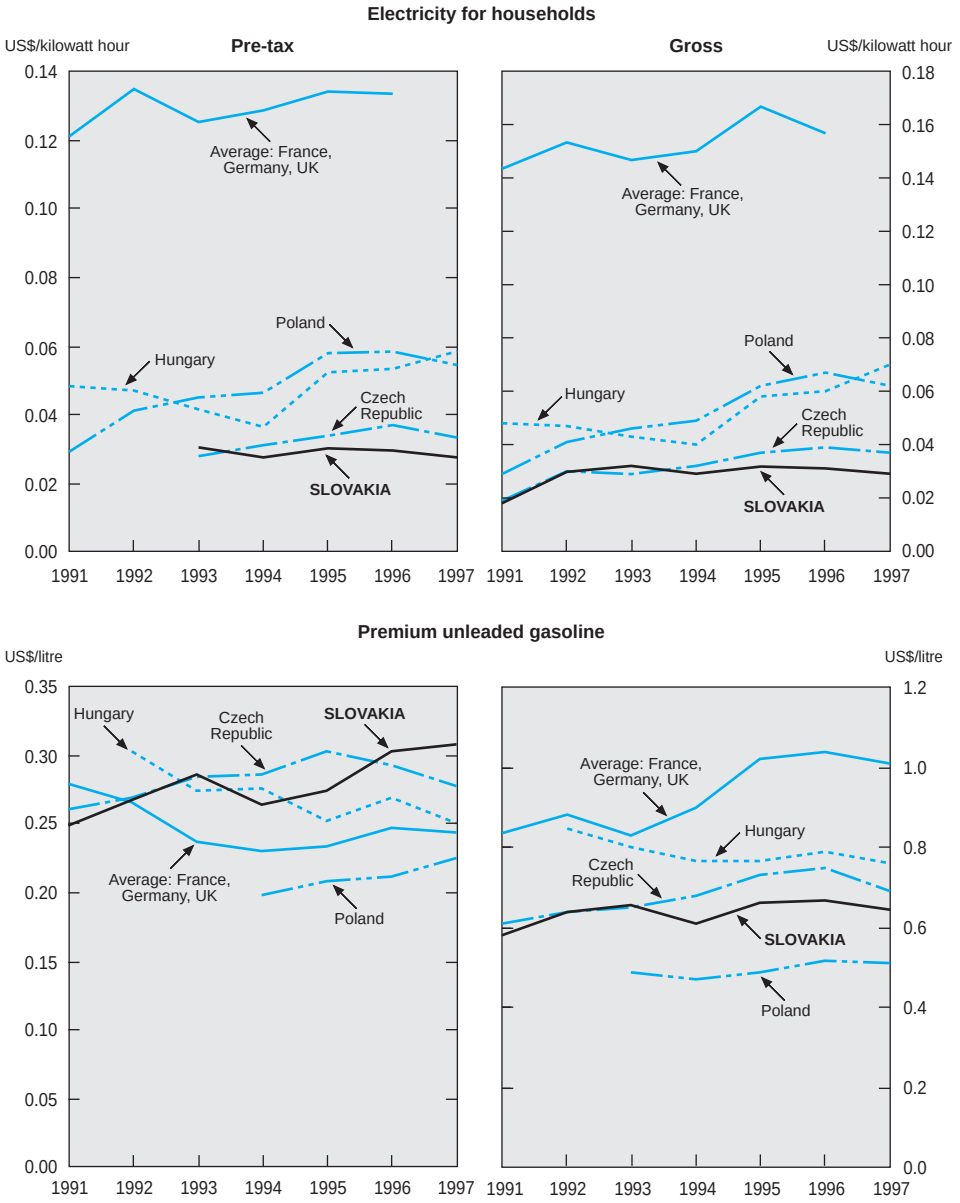
- household electricity prices in western Europe are more than double those in the transition economies, both before and after taxes. Gross prices of gasoline and heavy fuel oil are also much higher in the West, largely because these items (especially gasoline) are much more heavily taxed than in Central Europe. In the case of light fuel oil, Hungary stands out as having much higher levels of taxation and hence gross prices than the other countries;
- looking specifically at Slovakia, prices here are generally amongst the lowest of the countries shown. Prices of light fuel oil and household electricity are easily the lowest, both before and after taxes. Heavy fuel prices are the lowest pre-tax and amongst the lowest after taxes. With gasoline, pre-tax prices are relatively high in Slovakia; however, taxes on this product are higher elsewhere (especially in western Europe) so that gross prices in Slovakia (along with Poland) are relatively low;
- the dispersion of prices across countries has tended to increase through time. This is most apparent in the case of household electricity, where prices have been generally stable in Slovakia since 1993 against an upward trend elsewhere; and with light fuel oil, where prices declined in Slovakia between 1993 and 1994 and then remained stable, compared with a reversal of earlier declines, along with somewhat greater volatility, in the other countries.

Figure A2. **Energy prices**



Source: Energy Prices and Taxes, IEA.

Figure A2. **Energy prices** *(cont.)*



Source: *Energy Prices and Taxes,* IEA.

In sum, these trends suggest that relatively low energy prices have indeed helped Slovakia to achieve its relatively good inflation performance. Clearly, this is not the only – nor the most important –factor involved: the former fixed exchange rate regime, combined with the overall credibility of the monetary policy stance, have had a key influence on Slovakia's ability to reach and maintain rather low inflation (see Chapter II). However, further liberalisation of the energy sector, including removal of various forms of direct and indirect state support, could have a net upward influence on overall prices. More generally, however, higher energy prices would help to reduce the relatively high energy intensity embodied in the current economic structure. The comparative indicators presented in OECD (1998c) (such as primary energy supply relative to GDP, and energy consumption as a proportion of steel output) suggest that the energy intensity of Slovakia is well above that of countries in western Europe, and generally at or above the levels in the Czech Republic, Hungary and Poland. In 1997, the Slovak government adopted a resolution committing Ministers and Directors of Regional Authorities to prepare proposals regarding the gradual change in energy prices, taking into account the social impact, and the alignment of the energy tax structure with that of the EU. As discussed in the main text (Chapter I), a policy priority of the new government is to raise regulated prices, and a 33 per cent increase in average electricity prices occurred on 1 January 1999.

Annex III

Regional dimensions[1]

The previous Survey (OECD, 1996) described why the *regional* dimension of unemployment was the key to understanding both the origins and persistence of aggregate unemployment figures. Basically, Slovakia is characterised by a large mismatch between the density of economic activities and the concentration of the unemployed. While the Bratislava region is booming and close to full employment, the eastern and southern regions have persistently high unemployment rates (Table A1) and are stuck with enterprises or sectors that face major restructuring requirements.

Table A1. **Regional unemployment rate in Slovak Republic**

	1991	1992	1993	1994	1995	1996	1997	1998[1]
Bratislava	4.7	6.6	5.6	6.2	5.6	4.6	4.9	4.1
Trnava	7.8	12.9	14.6	14.2	13.9	11.8	11.5	11.5
Trencin	6.1	10.3	10.5	10.9	9.7	8.3	8.7	8.8
Nitra	7.6	13.0	15.0	16.7	16.6	14.9	15.2	15.5
Zilina	7.1	10.9	12.5	13.4	12.3	11.0	11.1	11.9
Banska Bystrica	7.1	11.2	13.5	16.1	15.6	15.0	15.0	16.0
Presov	7.6	12.6	15.1	17.0	17.4	17.3	17.9	19.1
Kosice	8.2	12.9	15.6	18.2	18.4	17.2	17.7	18.3
Slovak Republic	**7.0**	**11.3**	**12.9**	**14.4**	**14.0**	**12.8**	**13.0**	**13.4**

1. 1998 first quarter.
Source: OECD Territorial Data Base and OECD-CCNM Regional database.

This mismatch increased sharply in the 1991-93 period following massive lay-offs in some specific regions, especially those where the former armament producers were located and where the agricultural sector reforms had their largest impact. The problem is that, since then, there seems to have been few spillovers of the overall economic growth to these problem regions and appropriate policies have been developed slowly. For example, there are recent cases of policies targeted towards large loss-making enterprises in sectors which do not appear to be viable over the longer-term. In preserving the *status quo*, such an approach prevents resources from being freed-up for new activities and will generate higher adjustment costs over the long-run.

Against this background, this annex aims to provide a broader picture of regional problems and policies. In particular, the annex discusses the need for a horizontal approach to regional development rather than trying to solve regional disparities by direct support to specific enterprises or sectors. In this regard, it is important that policies delivered through the new framework for territorial governance that was recently put in place be consistent with this horizontal strategy. A coherent approach to regional policy becomes even more important in the perspective of the EU integration process.

The persistent disparities of regional development

The location of industries under the socialist planned economy as well as their position in the overall system of mass production are critical precedents to regional disparities in the Slovak Republic, and the present process of regional fragmentation can not be analysed without taking them into account. Smith (1998) argues that the present success or failure of Slovak regions is linked to their respective positions in the state socialist division of labour, their sectoral orientation and the level of economic diversification.[2] His threefold typology of regions is helpful for understanding regional disparities today (Table A2). First are seven highly specialised industrial centres in which 25 per cent of industrial employment was concentrated. These include, for example, the heavy engineering and armaments

Table A2. **Regional industrial structures**

1. Regionally specialised industrial structures	
a) Heavy engineering/armaments - producing	
i) First stage	Povazská Bystrica (including Dubnica nad Vahom)
ii) Second stage	Martin; Zvolen (Detva, Hrinova)
b) Metallurgical industry regions	Kosice; ziar nod Hronem
c) Chemicals	Humenné
d) Leather and shoes	Topol'cany (Partizanska)
2. Regionally diversified industrial structures	
a) Metropolitan economies	Bratislava; Trnava; Zilina; Trencin; Banska Bystrica
b) Diversified industrial economies	Lucenec; Spisska Nova Ves; Nove Zamky; Presov Rozsnava; Levice; Galanta; Komarno
c) Agricultural peripheries	Bratislava-vidiek; Strara L'ubovna; Vranov nad Trebisov; Dunasjka Streda; Velky Krtis; Svidnik; Kosice-vidiek
3. Industrial and agricultural peripheries	
a) Branch Plant Economies	Cadca; Bardejov; Dolny; Kubin; Rimavska Sobota
b) Marginal Industrial Areas	Lucenec; Spisska Nova Ves; Nove Zamky; Presov Rozsnava; Levice; Galanta; Kormarno
c) Agricultural Peripheries	Bratislava-vidiek; Stara L'ubovna; Vranov nad Toplou; Trebisov; Dunajská Streda; Velky Krtis; Svidnik; Michalovce; Kosice-vidiek

Source: Smith, 1998.

producing regions of Martin, Zvolen and Povazska Bystrica, which were considered the "industrial heartland" of Slovakia. These were often formerly agricultural and backward areas and the mono-industrial structures imposed on them linked them directly to the CMEA system. Second is a group of regionally diversified industrial economies, some of which had a diversified economic base prior to the socialist period. For example, leather production, textiles, wood processing and electronics were all part of the industrial base of Lipotovsky Mikulas. A third group of regions included marginal industrial areas and peripheral agricultural areas. For example, these cover northern and southern border regions which contained "branch plants" involving fully integrated output of one product linked to a parent company.

Slovak regions, hence, began the transition process with different stakes and endowments, and in general, the diversified economies have been more successful at using development strategies such as export promotion based on low wage competitiveness, attracting FDI or promotion of SMEs. However, as the argument below illustrates, these particular strategies have in some cases intensified regional disparities, and may be preventing necessary structural change. For example, dependence on export earnings may be slowing labour shedding necessary in the metallurgical industry of Kosice. Some of the most important foreign investments, (VW in Bratislava, Whirlpool in Poprad, and chemicals in Hummene) are having limited effects on labour productivity and technological improvements outside of the immediate vicinity.

The two eastern regions of Kosice and Prešov are examples of the structural difficulties noted above. They have the highest rates of regional unemployment in the country, and information from the National Employment Service indicates that loss of employment will become more severe as further restructuring of large industries is inevitable. These disparities are further intensified by the lack of foreign direct investment flows to these regions. Business entities in the Bratislava region absorbed over half of total foreign investment in 1997, while firms in Prešov have absorbed under 4 per cent (Table A3). Concerning foreign investment, not only is its level low compared with other countries in the region, but it is also mainly concentrated in Bratislava, which attracted roughly two thirds of total FDI.

Table A3. **Business entities in Slovak Republic by region, 1997**

	Number	Share of SR %	Share of SR with foreign capital %
Bratislava	15 167	28.2	51.9
Trnava	4 297	8.0	8.0
Trencin	5 011	9.3	8.3
Nitra	4 879	9.1	6.3
Zilina	5 711	10.6	7.5
Banska Bystrica	6 217	11.6	6.6
Presov	5 171	9.6	3.6
Kosice	7 366	13.7	7.9

Source: Statistical Office of the Slovak Republic.

Perhaps the most visible regional disparity in Slovakia is the economic gap between Bratislava and the rest of the country. In 1997, value-added per capita in Bratislava was SKK 306 600, compared to SKK 58 200 in Prešov. This is reflected in the fact that the highest average monthly salary (for enterprises with 20 employees or more and non-profit organisations) was in the Bratislava region with SKK 11 800, while the lowest was in Prešov with SKK 7 757. In terms of entrepreneurial activity, Bratislava leads in the number of individual tradesmen or sole entrepreneurs, with 19 per cent of the total (Table A4). There is also a significant regional disparity in the sectoral distribution of both legal entities and single-proprietor businesses. For example, 24 per cent of business entities in the hotel and restaurant sector were concentrated in Bratislava in 1997, while 8 per cent were in Prešov region. More striking is the concentration of single-proprietor businesses in trade services located in Bratislava region, 36 per cent, compared to 12 per cent in Kosice, and 8 per cent in Prešov (Table A5). The development of services in the eastern regions will be an important source of job creation in the future.

Table A4. **Regional distribution of sole-proprietors (SP), 1997**

	SP	% of total
Bratislava	46 890	19.2
Trnava	27 036	11.1
Trencin	25 256	10.3
Nitra	31 569	12.9
Zilina	30 353	12.4
Banska Bystrica	25 830	10.6
Presov	28 233	11.6
Kosice	29 252	12.0
Total	244 419	

Source: Statistical Office of the Slovak Republic.

Table A5. **Sectoral breakdown of sole-proprietors (SP) and Legal Entities (LE) by region, 1997**

	Hotels and restaurants		Other trade services		Construction	
	LE %	SP %	LE %	SP %	LE %	SP %
Bratislava	23.9	15.0	n.a.	36.2	23.3	18.5
Trnava	5.9	10.6	n.a.	8.2	7.9	11.1
Trencin	11.0	11.0	n.a.	7.8	10.9	10.0
Nitra	7.0	12.1	n.a.	9.8	8.1	14.4
Zilina	14.5	15.1	n.a.	9.3	14.3	10.7
Banska Bystrica	15.5	13.3	n.a.	8.2	12.2	11.7
Presov	10.4	12.5	n.a.	8.1	10.5	10.4
Kosice	13.8	10.3	n.a.	12.5	12.8	13.2

Source: Statistical Office of the Slovak Republic.

This dynamism of Bratislava is closely linked with its proximity to Austria, Hungary and the Czech Republic. For example, in terms of cumulative FDI since 1990, Austria provided 22 per cent, just behind Germany with 25 per cent of FDI. The Czech Republic remains Slovakia's most important trading partner, responsible for absorbing 27 per cent of exports and supplying 23 per cent of imports. In terms of labour flows, it is estimated that, in 1997, 10 000 Slovak workers crossed the border to Austria on a weekly basis and 73 200 went to work in the Czech Republic.[3] In 1996 Slovak workers in the Czech Republic accounted for 50 per cent of foreign workers. Activity between the former federation partners is also illustrated by the heavy concentration of border crossings per year, 20 million in 1996.

Policies for regional development

Enhancing *labour market mobility* is one of the key policy responses to regional disparities. The National Labour Office has designed several schemes to enhance labour mobility through subsidies to travel (commuting) costs of employees, provision of temporary housing, and support for construction of infrastructure. Yet, in Slovakia, labour mobility between districts and regions remains low, with the exception of Bratislava and Kosice, which are well-endowed with travel infrastructure (Table A6). Scarcity of housing and high prices in the more prosperous areas may be one of the major explanations for this lack of labour mobility. Data on housing prices is difficult to find, but anecdotal evidence suggests that housing prices in Bratislava are several times more than the national average.

Table A6. **Mobility of workers in Slovak regions, 1997**

	Within same city %	Within same district %	Between districts %
Bratislava	33.9	32.0	34.1
Trnava	57.9	32.7	9.4
Nitra	53.3	36.7	10.0
Trencin	50.1	38.7	10.8
Zilina	50.5	41.1	10.8
Banska Bystrica	49.9	15.5	9.0
Kosice	64.0	37.5	20.5
Presov	52.9	33.9	9.5

Source: National Labour Office, Slovak Republic.

Given the regional synergies discussed above, another area of policy development has involved *cross-border co-operation* projects. The type of project can range from simple exchange of information and data collection concerning a specific regional issue (*e.g.* the environment), drafting of a common local or regional economic development strategy for territories sharing common characteristics, to cost sharing for expensive infrastructure projects. The Slovak Republic signed its first cross-border co-operation agreement with

Poland in 1994 and created an official Intergovernmental Commission for this purpose in 1996. The EU supports cross-border co-operation with funding for projects between the Slovak Republic and non-EU countries (Poland, Czech Republic, Hungary) as well as Austria through the Phare Programme.[4] Areas include support for technical infrastructure through improvement and construction of border crossings, economic development and tourism, environment and technical studies.

One of the principal barriers to cross-border co-operation is the centralised administration. For example, municipalities in the Slovak Republic are obliged to have a government backing to enter into legal co-operation agreements with local authorities in other countries. However, this obstacle is often circumvented through the creation of associations of municipalities with NGO status, as is the case of local authorities in Prešov who are part of the High Tatra Euroregion. Slovakia enjoys a favourable geographic location, sharing borders with four OECD Member countries (Poland, Austria, Hungary, Czech Republic), and could take better advantage of the opportunities for co-operation if the level of decentralisation corresponded more closely with that of these neighbour countries.

Another policy effort, aimed in part at reducing regional disparities, is the ongoing investment to improve the *road infrastructure* in Slovakia. The former Slovak government embarked on a major project to increase the existing stock of 230 km of motorways to 660 km by the year 2005. The amount of goods transported by roads has increased in almost every district from 1994 to 1996, evidence of the economic importance of this vital infrastructure. Currently under construction are sections of a Pan-European multimodal corridor from Gdansk to Zilina via Katowice, and the Bratislava-Zilina portion of a critical east-west corridor to Kosice.[5] As the territory of the Slovak Republic is 60 per cent mountains and hills, road construction is a costly and challenging endeavour. As noted in Chapter II, it is important that the budgetary commitment to this effort be compatible with the overall stabilisation process.

A number of efforts have also been undertaken to overcome disparities by *promoting regional development*. Since 1995, regional development in Slovakia has been the responsibility of the Office for Strategy of the Development of the Society, Science and Technology of the Slovak Republic (OSDSST).[6] One of the core functions of the Office is designing regional policy.[7] The operational arm of the office is the Regional Development Fund, which was allocated SKK 100 million (around US$3 million) both in 1996 and 1997. The fund provides grants (with an upper limit of SKK 5 million) for support to regional development projects involving a variety of actors: small- and medium-sized enterprises, non-profit organisations, or municipalities. Projects should contribute to development of the specific region through promotion of local industries, infrastructure, environmental improvement, or some other priority area. Reflecting a highly centralised approach, the list of projects is screened consecutively by each level of administration, and an interdepartmental commission at national level makes the final decision. This Fund has modest resources compared with the other 12 sectoral state funds (Table A7).

Projects supported by the Regional Development Fund can concern issues also covered by the *sectoral funds* having a regional impact, for example environmental and infrastructure projects. The Slovak government has created a network of regional and district offices with regional development departments which can, in principle, co-ordinate the activities of these sectoral funds. However, evidence of co-operation between the regional development fund and the sectoral funds is weak, and there is no decision-making power at these levels for funding decisions. Perhaps a more rigorous decentralisation of resources and control would allow better *ex ante* co-ordination and increased impact.

Table A7. **Budget for selected State funds, 1997**

	Millions SK
Fund for Regional Development	100
Fund for Housing and Construction	160
Fund for Improvement of Wood	500
Fund for Water Economy	200
Fund for Agriculture and Food Industries	135
Fund for Agricultural Products	1 300
Fund for Environment	250
Fund for Culture "Pro-Slovakia"	100

Source: Government of the Slovak Republic.

Among the sectoral funds, the largest expenditure with regional implications is the Employment Fund, with about SKK 3.8 billion (around US$110 million) for active labour market policies. One of the three stated priorities of the National Labour Office in 1997 was to focus on regions with high unemployment. Funds are channelled through the regional and district offices of the Labour Market Services, which have some discretion on spending. This offers the potential to react rapidly to regions in unemployment crises after, for example, the closure of a major plant. The role of the Employment Fund can be critical in many respects, providing that the regional and district labour offices are closely related to the regional and district administration within the new administrative structure in 1996.

The reform of the administrative structure (Box A1) introduced an intermediate layer of administration at the regional level. Municipalities and districts in Slovakia are small (846 inhabitants average for municipalities) and there was a need to create a link between the highly dispersed local level and national government. The question is the extent to which this intermediate level has contributed to the regionalisation of sectoral policies. Indeed, it is difficult at present to assess the degree of authority that has been delegated from the national to the regional and district levels. Anecdotal evidence suggests that the district or regional levels have little discretion and are still strongly dependent on central power. At present, sectoral programmes must be approved in Bratislava by the individual Ministry concerned, while decisions on ways to combine resources to cope with a specific regional problem require flexibility and decision making authority. More authority in decisions to fund horizontal regional development projects would be a clear advantage.

Under the previous government a proposal for a State Regional Policy was put forward with the main objective of reducing marked differences in the area of social, economic and infrastructure conditions of inhabitants. It intended to strengthen and expand a network of Regional Development Agencies[8] to co-ordinate activities at the local level. Moreover, similar to the State SME policy (and the National Agency for the Development of SMEs), a National Agency for Regional Development to co-ordinate activities has recently been approved. It will be necessary to co-ordinate the network of Regional Development Agencies with the existing network of Regional Advisory and Information Centres (RAIC) and Business Innovation Centres (BICs), which support entrepreneurship on the local level. As industrial restructuring progresses, horizontal policies will be needed to favour the adjustment at the local level. For example, fiscal incentives for new investors and SME start-ups can be applied for a limited time to regions experiencing sudden redundancies, combined with programmes to retrain and relocate workers. Job creation initiatives in untapped sectors, such as the environment, can be also be explored.

Box A1. Legislative framework for regional governance

Over the last few years the major thrust of the Government of Slovakia in the area of public administration was the restructuring of the territorial administration of the country.

The law on Territorial and Administrative Structure of the Slovak Republic (1996) defined the new territorial structure of the State with 8 regions and 79 districts. The Law on the Organisation of Local State Administration (1996) defines the new structures and responsibilities of State administration offices.

On the basis of these two laws the respective regional and district offices were created. These new offices deal with 32 policy areas, including national and civil defence; fire protection; environmental protection; agriculture and forestry; transportation and road maintenance; public procurement; social affairs; healthcare; education; and regional development. It is not clear, however, that all the practical arrangements – including transfer of staff and other resources – necessary to achieve efficient administration and good financial control have yet been made.

These new structures may have to face up to a further challenge when the new sectorially oriented aid structure, the accession partnership, of the EC is in place. Then the centralised middle and low level of public administration (regional and district offices of state administration) will encompass administrative sectors prioritised by the EC, such as agriculture and environment, and those with lesser importance for EU accession. This may lead to some distortion, in particular with regard to horizontal functions, such as management and control issues.

In addition to these efforts to deconcentrate state administration, emphasis has been put on increasing the competencies of local/municipal and regional self government. Local/municipal self government was created soon after the political change in 1989/90 and has been developed further.

There are nearly three thousand self-governing municipal authorities, many of which have tiny electorates (1 000 citizens or less). Whilst such units may achieve certain democratic objectives, their economic and administrative efficiency is limited, and weaknesses of financial management and control remain. These factors, and the relatively small size and low administrative capacity of most local authorities, discouraged the former government from making further efforts to transfer competencies to local self-government units. Some attempts of the central government to encourage local self-government to co-operate, including creating joint institutions to deliver services more efficiently, have not yet had a significant impact.

In order to increase economic and administrative efficiency the former government took the first steps to undertake a structural reform of local self-government. However, local authorities have resisted strongly a territorial reform targeted on merging small local authorities.

In line with general recommendations of the World Bank and the European Union, the government, in 1997, prepared a draft law on Self Government of Higher Territorial Units (*i.e.* regional self-government). The proposals in the draft law would create a new tier of self-governing regional authorities with wide powers and competencies that would be transferred from the state. This draft has been submitted to parliament and is under discussion in the Parliamentary Commissions. However, no agreement has yet

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been reached on a number of issues, such as the number of regions; the concrete competencies to be devolved (*e.g.* the division of responsibility between state and regions for managing the EC structural funds); and the financing and control arrangements for the new bodies (*e.g.* the extent to which they would have powers to raise their own revenue through taxation, fees or borrowing).

SMEs: an important area of horizontal policies

The concentration of economic activities in Slovakia was one of the highest among transition countries. Within a horizontal policy framework, the improvement of conditions for the creation and development of SMEs and, in general, favouring entrepreneurship is then a clear priority for Slovakia.[9] The National Agency for the Development of Small and Medium Sized Enterprises (NADSME) serves both as an intermediary in the process of formulation of policies concerning entrepreneurship, and as co-ordinator between different institutions and ministries. It is an implementing agency for a considerable number of support programmes described below.[10] Overall, these instruments resemble those employed in many OECD Member countries. Yet, the extent to which these programmes create value added and the importance of displacement and dead-weight effects are not clear. The dispersal of resources to dozens of programmes with different tools and target groups makes it difficult to obtain an accurate idea of the overall impact.

The financial support is mainly implemented by the Slovak Guarantee Bank (SGB) and the NADSME, in co-operation with commercial banks (Slovak Savings Bank, Pol'nobanka, Tatra Bank and Istrobanka). An important tool is the national Support Loan Programme. It helps businesses with up to 500 employees which have been created after January 1990. As of the end of 1996, 459 loans were given, with an average amount of SKK 2.9 million. The Slovak government reported that 6 875 jobs were created or maintained as a result of these loans.

A specific programme to support micro-businesses – The Micro-Loan Scheme Programme – was launched in early 1997. This scheme provides loans of up to SKK 300 000 to entrepreneurs with not more than ten employees. The applicants are required to undergo compulsory basic training organised within a Regional Advisory and Information Centre. As of 30 September 1997, 26 micro-loans were given with an average size of SKK 250 000.

A loan guarantee programme was established in 1993 with the Slovak Guarantee and Development Bank and a financial contribution by the EU Phare Programme. As of September 1997, 110 credit guarantees had been given, with an average guarantee of nearly SKK 2 million. This scheme did not fulfil expectations, as it is still difficult to match guarantees with credits from commercial banks.[11]

Non-financial support programmes are focused on advisory and information services and training. Such support is mainly delivered through the network of 12 regional advisory and information centres (RAICs) and 5 business innovation centres (BICs). In 1996, this network provided 6 000 consultations with entrepreneurs in the area of business planning, financial analysis, marketing, taxes, etc. Within the framework of the NADSME loan programmes, these local institutions also have a role of first screening of business plans before transferring them to the national agency.

The RAICs and BICs are an illustration of the link, which could be further developed, between national SME policy and regional policies. In addition to their regional impact via promotion of SMEs, these institutions assume regional development tasks, *e.g.* the drafting of regional development strategies, promotion of tourism, etc. Moreover, there is also institutional co-operation between the regional arms of national SME policy, the RAIC and BICs, and municipalities which have started to set up, for example, local micro-credit funds. In addition to these core instruments for the development of entrepreneurship and SMEs, a number of other Ministries have support programmes with relevance for SMEs. Their explicit objective is not always to support small firms, as with the tools of the Ministry of Labour, but they often devote considerable resources and are an important part of the overall range of SME support instruments.[12]

Wrap-up

Large regional development disparities are a persistent element in the transition process of the Slovak Republic. Parts of Slovakia, in particular eastern and southern regions and old industrial areas, are lagging behind the more dynamic western part of the country. Efforts to increase labour market mobility have shown limited effects. Growth resulting from FDI and exports has remained concentrated in selected areas well-endowed with infrastructure and information links to Bratislava. The previous government began introducing an explicit regional policy, although there was a debate concerning its relative scope and scale, the appropriate instruments, and the extent to which decentralisation and devolution of fiscal authority to lower levels would improve its effectiveness. Experience in OECD countries has illustrated that regional disparities are an impediment to the structural adjustment process. Fiscal redistribution policies alone are not sufficient to reduce these problems. In addition, the extent to which growth and economic prosperity in Bratislava will have sufficient positive effects on the rest of the country is uncertain. A more balanced approach is required involving highly targeted policies to assist regions in serious difficulty and policies to promote economic diversification through creation of favourable conditions for new business and inward investment. Systematic evaluation of policy impacts is a necessary condition allowing adjustment and fine-tuning when necessary. At present, regional policy in the Slovak Republic is focused on modest funding for selected projects and has been treated somewhat as a sector in and of itself. At the same time, sectoral policies which are based on regional problems, environment, employment and social protection, for example, are an implicit component of regional policy, and the Slovak government should combine these more effectively in a horizontal approach.

Notes

1. This Annex was prepared by OECD/TDS; the Box A1 was prepared by OECD/SIGMA.
2. A. Smith (1998), *Reconstructing the Regional Economy*, Cheltenham, UK.
3. National Employment Service, Slovak Republic.
4. In this respect, an important act is the signature of the *European Outline Convention on Transfrontier co-operation between Territorial Communities or Authorities* and its *Additional Protocol*.
5. Slovak Ministry of Economy, 1998.
6. See Act No. 74/1995.
7. See OECD (1996), *Regional Problems and Policies in the Czech Republic and Slovak Republic*.
8. A first Regional Development Agency was established in 1993 in Zilina by a joint initiative of the Slovak Government and the European Union through the Phare Programme. In order to integrate a number of local actors as partners, the shareholder of this development agency comprises, in addition to the Slovak Government, both the Associations of towns and villages and the Associations of entrepreneurs in this region. Since then, other communities have started to establish Regional Development Agencies on their own initiative.
9. See for example "State Medium Period Policy for Support of SMEs" approved by the Government on February 4, 1997.
10. For a full description of programmes see "State of small and medium enterprises in the Slovak Republic, NADSME, Bratislava, 1997".
11. See OECD 1998, Country Note by Slovak Republic, Second Workshop on Financing Newly Emerging Private Enterprises in Transition Economies, p. 8.
12. The Ministry of Labour spends about SKK 700 million annually for tools indirectly supporting SMEs like re-qualification and training measures, subsidising protected workshops, subsidising consultancy costs for SMEs, etc. Moreover there is a number of additional programmes – for example, for the promotion of agriculture SMEs, for the promotion of tourism, etc. – through which other ministries promote entrepreneurship. See State of Small and Medium Enterprises in the Slovak Republic, 1996, NADSME, Bratislava, p. 24.

Annex IV

Chronology of recent events 1998-99

1998

January

New Minister of Finance is appointed

Moody's ratings agency places Slovakia's foreign currency ceilings for bonds and bank deposits on review for possible downgrade.

February

Parliament withdraws from its agenda an amendment to the central bank law which had raised concerns regarding maintenance of the Bank's independence

Volkswagen Bratislava announces that it plans to treble its output year-on-year in 1998 to produce 120 000 cars.

March

Term of the President ends; in a series of votes, Parliament is unable to reach the two-thirds majority required to appoint a successor. As provided for under the constitution, the government takes over some presidential powers.

The Democratic Coalition (SDK), formerly a five-party alliance of opposition parties, is registered as a political party.

Moody's downgrades Slovakia's foreign currency bond and bank deposit ratings.

April

The Party for Civic Understanding (SOP) is founded

An extraordinary general meeting of the Investment and Development Bank (IRB) decides that the bank's basic capital will be increased by SKK 2 billion, this sum to be provided by the Slovak Insurance Company. Noteworthy, following a liquidity crisis the IRB had been placed under direct NBS administration since 18 December 1997.

July

Major flooding in north-eastern Slovakia, causing at least 39 deaths and damage estimated at SKK 1.5 billion.

August

Slovak crown weakens to 4 per cent on the depreciation side of its mid-point parity (and, in early-September, to 6 per cent), following the financial crisis in Russia and with growing uncertainty regarding domestic economic and political developments.

September

Parliamentary elections 25-26 September; final outcome:
the ruling Movement for a Democratic Slovakia (HZDS) 27 per cent (43 seats)
Slovak Democratic Coalition (SDK) 26.33 per cent (42 seats)
Party of the Democratic Left (SDL) 14.66 per cent (23 seats)
Party of the Hungarian Coalition (SMK): 9.12 cent (15 seats)
Slovak National Party (SNS) 9.07 per cent (14 seats)
Party of Civic Understanding (SOP): 8.01 per cent (13 seats)

October

The National Bank of Slovakia announces on 1 October that the fixed exchange rate regime has been abolished and the currency allowed to float.

The four opposition parties (SDK, SDL, SMK, SOP) agree to form a new government; new Prime Minister (Mr. Mikulas Dzurinda) and Ministers are sworn in.

November

The new government announced a package of intended macroeconomic and structural reforms.

December

Parliament approves an amendment to the 1998 state budget plan allowing the end-year deficit to be raised to SKK 19.2 billion.

The government approves a wide-ranging package of stabilisation and adjustment measures to be implemented as of 1999.

1999

January

Average electricity prices raised by 33 per cent, including doubling of prices for households.

Volkswagen Slovakia announces it will build new facilities to double production to 250 000 cars by 2000.

Annex V

Statistical Annex

Table A8. **GDP by expenditure**

In billion SKK

	1990	1991	1992	1993	1994	1995	1996	1997
Current prices								
GDP	278.1	319.8	329.8	369.1	440.5	516.8	575.7	653.9
Final consumption	210.8	229.4	249.6	288.5	315.8	360.8	418.2	468.5
private	149.9	163.6	164.6	196.2	221.9	252.7	286.1	322.3
public	60.9	65.8	85.0	92.3	93.9	108.1	132.1	146.2
Gross capital formation	92.3	99.9	93.3	101.0	101.8	146.6	226.7	232.1
Gross fixed capital formation	86.9	90.4	109.3	120.7	129.4	141.5	212.7	252.7
Change in stocks	5.4	9.5	–16	–19.7	–27.6	5.1	14.0	–20.6
Trade balance	–25	–9.5	–13.1	–20.4	22.9	9.4	–69.2	–46.7
Exports of goods and services	73.8	148.1	233.7	227.8	286.6	325.8	334.0	368.8
Imports of goods and services	98.8	157.6	246.8	248.2	263.7	316.4	403.2	415.5
Constant prices of 1995								
GDP	599.2	511.9	478.5	460.8	483.4	516.8	550.8	586.8
Final consumption	504.0	375.2	369.0	362.6	349.4	360.8	400.2	417.2
private	370.2	265.2	248.1	244.4	244.4	252.7	270.2	287.1
public	133.8	110.0	120.9	118.2	105.0	108.1	130.0	130.1
Gross capital formation	194.5	153.4	133.3	121.0	106.7	146.6	206.4	196.7
Gross fixed capital formation	205.8	154.0	148.9	140.9	134.4	141.5	197.8	226.4
Change in stocks	–11.3	–0.6	15.6	–19.9	–27.7	5.1	8.6	–29.7
Trade balance	–99.3	–16.7	–23.8	–22.8	27.3	9.4	–55.8	–27.1
Exports of goods and services	141.4	188.6	278.1	276.7	316.0	325.8	324.9	344.7
Imports of goods and services	240.7	205.3	301.9	299.5	288.7	316.4	380.7	371.8
Statistical discrepancy	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Source: Statistical Office of the Slovak Republic.

Table A9. **Trade by partner country**

	1993		1997	
	mn SKK	%	mn SKK	%
TOTAL IMPORT	195 034	100.0	345 006	100.0
Czech Republic	70 035	35.9	79 817	23.1
Russia	38 078	19.5	52 212	15.1
Germany	22 273	11.4	52 445	15.2
Austria	12 145	6.2	16 822	4.9
Italy	5 840	3.0	19 215	5.6
Rest of the world	46 663	23.9	124 495	36.1
OECD	64 482	33.1	261 156	75.7
EU	40 143	20.6	136 736	39.6
TOTAL EXPORT	168 114	100.0	277 434	100.0
Czech Republic	71 158	42.3	78 067	28.1
Germany	25 569	15.2	54 325	19.6
Austria	8 362	5.0	19 401	7.0
Russia	7 896	4.7	11 072	4.0
Italy	4 603	2.7	15 528	5.6
Poland	4 902	2.9	16 210	5.8
Rest of the world	45 624	27.2	82 831	29.9
OECD	54 834	32.6	234 541	84.5
EU	40 510	24.1	115 732	41.7

Source: Statistical Office of the Slovak Republic.

Table A10. **Trade structure of the Slovak economy, 1997**[1]

Main comparative advantages Harmonised system	RCA[2] 1995	RCA[2] 1996	RCA[2] 1997	Export share[3]	Cumulative share of exports[3]
72 Iron and steel	12.9	11.3	9.8	12.2	12.2
87 Vehicles other than railway or tramway rolling-stock, parts	–0.6	–1.9	2.9	10.8	23.1
44 Wood and articles of wood; wood charcoal	2.7	2.4	2.5	3.2	26.2
62 Articles of apparel and clothing accessories, not knitted	1.7	1.7	2.4	2.9	29.2
48 Paper and paperboard, articles of paper pulp	1.7	2.2	2.1	4.1	33.3
76 Aluminium and articles thereof	0.5	2.1	2.0	3.1	36.4
54 Man-made filaments	2.5	2.2	2.0	2.3	38.6
39 Plastics and articles thereof	2.0	1.8	1.4	4.8	43.4
94 Furniture; bedding, mattresses; lamps and lighting fittings; prefabricated buildings	2.0	1.8	1.4	2.4	45.8
29 Organic chemicals	0.0	1.2	1.2	3.2	49.0
70 Glass and glassware	1.2	1.3	1.1	1.7	50.6
73 Articles of iron or steel	0.9	1.3	1.1	4.0	54.6
25 Salt; sulphur; stone; plastering materials, lime, cement	1.3	1.1	1.0	1.5	56.1
89 Ships, boats, floating structures	0.8	0.9	1.0	1.0	57.1
40 Rubber and articles thereof	1.4	1.4	1.0	2.2	59.4
64 Footwear, gaiters and the like; parts of such articles	1.0	1.0	0.8	1.5	60.8
86 Railway, tramway locomotives; rolling-stock, traffic signalling equipment and parts thereof	0.9	0.8	0.7	1.4	62.3
31 Fertilisers	0.9	1.0	0.6	0.9	63.2
61 Articles of apparel, clothing accessories, knitted or crocheted	0.4	0.5	0.5	0.9	64.1
04 Dairy produce; birds' eggs; honey; products of animal origin	0.2	0.3	0.3	0.5	64.6

Main comparative disadvantages Harmonised system	RCA[2] 1995	RCA[2] 1996	RCA[2] 1997	Import share[3]	Cumulative share of imports[3]
27 Mineral fuels, mineral oils, bituminous substances	–13.3	–11.8	–12.7	17.8	17.8
84 Nuclear reactor, boilers, machinery, mechanical appliances	–7.8	–7.2	–7.7	15.9	33.7
85 Electr. machinery and equipment; television image, sound recorders and reproducers	–2.5	–2.1	–2.8	9.1	42.8
30 Pharmaceutical products	–1.6	–1.5	–2.1	3.2	46.0
90 Optical, photographic, cinematographic, measuring, checking, medical instruments	–1.4	–1.5	–1.5	2.7	48.7
26 Ores, slag and ash	–1.8	–1.2	–1.4	1.5	50.2
38 Miscellaneous chemical products	–0.0	–0.4	–0.8	1.3	51.5
32 Tanning or dyeing extracts; tannins, pigments, putty, inks	–0.7	–0.7	–0.7	1.0	52.5
08 Edible fruit and nuts; peel of citrus fruits or melons	–0.8	–0.8	–0.7	0.9	53.4
33 Essential oils and resinoids; cosmetic, toilet preparations	–0.4	–0.5	–0.6	0.7	54.1
28 Inorganic chemicals	–0.6	–0.5	–0.5	1.3	55.4
21 Miscellaneous preparations	–0.3	–0.3	–0.4	0.6	56.0
23 Residues, waste from the food industries; animal fodder	–0.7	–0.6	–0.4	0.8	56.8
09 Coffee, tea, maté and spices	–0.6	–0.4	–0.4	0.5	57.3
82 Tools, implements, cutlery, spoons, forks; of base metal	–0.2	–0.3	–0.4	0.5	57.8
20 Preparations of vegetables, fruit, nuts, other parts of plants	–0.3	–0.3	–0.3	0.5	58.3
10 Cereals	1.0	–0.3	–0.3	0.5	58.8
79 Zinc and articles thereof	–0.3	–0.2	–0.3	0.3	59.1
83 Miscellaneous articles of base metal	–0.4	–0.3	–0.3	0.6	59.7
24 Tobacco and manufactured tobacco substitutes	–0.2	–0.2	–0.3	0.6	60.3

1. 1997 data are preliminary.
2. RCA: revealed comparative advantage indicator (Xi/X – Mi/M) (see OECD, 1996).
3. As percentage of total exports or imports in 1997.

Source: Statistical Office of the Slovak Republic.

Table A11. **Monetary survey**

In fixed exchange rate with fixed cross rates, in billion SKK, at end of period

	1995 Dec.	1996				1997				1998			
		March	June	Sept.	Dec.	March	June	Sept.	Dec.	March	June	Sept.	Nov.[1]
ASSETS													
Net foreign assets	63.9	64.7	57.2	59.2	62.8	65.7	64.8	71.0	71.2	72.6	70.4	47.9	51.7
Foreign assets	150.1	151.2	144.6	150.6	182.8	204.6	219.1	239.8	234.8	252.3	269.8	236.5	256.7
Foreign liabilities	86.2	86.5	87.4	91.4	120.0	138.9	154.3	168.8	163.6	179.7	199.4	188.6	204.9
Net domestic assets	293.3	297.1	310.6	317.2	353.4	341.9	351.2	352.3	382.7	371.9	380.6	398.8	405.6
Domestic credit	395.2	383.2	395.0	406.5	429.2	434.4	445.0	455.1	467.6	468.0	483.1	503.7	521.6
Net credit to government	91.0	61.8	58.0	59.0	71.1	73.4	81.0	89.2	100.5	94.7	103.9	118.1	131.6
Net credit to Property Funds	–2.3	–1.9	–1.4	–2.8	–3.2	–2.1	–2.4	–2.3	–3.0	–0.2	0.5	0.4	0.6
Total credit to enterprises and households	306.5	323.3	338.4	350.3	361.3	363.1	366.4	368.2	370.1	373.5	378.7	385.2	389.4
Credit in koruny	283.8	293.4	303.8	311.7	331.4	331.9	333.4	333.8	334.3	338.8	342.2	346.3	346.5
Credit to enterprises	268.5	278.5	288.8	296.1	313.6	313.7	314.6	314.5	314.1	318.0	320.0	322.1	321.0
Credit to households	15.3	14.9	15.0	15.6	17.8	18.2	18.8	19.3	20.2	20.8	22.2	24.2	25.6
Credit in foreign currency	22.7	29.9	34.6	38.6	29.9	31.2	33.0	34.4	35.8	34.7	36.5	38.9	42.8
LIABILITIES													
Broad money (M2)	357.2	361.8	367.8	376.4	416.2	407.6	416.0	423.3	453.9	444.5	451.0	446.7	457.3
Money (M1)	148.4	143.8	147.2	153.7	173.9	156.2	156.1	156.6	166.1	150.1	154.4	149.0	148.4
Currency outside banks	34.5	36.3	39.0	41.6	43.5	44.7	45.2	46.4	48.7	49.5	51.2	52.8	51.2
Demand deposits	113.9	107.5	108.2	112.1	130.4	111.5	110.9	110.2	117.4	100.6	103.2	96.2	97.2
Households	37.4	39.7	42.3	43.7	46.2	48.6	49.6	47.9	46.2	44.0	44.6	43.5	–
Enterprises	75.0	65.8	64.1	67.0	82.5	61.3	60.2	61.3	69.6	55.6	57.7	51.9	–
Insurance companies	1.5	2.0	1.8	1.4	1.7	1.6	1.1	1.0	1.6	1.0	0.9	0.8	–
Quasi-money	208.8	218.0	220.6	222.7	242.3	251.4	259.9	266.7	287.8	294.4	296.6	297.7	309.0
Time and savings deposits	169.1	177.9	182.3	184.1	201.2	209.5	214.3	219.9	240.4	245.0	243.6	238.4	242.5
Households	125.7	130.6	133.5	135.1	148.4	150.6	154.1	159.6	182.8	190.8	196.1	192.2	–
Enterprises	27.7	29.9	31.2	31.4	35.0	40.4	41.6	42.5	41.4	35.7	32.4	31.5	–
Insurance companies	15.7	17.4	17.6	17.6	17.8	18.5	18.6	17.8	16.2	18.5	15.1	14.7	–
Foreign currency deposits	39.7	40.1	38.3	38.6	41.1	41.9	45.6	46.8	47.4	49.4	53.0	59.3	66.5
Households	35.4	34.5	33.7	33.9	35.3	36.9	37.8	39.1	40.0	38.9	39.6	43.9	–
Enterprises	4.3	5.6	4.6	4.7	5.8	5.0	7.8	7.7	7.4	10.5	13.4	15.4	–
Other items (net)	101.9	86.1	84.4	89.3	75.8	92.5	93.8	102.8	84.9	96.1	102.5	104.9	116.0

1. Preliminary, using actual exchange rates.

Source: National Bank of the Slovak Republic.

Table A12. **Employment, output and productivity growth, 1993-1996**[1]

Code ISIC Rev. 3	Change in employment (nb persons)	Growth rate in %			Structure of employment in %		Structure of industrial production in %	
		Employment	Output	Productivity	1993	1996	1993	1996
13 Mining of metal ores	–2 519	–44.5	–6.5	68.5	1.0	0.6	0.3	0.3
11 Extraction of crude petroleum and natural gas	–625	–19.1	–12.8	7.8	0.6	0.5	0.8	0.6
10 Mining of coal and lignite	–579	–5.4	10.4	16.7	2.0	2.0	0.7	0.7
14 Other mining	575	12.6	5.1	–6.7	0.8	1.0	0.7	0.7
29 Manufacture of machinery and equipment N.E.C.	–11 338	–14.1	9.4	27.3	14.9	13.5	7.0	6.9
17 Manufacture of textiles	–8 295	–26.3	–22.8	4.8	5.8	4.5	2.7	1.9
26 Manufacture of other non-metallic mineral products	–3 911	–13.4	–7.5	6.8	5.4	4.9	4.7	3.8
36 Manufacture of furniture, manufacturing N.E.C.	–3 896	–20.3	14.2	43.3	3.5	3.0	1.8	1.8
32 Manufacture of radio, television, and communication equipment and apparatus	–3 469	–28.4	–0.7	38.7	2.3	1.7	1.2	1.1
33 Manufacture of medical, precision and optical instruments, watches and clocks	–2 750	–27.0	4.1	42.5	1.9	1.5	1.0	0.9
24 Manufacture of chemicals and chemicals products	–2 436	–8.3	20.7	31.7	5.4	5.3	7.8	8.4
23 Manufacture of coke, refined petroleum products and nuclear fuel	–1 751	–23.2	27.0	65.4	1.4	1.1	5.8	6.5
34 Manufacture of motor vehicles, trailers, and semi-trailers	–1 419	–9.9	195.1	227.5	2.7	2.5	1.8	4.8
19 Tanning and dressing of leather; manufacture of luggage, saddlery, harness and footwear	–1 265	–5.5	5.1	11.2	4.3	4.2	1.4	1.3
21 Manufacture of paper and paper products	–874	–6.0	34.7	43.3	2.7	2.7	3.7	4.5
30 Manufacture of office, accounting and computing machinery	–468	–26.9	5.8	44.8	0.3	0.2	0.1	0.1
16 Manufacture of tobacco	–431	–26.7	–4.4	30.4	0.3	0.2	0.6	0.5
37 Recycling	–76	–4.1	14.1	19.0	0.3	0.3	0.4	0.4
22 Publishing, printing and reproduction of recorded media	0	0.0	4.3	4.3	1.6	1.7	1.7	1.6
15 Manufacture of food products and beverages	64	0.1	–4.5	–4.7	9.2	9.7	15.6	13.3
27 Manufacture of basic metals	126	0.4	0.2	–0.2	5.7	6.0	13.6	12.2
20 Manufacture of wood and products of wood and cork except furniture	217	1.5	16.4	14.6	2.7	2.9	1.6	1.6
35 Manufacture of other transport equipment	1 046	7.3	30.5	21.6	2.6	3.0	2.2	2.5
25 Manufacture of rubber and plastics products	1 894	14.1	35.4	18.6	2.5	3.0	3.2	3.9
31 Manufacture electrical machinery and apparatus N.E.C.	3 772	23.5	58.5	28.3	3.0	3.9	1.9	2.7
28 Manufacture of fabricated metal products, except machinery and equipment	4 557	19.4	35.5	13.5	4.4	5.5	2.6	3.1
18 Manufacture of wearing apparel, dressing and dyeing of fur	6 205	26.0	–5.6	–25.1	4.4	5.9	1.9	1.6
41 Collection, purification and distribution of water	–711	–4.6	8.5	13.7	2.9	2.9	1.0	0.9
40 Electricity, Gas, steam and hot water supply	1 023	3.6	19.1	15.0	5.3	5.7	9.5	10.1
Total industry	–27 334	–5.1	12.3	18.3	100.0	100.0	100.0	100.0

1. Enterprises over 25 employees.

Source: Statistical Office of the Slovak Republic.

Table A13. **Net job creation and destruction by enterprise size, 1993-1996**[1]

Code ISIC Rev. 3	Change in number of employees					Change in number of enterprises			
	Total	Total growth rate in %	25-99 employees	100-499 employees	Over 500 employees	Total	25-99 employees	100-499 employees	Over 500 employees
A. *Sectors with highest net employment destruction*									
29 Manufacture of machinery and equipment N.E.C.	–11 338	–14.1	2 394	–1 635	–12 097	39	34	7	–2
17 Manufacture of textiles	–8 295	–26.3	1 559	1 274	–11 128	17	20	3	–6
26 Manufacture of other non-metallic mineral products	–3 911	–13.4	360	–1 611	–2 660	5	12	–3	–4
36 Manufacture of furniture, manufacturing N.E.C.	–3 896	–20.3	577	–19	–4 454	13	10	8	–5
32 Manufacture of radio, television, and communication equipment and apparatus	–3 469	–28.4	–118	850	–4 201	2	–1	5	–2
33 Manufacture of medical, precision and optical instruments, watches and clocks	–2 750	–27.0	378	–130	–2 998	5	6	1	–2
13 Mining of metal ores	–2 519	–44.5		–17	–2 502	–1		0	–1
24 Manufacture of chemicals and chemicals products	–2 436	–8.3	244	447	–3 127	6	6	1	–1
23 Manufacture of coke, refined petroleum products and nuclear fuel	–1 751	–23.2	45	2	–1 798	0	0	0	0
34 Manufacture of motor vehicles, trailers, and semi-trailers	–1 419	–9.9	406	968	–2 793	9	5	5	–1
19 Tanning and dressing of leather; manufacture of luggage, saddlery, harness and footwear	–1 265	–5.5	1 319	1 695	–4 279	32	21	8	3
21 Manufacture of paper and paper products	–874	–6.0	290	–166	–998	8	8	1	–1
41 Collection, purification and distribution of water		–711	–4.6		–711	0			0
11 Extraction of crude petroleum and natural gas		–625	–19.1		–625	0			0
10 Mining of coal and lignite	–579	–5.4	–36	–55	–488	–1	–1	0	0
30 Manufacture of office, accounting and computing machinery	–468	–26.9	189	–152	–505	4	4	0	0
16 Manufacture of tobacco	–431	–26.7			–431	0			0
37 Recycling	–76	–4.1	175	329	–580	2	1	2	–1
22 Publishing, printing and reproduction of recorded media	0.0	0.0	216	160	–376	5	3	2	0
Subtotal	–46 813	–14.6	7 998	1 940	–56 751	145	128	40	–23
B. *Sectors with highest net employment creation*									
18 Manufacture of wearing apparel, dressing and dyeing of fur	6 205	26.0	1 931	1 731	2 543	43	37	5	1
28 Manufacture of fabricated metal products, except machinery and equipment	4 557	19.4	4 716	3 060	–3 219	101	92	13	–4
31 Manufacture electrical machinery and apparatus N.E.C.	3 772	23.5	846	1 650	1 276	26	14	8	4
25 Manufacture of rubber and plastics products	1 894	14.1	870	1 703	–679	21	16	5	0
35 Manufacture of other transport equipment	1 046	7.3	199	1 342	–495	10	3	6	1
40 Electricity, Gas, steam and hot water supply	1 023	3.6	336	926	–239	12	9	3	0
14 Other mining	575	12.6	378	408	–211	6	4	3	–1
20 Manufacture of wood and products of wood and cork except furniture	217	1.5	2 181	385	–2 349	34	34	2	–2
27 Manufacture of basic metals	126	0.4	90	653	–617	3	1	1	1
15 Manufacture of food products and beverages	64	0.1	2 367	–1 370	–933	39	40	–2	1
Subtotal	19 479	8.9	13 914	10 488	–4 923	295	250	44	1
Total variation 1993-96	–27 334	–5.1	21 912	12 428	–61 674	440	378	84	–22
Levels in 1996	512 378		45 214	144 014	323 150	1 731	844	682	205

1. Enterprises over 25 employees.

Source: Statistical Office of the Slovak Republic.

Table A14. **Production of goods**

Million SKK, in constant December 1995 prices

Section; subsection of economic activity (ISIC Rev. 3)	1993	1994	1995	1996	1997	Indices 1997/1996
Industry in total	**379 864**	**391 184**	**418 710**	**430 785**	**445 996**	**102.1**
of which:						
CA Mining and quarrying of energy producing materials	5 930	5 511	5 717	5 911	7 145	113.0
CB Mining and quarrying except energy producing materials	4 135	4 091	3 909	4 231	4 244	98.3
DA Manufacture of food products; beverages and tobacco	63 499	58 579	57 333	60 557	60 712	98.8
DB Manufacture of textiles and textile products	18 070	17 722	15 756	15 234	13 609	88.6
DC Manufacture of leather and leather products	5 279	4 793	5 502	5 545	4 362	72.7
DD Manufacture of wood and wood products	6 056	6 357	7 235	7 039	7 163	98.2
DE Manufacture of pulp, paper and paper products; publishing and printing	21 123	24 034	25 433	26 744	30 201	111.8
DF Manufacture of coke, refined petroleum products and nuclear fuel	22 589	27 885	29 591	28 434	29 353	103.2
DG Manufacture of chemicals, chemical products and manmade fibres	30 406	32 158	35 647	36 724	35 770	96.8
DH Manufacture of rubber and plastic products	12 577	14 077	16 504	17 039	17 509	101.1
DI Manufacture of other non-metallic mineral products	18 145	17 082	16 829	16 786	17 503	102.0
DJ Manufacture of basic metals and fabricated metal products	63 677	66 895	73 012	66 950	71 615	106.3
DK Manufacture of machinery and equipment N.E.C.	27 539	24 370	28 019	30 026	29 584	96.5
DL Manufacture of electrical and optical equipment	17 090	16 990	18 538	21 216	25 224	116.8
DM Manufacture of transport equipment	14 125	15 156	24 607	30 036	35 440	114.6
DN Manufacturing N.E.C.	8 822	8 182	8 972	9 959	9 552	93.1
E Electricity, gas and water supply	40 803	47 302	46 106	48 355	47 011	97.0

Note: Up to 1996, enterprises with 25 and more employees. since 1997, with 20 and more employees (indices calculated from comparable data).
Source: Statistical Office of the Slovak Republic.

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1996	18 289	8 060	10 157	29 964	10 316	5 262	5 125	58 380	81 877	10 465
Inhabitants per sq. km	Number	1996	2	96	333	3	131	122	15	106	229	79
Net average annual increase over previous 10 years	%	1996	1.3	0.6	0.3	1.3	0	0.3	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	8 344	3 737 (94)	3 675 (95)	13 676	4 918	2 593	2 087	21 951	35 360	3 824 (95)
of which: Agriculture	% of TCE	1996	5.1	7.2 (94)	2.5 (95)	4.1	6.3	4	7.1	4.6	3.3	20.4 (95)
Industry	% of TCE	1996	22.5	33.2 (94)	26.7 (95)	22.8	42	27	27.6	25.9	37.5	23.2 (95)
Services	% of TCE	1996	72.4	59.6 (94)	71.4 (95)	73.1	51.7	69	65.3	69.5	59.1	56.4 (95)
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	398.9	228.7	268.2	579.2	56.2	174.9	125.1	1 536.6	2 353.5	91.2 (95)
Per capita	US$	1996	21 812	28 384	26 409	19 330	5 445	33 230	24 420	26 323	28 738	8 722 (95)
At current prices using current PPPs[3]	Bill. US$	1996	372.7	172.4	222	645.1	..	118	96.7	1 198.6	1 736.1	133.5
Per capita	US$	1996	20 376	21 395	21 856	21 529	..	22 418	18 871	20 533	21 200	12 743
Average annual volume growth over previous 5 years	%	1996	3.9	1.6	1.2	2.2	2	2.2	1.6	1.2	1.4	1.3 (95)
Gross fixed capital formation (GFCF)	% of GDP	1996	20.3	23.8	17.3	17.7	33	16.7	16.1	17.4	20.6	17 (95)
of which: Machinery and equipment	% of GDP	1996	10.2 (95)	8.8 (95)	7.5 (95)	6.6	..	7.9 (95)	6.4 (95)	7.8	7.6	7.7 (95)
Residential construction	% of GDP	1996	4.6 (95)	5.9 (95)	4.6 (95)	5.4	..	3.2 (95)	3.5 (95)	4.4	7.3	3.3 (95)
Average annual volume growth over previous 5 years	%	1996	5.6	2.1	0.3	2.2	9.4	2	–4.1	–1.5	0.2	0.5 (95)
Gross saving ratio[4]	% of GDP	1996	18	21.9	22.2	17.8	..	17.6	19.6	18.7	20	16 (95)
General government												
Current expenditure on goods and services	% of GDP	1996	17	19.8	14.5	18.7	21.5	25.2	21.9	19.4	19.8	20.8 (95)
Current disbursements[5]	% of GDP	1995	35.6	48.6	52.2	45.8	..	59.6	55.9	50.9	46.6	52.1
Current receipts	% of GDP	1995	34.9	47.4	49.9	42.7	..	58.1	52.8	46.9	45.9	45
Net official development assistance	% of GNP	1995	0.36	0.33	0.38	0.38	..	0.96	0.32	0.55	0.31	0.13
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	12 596	12 152	13 793	12 959	..	12 027	10 282	12 506	12 244	9 473
Passenger cars, per 1 000 inhabitants	Number	1994	460	433	416	466	282	312	368	430	488	199
Telephones, per 1 000 inhabitants	Number	1994	496	466	449	576	209	604	551	547	483[8]	478
Television sets, per 1 000 inhabitants	Number	1993	489	479	453	618	476	538	504	412	559	202
Doctors, per 1 000 inhabitants	Number	1995	2.2 (91)	2.7	3.7 (94)	2.2	2.9	2.9 (94)	2.8	2.9	3.4	3.9 (94)
Infant mortality per 1 000 live births	Number	1995	5.7	5.4	7.6 (94)	6.3 (94)	7.7	5.5	4	5.8 (94)	5.3	8.1
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	1.7	5.2	2.7	2.4	..	3.2	3.8	2.6	4.2	11.8
Consumer prices	%	1996	2.4	2.9	2.2	1.4	11.9	1.9	1.5	2	3.1	11.6
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	60 288	57 870	170 223[7]	202 320	21 910	51 030	40 576	288 450	521 263	11 501
As % of GDP	%	1996	15.1	25.3	63.5	34.9	39	29.2	32.4	18.8	22.1	12.9 (95)
Average annual increase over previous 5 years	%	1996	7.5	7.1	7.6	9.7	..	6.2	12.1	6.3	5.4	5.8
Imports of goods, cif*	Mill. US$	1996	61 374	67 376	160 917[7]	170 931	27 721	44 987	30 911	271 348	455 741	27 402
As % of GDP	%	1996	15.4	29.5	60	29.5	49.3	25.7	24.7	17.7	19.4	30.4 (95)
Average annual increase over previous 5 years	%	1996	9.7	5.9	5.9	7.7	..	5.6	7.3	3.9	3.3	6.6
Total official reserves[6]	Mill. SDRs	1996	10 107	15 901	11 789[7]	14 202	8 590	9 834	4 810	18 635	57 844	12 171
As ratio of average monthly imports of goods	Ratio	1996	2	2.8	0.9	1	..	2.6	1.9	0.8	1.5	5.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
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Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1996	10 193	270	3 621	57 473	125 864	45 545	418	96 582	15 494	3 640
Inhabitants per sq. km	Number	1996	77	3	52	191	333	458	161	48	380	14
Net average annual increase over previous 10 years	%	1996	–0.3	1.1	0.2	0	0.4	1	1.3	2	0.6	1.1
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	3 605	142	1 307	20 036	64 860	20 764	212 (95)	32 385 (95)	6 983	1 688
of which: Agriculture	% of TCE	1996	8.4	9.2	10.7	7	5.5	11.6	2.8 (95)	23.5 (95)	3.9	9.5
Industry	% of TCE	1996	33	23.9	27.2	32.1	33.3	32.5	30.7 (90)	21.7 (95)	22.4	24.6
Services	% of TCE	1996	58.6	66.2	62.3	60.9	61.2	55.9	66.1 (90)	54.8 (95)	73.8	65.9
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	43.7 (95)	7.3	70.7	1 214.2	4 595.2	484.8	17	329.4	396	65.9
Per capita	US$	1996	4 273 (95)	27 076	19 525	21 127	36 509	10 644	40 791	3 411	25 511	18 093
At current prices using current PPPs[3]	Bill. US$	1996	..	6.3	68.8	1 148	2 924.5	618.5	13.5	751.1	324.5	63.6
Per capita	US$	1996	..	23 242	18 988	19 974	23 235	13 580	32 416	7 776	20 905	17 473
Average annual volume growth over previous 5 years	%	1996	–2.4 (95)	1.5	7.1	1	1.5	7.1	4.8	1.7	2.3	3.7
Gross fixed capital formation (GFCF)	% of GDP	1996	19.3 (95)	17.5	17.2	17	29.7	36.8	20.8	18	19.7	20.9
of which: Machinery and equipment	% of GDP	1996	..	6.7	5.5 (95)	8.8	10.1 (95)	13	..	8.8	9.4	10
Residential construction	% of GDP	1996	. .	3.9	4.9 (95)	4.5	5.3 (95)	7.6	..	4.7	5	5.6
Average annual volume growth over previous 5 years	%	1996	–0.9 (95)	–1.4	6	–1.4	1.3	6.9	0.2	–0.7	2.2	9.6
Gross saving ratio[4]	% of GDP	1996	..	15.6	21.7	20.5	31.4	34.2	37.5	22.7	25.7	16
General government												
Current expenditure on goods and services	% of GDP	1996	24.9 (95)	20.8	14.1	16.4	9.7	10.6	13.6	9.7[10]	14	14.4
Current disbursements[5]	% of GDP	1995	..	35.1	39.2 (94)	49.5	28.5	15.1	..	..	51.8	..
Current receipts	% of GDP	1995	..	36	39.3 (94)	44.5	32	25.1	..	..	50	..
Net official development assistance	% of GNP	1995	..	..	0.29	0.15	0.28	0.03	0.36	..	0.81	0.23
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	..	14 244	10 020	12 224	13 912	7 354	17 811	5 045	12 477	10 895
Passenger cars, per 1 000 inhabitants	Number	1994	212	434	264	517	342	115	544	91	383	457
Telephones, per 1 000 inhabitants	Number	1994	170	557	350	429	480	397	564	93	509	470
Television sets, per 1 000 inhabitants	Number	1993	427	335	301	429	618	215	261	150	491	
Doctors, per 1 000 inhabitants	Number	1995	3.4	3.9 (94)	3.4	3.0 (94)	1.7	1.6 (92)	1.8 (94)	1.1	2.2 (93)	1.6
Infant mortality per 1 000 live births	Number	1995	11	6.1	6.3	6.6 (94)	4.3	9	5.3 (94)	17 (94)	5.5	7.2 (94)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	..	..	3.7	3.5	1.8	..	..	–1.6	2.4	1.5
Consumer prices	%	1996	23.2	2.6	2.2	4.5	0.7	5.3	2.4	19.7	2.5	2
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	15 674	1 891	48 416	250 842	411 067	129 715	..	96 000	203 953	14 316
As % of GDP	%	1996	35.9	26	68.5	20.7	8.9	26.8	..	29.1	51.5	21.7
Average annual increase over previous 5 years	%	1996	8.9	4	14.8	8.2	5.5	12.5	..	17.6	8.9	8.2
Imports of goods, cif*	Mill. US$	1996	18 105	2 032	35 763	206 904	349 149	150 340	..	89 469	184 389	14 682
As % of GDP	%	1996	41.4	27.9	50.6	17	7.6	31	..	27.2	46.6	22.3
Average annual increase over previous 5 years	%	1996	9.6	3.4	11.5	2.5	8	13.9	..	12.4	7.8	11.8
Total official reserves[6]	Mill. SDRs	1996	6 812	316	5 706	31 954	150 663	23 670	..	13 514	18 615	4 140
As ratio of average monthly imports of goods	Ratio	1996	..	1.9	1.9	1.9	5.2	..	..	1.8	1.2	3.4

* At current prices and exchange rates.
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5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
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Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1996	4 370	38 618	9 935	39 270	8 901	7 085	62 695	58 782	265 557
Inhabitants per sq. km	Number	1996	13	123	108	78	20	172	80	240	28
Net average annual increase over previous 10 years	%	1996	0.5	0.3	–0.1	0.2	0.6	0.8	2	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1996	2 110	14 977	4 475	12 394	3 963	3 803	20 895	26 088	126 708
of which: Agriculture	% of TCE	1996	5.2	22.1	12.2	8.7	2.9	4.5	44.9	2	2.8
Industry	% of TCE	1996	23.4 (95)	31.7	31.4	29.7	26.1	27.7	22	27.4	23.8
Services	% of TCE	1996	71.5 (95)	46.2	56.4	61.6	71	67.4	33.1	71	73.3
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1996	157.8	117.9 (95)	103.6	584.9	251.7	294.3	181.5	1 153.4	7 388.1
Per capita	US$	1996	36 020	3 057 (95)	10 425	14 894	28 283	41 411	2 894	19 621	27 821
At current prices using current PPPs[3]	Bill. US$	1996	106.7	..	130.1	587.2	171.4	180.6	383.3	1 095.5	7 388.1
Per capita	US$	1996	24 364	..	13 100	14 954	19 258	25 402	6 114	18 636	27 821
Average annual volume growth over previous 5 years	%	1996	4.1	2.2 (95)	1.5	1.3	1	0.1	4.4	2.2	2.8
Gross fixed capital formation (GFCF)	% of GDP	1996	20.5	17.1 (95)	24.1	20.1	14.8	20.2	25	15.5	17.6
of which: Machinery and equipment	% of GDP	1996	8.4	..	11.7 (93)	6.1 (95)	7.9	9.3	11.9	7.6	8.3 (95)
Residential construction	% of GDP	1996	2.6 (94)	..	5.2 (93)	4.3 (95)	1.9	11[9]	8.4 (95)	3	4.1 (95)
Average annual volume growth over previous 5 years	%	1996	2.8	5.4 (95)	2.2	–1	–2.6	–0.8	6.9	1.3	6.9
Gross saving ratio[4]	% of GDP	1996	29.9	..	21.6	20.7	16	27.1	22.3	14.6	16.6
General government											
Current expenditure on goods and services	% of GDP	1996	20.5	16.9 (95)	18.5	16.3	26.2	14.3	11.6	21.1	15.6
Current disbursements[5]	% of GDP	1995	45.8	..	42.5 (93)	41.2	63.8	47.7	..	42.3 (94)	34.3
Current receipts	% of GDP	1995	50.9	..	39.8 (93)	37.9	57.5	53.8	..	37.2 (94)	32.1
Net official development assistance	% of GNP	1995	0.87	..	0.27	0.24	0.77	0.34	0.07	0.28	0.1
Indicators of living standards											
Private consumption per capita using current PPPs[3]	US$	1996	11 593	..	8 522	9 339	10 096	15 632	4 130	11 865	18 908
Passenger cars, per 1 000 inhabitants	Number	1994	381	186	357	351	406 (93)	451	47	372	565
Telephones, per 1 000 inhabitants	Number	1994	554	131	350	371	683	597	201	489	602
Television sets, per 1 000 inhabitants	Number	1993	427	298	190	400	470	400	176	435	816
Doctors, per 1 000 inhabitants	Number	1995	2.8	2.3	3	4.1 (93)	3.1	3.1 (94)	1.2	1.6 (94)	2.6 (94)
Infant mortality per 1 000 live births	Number	1995	4	13.6	7.4	6 (94)	4	5	46.8 (94)	6.2 (94)	8 (94)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1996	3.2	..	..	5.8	4.8	..	..	4.9	2.7
Consumer prices	%	1996	1.9	..	5.6	4.7	2.7	2.2	81.6	2.7	2.9
Foreign trade											
Exports of goods, fob*	Mill. US$	1996	49 576	24 417	24 614	102 067	84 836	79 581	23 301	259 941	625 075
As % of GDP	%	1996	31.4	20.7	23.8	17.5	33.7	27	12.8	22.5	8.5
Average annual increase over previous 5 years	%	1996	7.8	..	8.6	11.2	9	5.3	11.1	7	8.2
Imports of goods, cif*	Mill. US$	1996	35 575	37 185	35 192	121 838	66 825	78 052	43 094	287 033	795 289
As % of GDP	%	1996	22.5	31.5	34	20.8	26.5	26.5	23.7	24.9	10.8
Average annual increase over previous 5 years	%	1996	6.9	..	6.1	5.5	6	3.2	15.1	6.5	10.3
Total official reserves[6]	Mill. SDRs	1996	18 441	12 409	11 070	40 284	13 288	26 727	11 430	27 745	44 536
As ratio of average monthly imports of goods	Ratio	1996	6.2	..	3.8	4	2.4	4.1	3.2	1.2	0.7

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